

Tips Music (TIPSMUSIC)

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Call: Jun 2023

May 19, 2023

To,
Listing Department
BSE Limited
P.J Towers, Dalal Street,
Fort, Mumbai – 400 001

Scrip Code: 532375 To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E), Mumbai – 400 050

Symbol: TIPSINDLTD

Sub: Transcript of Earnings Conference Call

Dear Sir/Madam,

In terms of the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of earnings conference call on Audited Financial Results for the quarter and year ended March 31, 2023 held on Monday, May 15, 2023.

You are requested to take this information on your record.

Thanking you,

For Tips Industries Limited

Bijal R. Patel
Company Secretary

Encl: a/a

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"Tips Industries Limited Q4 FY-23 Earnings
Conference Call"

May 15, 2023

MANAGEMENT : MR. KUMAR TAURANI – CHAIRMAN & MANAGING
DIRECTOR, TIPS INDUSTRIES LIMITED
MR. GIRISH TAURANI – EXECUTIVE DIRECTOR, TIPS
INDUSTRIES LIMITED
MR. SUSHANT DALMIA – CHIEF FINANCIAL OFFICER,
TIPS INDUSTRIES LIMITED

MODERATORS MR. NIKUNJ JAIN – ORIENT CAPITAL

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Moderator: Ladies and gentlemen good day and welcome to the Q4 FY23 Earnings Conference Call of Tips Industries Limited.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Nikunj Jain from Orient Capital. Thank you and over to you sir.

Nikunj Jain: Thank you Michelle. Good morning, ladies and gentlemen. I welcome you for the Q4 and FY23 Earnings Conference Call of Tips Industries Limited.

To discuss this quarter and full year business performance, we have from the management Mr. Kumar Taurani – Chairman and Managing Director, Mr. Girish Taurani – Executive Director, Mr. Sushant Dalmia – Chief Financial Officer.

Before we proceed with this call, I would like to mention that some of the statements made in the today's call may be forward looking in nature and may involve risk and uncertainties. For more details kindly refer to the investor presentation and other filings that can be found on the company's website.

Without further ado, I would like to hand over the call to management for their opening comments and then we will open the floor for Q&A. Thank you and over to you.

Kumar Taurani: Thank you. Good morning, everyone and welcome to the Q4 and FY23 Earnings Call of Tips Industries.

At Tips Industries, we have been working tirelessly to create and deliver high quality music that resonates with our audience. Our efforts are showing and I'm happy with the growth momentum that we have achieved. For FY23 revenues have grown 38% and PAT has grown by 19%. For '24 we are very excited as we see a growth of 30% in revenues and 30% in PAT. Let me repeat this for FY24, we are very excited as we see a growth of 30% in revenues and 30% in PAT. We see the same level of growth continuing for 2-3 years as subscription also will become a larger part of our revenue.

Let me give some background of the industry and then come to Tips:

The Indian music segment grew by 19% to reach INR 22 billion in calendar year 2022 according to recent reports. This growth was largely driven by revival of film music with the opening of cinemas and release of over 1600 films in 2022. Digital revenues continue to play a significant role in the Indian music industry generating 87% of total music industry revenues. The music

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streaming audience reached approximately 208 million with the paid subscriber base of just around 4 to 5 million. However, platforms have started exploring the subscription only model which may provide an additional revenue stream for the industry. The surge in digital adoption across countries like Nepal, Bangladesh, Pakistan, Sri Lanka etc. has led to increased uptake of popular international platforms like TikTok, YouTube Instagram etc. where Indian music is widely used. We are exploring new avenues to expand our reach and grow our audience base in these countries.

Coming to Tips:

We have had an eventful quarter. We have reported the highest quarterly sales growth in a seasonally lean quarter. We have also successfully completed a buyback of the maximum permissible amount in this quarter. Lastly, we have recommended a dividend of 50 paise per share post-split. So, a comparable number will be Rs. 5 per share pre-split, which again is the highest ever in the company's history. The buyback and the dividend cumulatively bring our payout ratio to 60.8% for FY23.

On the business front:

We have released 240 new songs during the quarter including 141 new film songs and 99 non-film songs. Our content expense for the year has been over Rs. 62.40 crores compared t

o Rs.

32.1 crores last year. Our content expense has risen by 95% over the previous year. Our latest releases including PS-1 have performed exceptionally well. Two songs of Freddy have crossed 55 million plus views and our latest release by Yo Yo Honey Singh "Yai Re" has crossed over 35 million plus views, Tujeh Dekhi Meri Aankhe and Gal Ban Jaye have also crossed over 20 million plus views. Our YouTube subscriber now stands at 82.1 million. Our YouTube views for Quarter 4 FY23 were about 33.6 billion which was growth of 105% over the same quarter last year. We have been gaining market share consistently and have improved our rankings. We believe we are on our way to improving our rankings further.

With this I will hand over the call to Sushant to take you through the financial performance in

detail. Over to you Sushant.

Sushant Dalmia: Thank you sir and welcome everyone to our Q4 and FY23 Earnings Call.

As you know at Tips Industries we charge off the entire content cost in the quarter of release. We have had this factor since the inception of the company and we will continue with this accounting policy in future as well. We find this to be the most prudent way of accounting for our business.

Now let me take you through our Financial Highlights:

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We have closed FY24 with the highest quarterly revenue of Rs 52 crores in Q4 FY23 as compared to Rs 34.1 crores in Q4 FY22. That is an annual growth of 52%. Operating EBITDA for the quarter stood at Rs. 26.4 crores versus Rs. 20.3 crores in Q4 FY22. That is an annual growth of 30%. The operating EBITDA margins was at 51% for this quarter.

In this quarter we have successfully completed a buyback of shares. The buyback was of the maximum size permitted by the Company's Act which is equivalent to 25% of our equity capital as of September '22. Expenses related to buyback in this quarter were Rs. 68 lakhs. We have spent a total of Rs. 40.68 crores including tax and expenses related to buyback. In this quarter we have also had to take a tax charge related to the prior period amounting to Rs. 2.3 crores. Our profit after tax for Q4 FY23 stood at Rs. 18.3 crores versus 15.9 crores in Q4 FY22. The PAT margin for the quarter was 35%.

Now for the full year of FY23 revenue from operations stood at Rs. 186.8 crores compared to Rs. 135.6 crores for FY22. This is an annual growth of 38%. Operating EBITDA stood at Rs. 102 crores for the 12 months ended March '23 versus Rs. 86.2 crores. That is an annual growth of 18%. Our operating EBITDA margins for FY23 was 55%. We have closed this year with a profit after tax of Rs. 76.5 crores versus Rs. 64.5 crores last year and a PAT margin of 40%. Our bank balances and investments at the end of the year were at Rs. 117 crores.

We have received a lot of queries regarding our content accounting policies and the resulting impact on our reported numbers since we follow the most conservative accounting policy in the industry. To address these queries, we have done some calculations to provide more comparable numbers and I would like to share this with you annually henceforth. If we were to follow the industry accounting practices of amortization of content cost then our EPS for FY22 would have been Rs. 5.87 compared to the reported number of Rs. 4.98 which means that it would have been higher by 18% compared to a reported number. Similarly, for FY23 the EPS would have been Rs. 7.91 compared to the reported EPS of Rs. 5.91 which means it have been higher by 34%. These per share calculations are post the share split. I hope this provides some more insight. Here it will be pertinent to reiterate that we will continue to follow our accounting policy as we have been doing in the past. There will be no change in our accounting policies going forward also. With this I open the floor for discussion.

Moderator: Thank you very much sir. We will now begin the question-and-answer session..We have the first

question from the line of Sagar Jethwani from PhillipCapital.

Sagar Jethwani: First some words on the deals which you have recently signed with JioSaavn and also Sony Music. Can you provide some color on it like what is the arrangement etc.?

Kumar Taurani: JioSaavn, we have not given them content last year, December 21 when our contract was expired so we were in discussions from that day onwards. Their management also changed and then they have agreed on our valuations and on the strength of Tips Repertoire catalog, which is Tips Industries Limited

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doing extremely well. 90s are in big demand. You can see in the last 2 years our '21 top line was 90 crores and this '23 our top line is 187. So, you can see the difference. In 2 years, we have become double. Our catalog is really doing well. 90s music plus new releases also doing well. After seeing all this they have approached us and in March around the 10th or 15th March we have done a deal with them for 1 year. And then again the deal is good deal and if it's on parameters of the industry big players or whatever they are doing a deal with all the players. The same deal we have incurred with them with the MG also, there's a minimum guarantee also we'll get. It's a good deal for Tips, this has happened. Plus, Sony Publishing we were in discussion with them for quite some time. And Publishing is 200 countries international to control and monitor each and every content of your usage was very very difficult. We have done a deal with them for a little long time, for 5 years. It's a deal where they will collect all our publishing revenues. Wherever it is there wherever usage is happening. We will get monies and every 6 months they will give us, quarterly they will give us some approximate reports and then final report we will give every 6 months. That is a deal we have incurred with Sony Publishing.

Sagar Jethwani: Good to hear that sir. This is for the entire catalogue for both Sony and Jio?

Kumar Taurani: Yes, entire catalogue.

Sagar Jethwani: Also, can you share your thoughts on the recent agreement between industries body like IMI-ISRA as to how it will impact us?

Kumar Taurani: See one thing let me tell you that this deal of Sony Publishing is only international market not in India. India, we do that publishing arrangement we have with IPRS. So, that will continue.

This is for international markets, all international markets except India. Now as far as ISRA and IMI we are a member. IMI is the association. You just have to pay a small fee yearly to run that organization. That organization takes care of so many things. We have common things, common problems we have. That kind of body it's like association. It's not a revenue earning body. As far as ISRA is concerned we were also, in 2018 we have settled with composers and lyricist IPRS, there is a body I just told you they have publishing rights. But in the 2012 when law came, law also came that we have to pay a royalty to singers but that royalty was assignable. We can take all the rights from the singer and if you want to give him, it's on negotiation. But industry has followed that practice we can't do that. We have to have an outright contract lump sum. We pay you and you please sign 100% rights to us. So, that practice is continuing. But what you can say to encourage artists or to do all this hassle we are fighting, artists fighting, companies fighting. We have worked on a formula on public performance. Whatever we collect from public performance of that money some percentage we have to give it to them. That is a deal we have made with them. With the minimum guarantee of 50 crores going forward, the higher cap will be 60 crores. This 60 crores or 50 crores will be distributed by all the companies on their public performance-based earnings. That is the deal we have done with singers ISRA.

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Sagar Jethwani: Your presentation highlights the rise of digital ads. How has the ad rate moved in last 1 year?

Kumar Taurani: See ad rate ad rate in the past it was a flat. It was not increasing. But again, it has started increasing and recently I have seen the presentation. They are growing by 35%-40% every year.

Even this year everybody was saying they are laying off people, this is happening, that is happening. But still their growth is tremendous. I don't feel any problem will be there. Touch wood we have also seen the revenue what we are seeing. So, it's not any impact I see.

Sagar Jethwani: You touched upon the effective tax rate being at 34%. Do you see it normalizing back in coming quarters?

Kumar Taurani: 34% of what ? tax?

Sagar Jethwani: PBT, yes, the tax was 34% of the PBT. That's the effective tax rate.

Kumar Taurani: 34% how it can be? I think 22 plus something. Sushant can you respond to this?

Sagar Jethwani: The total tax amount divided by PBT that's the effective tax rate I'm saying. It was 34% as against earlier 25%-26% range. Do you see it normalizing?

Sushant Dalmia: Sagar I will answer that question. It included tax expense of earlier years, 2.3 crores. The assessment of past years have been completed. So, there were some charges so we have debited in this quarter. If you remove that then the effective tax rate would be around 25%- 26%.

Sagar Jethwani: Sure sure. My last question, what was the streaming revenue growth in FY23 for us?

Kumar Taurani: FY24?

Sagar Jethwani: FY23, what was the revenue from streaming? How was the growth from that segment in FY23 for us?

Kumar Taurani: I feel it must be same 30%-35%.

Sagar Jethwani: In line with the company?

Kumar Taurani: Yes. 75% business comes from there so it has to be similar.

Moderator: The next question is from the line of CA Garvit Goyal from Invest Research.

Garvit Goyal: First question is on the potential of these current deals that we entered into like how we see these deals as a future revenue driver for Tips?

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Kumar Taurani: JioSaavn potential will be big thing. It will contribute to the top line and bottom line. As far as Sony Music is concerned it will impact after 6-8 months because we have to still give them the content, ingestion will happen, entire 225 countries content will go and everything will be seen.

So, it is a little longer term, 1 year to 1.5 years you can see the impact will start coming in. It will come from day one but not that kind of a revenue. But we will see impact in next year you can say for Sony, Saavn is immediately will start.

Garvit Goyal: Can you give some more clarity on like court approved these radio broadcasts; shall we require to pay royalty to composers separately? So, how do you see this impacting Tips in near term?

Kumar Taurani: When we had done an IPRS in 2018 because of our internal fights IPRS used to collect 40-45

crores, 50 crores. 2018 I think their top line was 40-50 crores. Now this '23 I think they are closing around 480 or 500 crores. So, you can see the impact. So, it's really growing well. All the past settlement is also happening. They were not paying. There was a lot of court cases were happening. But recently you have seen the judgment. According to that if they are going for a further appeal in the higher court, Supreme Court or something like that so again it will create, we will be delayed by another 1-2 years till Supreme Court gives this order. In case if this order is final, we can expect industry revenue of 60-70 crores at least coming extra money is coming in IPRS.

Garvit Goyal: Basically, that broadcast thing like radio broadcast was earlier not required to pay composers separately. So, is it like...

Kumar Taurani: They were always they are always used to pay but they have taken this. They don't want to pay for it intentionally. Worldwid

e everybody pays publishing rights separately and our sound recording master recording rights separately. So, they were not paying to both. They were fighting with both the companies and they were misguiding courts usually. Ultimately the court has realized, no this is a separate right followed worldwide. They also, artists have to get royalty also.

Garvit Goyal: That means if artist is getting the separate royalty and some of our IPs are we the composers and sound recording label both for our IP?

Kumar Taurani: This case won by IPRS. Sorry, we have also won in Hyderabad, in Madras High Court there was a case from industry PPL. We have also won that case. If I calculate I think for the sound recording industry also may get 80 to 100 crores extra but not maybe they will go to higher courts. This is a fight is going on for the last 10 years so I think it will still go for the next 3-4 years, I feel 2-3 years it will still take. But ultimately, we are very positive we will win. It's a right, they have to pay us. They are making money on our content. If they remove our content what they will do? They are not paying us money that's not fair. They have to pay and then they will pay from the beginning because our case is going on from the beginning, so that calculations

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will happen. I think industry will see an extra 150 and 200 crores coming in next 2-3 years from these radio companies.

Garvit Goyal: What about your sustainable EBITDA margins going forward? Like you mentioned, we'll grow our revenues at CAGR of 30%. I think if margins continue to fall then the bottom line shall not grow at that particular fixed rate. So, is it the correct understanding or I'm missing something?

Kumar Taurani: What I see for next year is I'm growing 30% top line, 30% bottom line. So, next year is for sure we are growing and I feel the way industry is shaping up, the way we have settled with ISRA, the way radio cases are coming in our favor, the way IPRS is growing and the way everything advertising is growing on digital platforms. I feel 30% to maintain for the next 2-3 years is not a big deal. We can really maintain it and we are really pushing hard and working very hard to achieve these things.

Garvit Goyal: This means your EBITDA margins can sustain at this 65% level that we did in FY23?

Kumar Taurani: EBITDA, Sushant can you respond to this EBITDA how we work?

Sushant Dalmia: EBITDA margins would sustain at these levels yes, because both the revenue and the bottom line growth will be at 30%.

Garvit Goyal: Right, that's what I was asking. One last thing is whether this time we will having the Tips Film's con-call or not?

Kumar Taurani: Yes, we will have after board meeting Tips final results, after the final results we will have a Tips Films call. Yes, we will do that.

Moderator: The next question is from the line of Ankur Kumar from Alpha Capital.

Ankur Kumar: My first question is on the content cost. So, this year was around 62 crores. What is our expectation for the next year on the content cost?

Kumar Taurani: Somewhere content cost should be around my expectation is between 25% and 35% of revenue should be our content cost and again it's depending upon the opportunity or the quality of music we can get of our liking. So, we do a lot of that. We are not in hurry and we are not desperate to have content. Our Repertoire is doing very well and I feel in next 10-15 years it will be like that only, maybe a little more also and we are also doing a lot of recreations. On new content 25% to 30% we will invest, we have 35%, we have budgeted that way. Let's see what we can get or what kind of content we get.

Ankur Kumar: 25% to 30% of sales?

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Kumar Taurani: 35%, yes.

Ankur Kumar: Basically, we just want to maintain our margins in such a way that our content will go in sync with the

sales.

Kumar Taurani: Yes absolutely.

Ankur Kumar: On the growth side what kind of growth we expect? Because you have said that JioSaavn will also contribute this year, Sony will also start contributing 6 to 8 months down the line. What kind of revenue growth can we expect? You can expect 30% top line, 30% bottom line we will maintain next year. We have budgeted that way.

Ankur Kumar: How much will this two will contribute in terms of growth?

Kumar Taurani: Actually, I can't say that's. That's a little confidential but I can't really say that.

Ankur Kumar: On 30% which are the things which will help us in doing, this is quite a good number which are the things which will help us?

Kumar Taurani: I feel everything is going well for us. Our content is really doing well on all the platforms, all the TV stations, all IPRS, publishing everywhere we are growing.

Moderator: The next question is from the line of Akshay Sham from Sam Capital.

Akshay Sham: Just few bookkeeping questions. Has the PS-2 expenses been recognized this quarter?

Kumar Taurani: Yes, we did that in March Q4, yes we did that.

Akshay Sham: That is done fully?

Kumar Taurani: Yes, full.

Akshay Sham: Second question, I remember you telling that your market share was for the whole it was around 6%. Do you have any numbers on what it is now at the moment?

Kumar Taurani: I think if you see my presentation, what we are seeing that calendar year industry figures was 2,200 crores. According to that we are around 8% now.

Akshay Sham: Also, what is the paid subscriber growth for the streaming services like Spotify and Saavn? Do you have that number, in FY22 how much was that and how much was in FY23?

Kumar Taurani: 23 is on 20 billion and I think last year it was around 17 billion.

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Akshay Sham: Paid subscribers?

Kumar Taurani: Paid subscriber is very little, its only 4 to 5 million.

Akshay Sham: What it was last year FY22?

Kumar Taurani: You can decrease 1 million from 5 million. so 4 million last year and 5 million this year

Moderator: The next question is from the line of Saket Mehrotra from Tusk Investments.

Saket Mehrotra: I had a couple of questions. First Sushant, if you can explain this tax adjustment on the P&L. I was not very clear on this, so if you can just give some color on what this is?

Sushant Dalmia: These were 2.3 crores, pertains to tax assessments of prior years, prior 3 to 4 years tax adjustments post the assessment getting completed.

Saket Mehrotra: This is related to okay; some matters are under litigation or something and this is the adjustment that has come through.

Sushant Dalmia: Yes.

Saket Mehrotra: Secondly Tauraniji going forward as you said 25% to 35% is the content cost that you are working with plus whatever opportunity you see in terms of getting new content. Just to understand our approach will always be to step up this cost, right?

Kumar Taurani: Content cost?

Saket Mehrotra: Yes.

Kumar Taurani: It's depending upon the opportunity, if you have an opportunity then yes of course why not.

Saket Mehrotra: The deal which has happened with Sony for publishing, I think a few years back we had a similar deal with Warner as well. Are both of these deals similar or I'm just trying to understand how does Sony bring value alongside we already having Warner?

Kumar Taurani: Internationally the four big players, Universal, Sony, Warner and Merlin, at present we are dealing with three. All three we have different deals and see I told you earlier also we have two businesses. Basically, music has lot of rights but major rights are only two which are said to be sound recording or master recording. That is 90% of our business and the other is 10% which is publishing business. So, the 10% of publishing business which is there we have made a full team by that we will do on our own in the world but to achieve 225 countries or (+200) c

ountries was

very difficult. Our other big markets there we have arrangements with our societies but the share

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that we must have, revenues were not coming so we were trying to tie-up with some international publisher. So, we were having talks with Sony, then talking with Sony we made a deal and now

from those 200 countries that 10% money is there, for example if I make a deal with Spotify and if I have an earnings of 20 crores with Spotify approximately then 2-2.5 crores I should get from publishing also extra. You understand that if my market share is 30% international and if 6 crores is coming from international from 20 crores so my 10% to 12% publishing will come from there means Rs. 60-70-80 lakhs money will come from there also. So, we have given them to Sony, they have given their full repertoire to Sony internationally except YouTube. YouTube, we do direct publishing. I want to tell you all one thing. We do international direct and in India every publishing including YouTube and all that we do through IPRS. So, this is Sony's 10% publishing share that I explained you. The deal with Warner, when we did a deal with Warner 32.5 years back, this is the last year Warner's deal so in that what happened is the international apps like Spotify, Apple, Amazon and there are many apps in the international markets like in Dubai Anghami, Deezer, Napster, there are lot of such small apps so on Warner will sell the content and Warner have paid us MG plus whatever earnings will be there, profit sharing, some commission they will charge and all the balance monies they will credit against MG and after adjusting of MG we will get overflow also. So, that is the deal with Warner. It was only for Hindi repertoire with Warner.

Saket Mehrotra: This was both for sound recording and publishing or just publishing?

Kumar Taurani: No only sound recording. With Sony we have publishing, both are different rights and both are for different companies. So, publishing with Sony and sound recording international apps with Warner.

Saket Mehrotra: So, you are saying as far as YouTube is concerned you are doing everything in house. Only when recording or publishing work is there then in international market recording, WMG is doing for you only for Hindi and Sony is doing for everything for publishing?

Kumar Taurani: Ye, absolutely.

Saket Mehrotra: And this WMG deal is for 2 years or how long?

Kumar Taurani: It's expiring in March '24.

Saket Mehrotra: I think a few of the other participants also mentioned that now so many judgments, even I was reading this IMI-ISRA were there and then Radio was there. So, going forward in the last two-three quarters I saw was there any stress related to ad rates or anything? Because I think the ad spends, a lot of companies said that it's decreasing so have you experienced the same and what's your outlook on this?

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Kumar Taurani: Our business touchwood is doing well, so I don't feel any impact. Even I feel that their companies also don't feel so. There is no such impact but everyone needs to decrease their expenses so maybe that's going on but I don't feel that problem is there.

Moderator: The next question is from the line of Priyanka Sarkar from Famy Ananta Capital.

Priyanka Sarkar: I just wanted to divide the growth into two segments if possible. One is the existing old catalog let's say what was the catalog 2-3 years back and the new content. I wanted to know what is the growth of the existing old catalog. What is that growth rate seen for this year?

Kumar Taurani: We have a major growth in the old repertoire and our old 90s repertoire is and plus also so many films we have released over last from 90s end till '22 also. So, all are doing really well. Our catalog is doing really well and new films and new big investments we have started from this year on

wards in the month of December we released PS-1 PS-2 and Freddy. These three movies, three big movies we released. It will take little time and our expectation as we always maintain that new releases, we feel we will recover our investment in 4 to 5 years' time so that catalog is really doing well.

Priyanka Sarkar: You are saying it's 37. close to 38% growth most of it is coming from the existing catalog?

Kumar Taurani: Not entire.

Priyanka Sarkar: The first year.

Kumar Taurani: Yes, mostly.

Priyanka Sarkar: We can put 30% at least?

Kumar Taurani: Yes.

Priyanka Sarkar: 30% from the new catalog what you are acquiring now so that broadly we can do?

Kumar Taurani: See, we released PS-1 in September and Freddy will release in December and PS-2 will release in March. It's too early to specifically set any number.

Priyanka Sarkar: Remove that part, I'm saying existing let's say '21's catalog, how much was in '21, how much that is growing, I wanted to know that?

Kumar Taurani: Yes, I'm saying that catalog is really doing very well. I'm telling you this, this entire growth what you are seeing is that and new releases in case if we compare with the cost, we have incurred so we don't have that calculation but we'll give you. Let us at least spend a year on these releases to know how it's faring so it's too early to count. But one thing Priyanka that we are writing off

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in the same quarter so we don't have after writing off what numbers we are showing after writing off entire whatever we release, we invest and we release that same month we write off, the same quarter you can say. So, we'll tell you this in the next quarter's con-call.

Moderator: The next question is from the line of Yogesh Tiwari from Arihant Capital Markets Limited.

Yogesh Tiwari: I had one question, basically two questions on the balance sheet. If I look at the other current liabilities it has increased from about 1 crore to 36 crores for March '23, other current liabilities.

If you can tell what would be the reason for 1 crore to 36 crores, other current liabilities?

Sushant Dalmia: Yes, primary these are advances from customers what we receive.

Yogesh Tiwari: Taurani ji what I understand as you told me that it takes about 4 to 5 years to recover the investment made in a purchase of our music right am I correct like a payback period will be of 4 to 5 years?

Kumar Taurani: Yes. One thing Sushant want to say, this current liability, this is advance but these are non-refundable advance. We don't have to refund. These are MGs we have received from parties which we account when every quarter they give us numbers, we get their sales where we issue invoice and we book that.

Yogesh Tiwari: And you had said that if we buy some music rights it takes about 4 to 5 years for that payback? That would be approximately, correct?

Kumar Taurani: Yes, we expect that yes.

Moderator: The next question is from the line of Swapnil Chhabra, an individual investor.

Swapnil Chhabra: My question is that our YouTube views they are showing good growth on year-on-year basis like 100% growth is there. But why is the same growth not reflected in the revenue?

Kumar Taurani: The people who come on YouTube, if you see content on YouTube, without money, if you a non-subscriber, if you have not taken subscription so you will see ads. So, full content does not run on ads, where there are ads we get that revenue, we get that profit.

Swapnil Chhabra: So, now we are getting 60% revenue from YouTube?

Kumar Taurani: No, not 60%. I suppose we are 50%, we must be on YouTube.

Swapnil Chhabra: So, YouTube number growth that doesn't reflect into, it's not necessary that much jump will come in revenue which YouTube number is increasing?

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Kumar Taurani: No, touchwood we have a good growth in revenue too in comparison to YouTube

e. If you see

our total growth 38% growth in the growth in that substantial number is of YouTube also.

Swapnil Chhabra: The number of YouTube you have given in the presentation, in that YouTube Shorts number you have included in that presentation or you haven't added Shorts?

Kumar Taurani: I suppose in the views, Shorts are different. I will clarify that now. Sushant these views are main videos.

Sushant Dalmia: It would be both, all combined.

Kumar Taurani: This question of yours, we will ask and we will clarify that. I suppose main videos numbers are given; number of the Shorts is not given but from next time we will add that numbers also.

Swapnil Chhabra: The number of the Shorts if it is included so that the new, what is the contribution of the Shorts in our top line right now?

Kumar Taurani: There is no big contribution. The company had promised us YouTube and Instagram that in the 2 years you give us on the lump-sum model and after 2 years, we will create our revenue model and they will start the advertising on those also but still companies have not done that. Right now, also they are running on the fixed model so we are having constant negotiations with them and fights with them, that is the process of our business.

Moderator: The next question is from the line of Ankush Agrawal from Surge Capital.

Ankush Agrawal: Again, I had a question on Shorts that in the YouTube actually from February '23 monetization of the Shorts have started so have we not come on that? Are we working on fixed deals?

Kumar Taurani: Who started monetization?

Ankush Agrawal: YouTube, YouTube Shorts from February '23 monetization has started?

Kumar Taurani: In India it hasn't started. It hasn't started in the Indian companies and on the Indian content. They are saying it will happen but it hasn't happened yet.

Ankush Agrawal: So, there is not any visibility on the monetization of the Shorts?

Kumar Taurani: There is visibility but that is very nominal. There is not much revenue in that, in the Shorts. We have a lump-sum deal with it but our deal is open now, we are negotiating with them. If you are not taking out the revenue model so you will have to pay us more. So, let us see what will happen.

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Ankush Agrawal: Secondly, on the deal of Sony as you have clarified that the Warner's deal sound recording, and Sony is for publishing rights so typically for publishing rights contributes a very small amount compared to sound recordings. So, according to you say if we are getting Rs. 100 from Warner's deal so in that subscription Sony deal will give you Rs. 10-20, can you give me some idea on that?

Kumar Taurani: Warner rights are different. We have given limited rights to Warner for Hindi, for international and other apps but Sony we have given wider business. You consider our total business that total business in that our whatever businesses happen consider 8% to 10% of that will come from publishing whatever business we do, 8% to 10% will come from publishing, rest is 90% to 92% will come from sound recording. Whenever you will see our top line revenue so approximately that breakup you consider.

Ankush Agrawal: We must not have got any upfront in that I'm assuming largely it must be a revenue sharing deal of Sony.

Kumar Taurani: Can you repeat please?

Ankush Agrawal: Have we got any up-front revenue from the deal of Sony, the revenue-sharing share?

Kumar Taurani: We got an upfront advance, it's a refundable advance we got. They have given us some advance but it is written refundable but what I feel in that 3 years or 3.5 years we will get our money; we made an overflow also from there.

Moderator: We have the next question follow up from the line of CA Garvit Goyal from Invest Research.

Garvit Goyal: You mentioned this deferred tax due to some litigations. Are there any such litigations that you are getting expected for which we have to

pay further tax in coming years?

Sushant Dalmia: No there is no further tax provision of early years which are pending now.

Kumar Taurani: All clear. One question was asked by Swapnil Chhabra ji had asked earlier about the YouTube. YouTube views that were written, Shorts are included in that.

Moderator: The next question which is a follow up question is from the line of Ankur Kumar from Alpha Capital.

Ankur Kumar: On the question on YouTube Shorts only. So, how much can we bifurcate that how much are Shorts and how much will be normal music on the YouTube side?

Kumar Taurani: Are you talking about the views?

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Ankur Kumar: Yes.

Kumar Taurani: If you are talking about views then 50 or 60 billion are Shorts and others will be main views. Something must be like that.

Ankur Kumar: If you see on the YouTube views so QOQ is decreasing in growth as an in this quarter, quarter-on-quarter is 8%, full-year will be (+100%) before that it was 15% quarter-on-quarter. Is it like reducing and are we worried on that front?

Kumar Taurani: No, absolutely not. Please try to understand that if myself having a liking for music or listening to music ultimately you have to see that is my content consumption is increasing or not increasing. So, content consumption maybe he is not listening on a full track but he is viewing Shorts so my quantity is increased so earlier we used to say that half an hour we invest on viewing the content of the mobile, now estimate is around 3-4 hours we are spending. So, I don't think there is anything that. Now you have such a toy like thing in your hands mobile, if you are getting bored anywhere you will see music, you will see views, you will see Short content so totally for 24 hours you are involved. But what you are viewing, it is depending upon that but if you see everywhere we have a growth so touchwood I am not concerned much about that, it's doing all doing good.

Ankur Kumar: And last question if you see our revenue trend it sustains for a few quarters and then a big jump comes. So, like last three quarters were at around 50 crores and before that last four-five quarters we were at around 30 crores odd. So, what is it that suddenly be sustain for three quarters-four quarters and then it jumps up and when do you expect next jump up to come?

Kumar Taurani: According to me last year was little consistent, growth is happening properly. What we expect 30% we do top line. I always maintained 30% top line and 15%-20% bottom line should happen and I think that is happening gradually. One thing happens is, deal-to-deal happens sometimes in between our deals are big or something like that so that makes a difference. Sometimes it happens that our contract expires in December with the party but they are keeping on, negotiations are going on for 4 to 5 months so after 5 months we get the money together for two quarters so a bit here and there can happen. But now even that is not happening, slowly all such things are also ending so I think it is becoming more organized if you will see the system is getting better and for this year, we are predicting that 30% top line and 30% bottom line will happen, earlier I used to say 15% to 20%, I think the way I see, the way business is growing I feel easily 30% is achievable.

Moderator: The next question is from the line of Saket Mehrotra from Tusk Investments.

Saket Mehrotra: Taurani ji what I was asking was any sense on, any visibility on content for next year in terms of like last year you told us about PS-1 and on that front if you could like tell us a few things?

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Kumar Taurani: We have recently acquired two films from Balaji Telefilms. We have purchased two good movies from them and at present two Tips Films, our sister concern organization from them, its completed, those two films music will come and we need o

ne or two movies more so

negotiations are going on, we will close that as well.

Saket Mehrotra: That would be Merry Christmas and Ishq Vishq, right?

Kumar Taurani: Yes, Merry Christmas and Ishq Vishq plus in regional we have recently this quarter we have acquired a film from the Zee company we have taken a movie from them in Punjabi, we are also producing two-three Marathi movies this year so two-three movies in Marathi would also come so there is a lot of content.

Saket Mehrotra: Any update on the SEIS income?

Kumar Taurani: Which income?

Saket Mehrotra: FEIS income?

Kumar Taurani: I am not able to understand. What are you trying to say? Which income?

Moderator: We move on to the next question which is from the line of Sagar Jethwani from Phillip Capital.

Sagar Jethwani: I just have one more question. So, what percentage of content is to be monetized on the YouTube so supposedly if you have 30,000 songs out of that how many songs are like in which ads are not played?

Kumar Taurani: That is a very long exercise to do. That is a very massive exercise you are expecting that will happen. That is not going to happen, that is not possible for the company to do. But our top numbers, about 4,000 to 5,000 top songs we keep on monitoring on that which song is doing how much so that keeps on happening in the company.

Sagar Jethwani: Out of the 4,000 to 5,000 songs is there any percentage that 4,000 to 5,000 are fully 100% monetized?

Kumar Taurani: No, nothing is 100% fully monetized, that is impossible. If 100% monetize happens then we will come on 500 crores from YouTube.

Sagar Jethwani: I am just asking you for an example like any ballpark number that you can give maybe?

Kumar Taurani: We will note that but let us see if we can work on this Sushant, please note this. See if we can work on this and if we can give them in the next quarter or next to next quarter.

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Moderator: The next question is from the line of Ankush Agrawal from Surge Capital.

Ankush Agrawal: Taurani ji I missed your opening statement on content cost but can you again tell what kind of content cost you are targeting for FY24?

Kumar Taurani: Our target is between 25% and 35% will be our content cost.

Ankush Agrawal: Growth you are saying above 64 crores, 25% to 35% growth.

Kumar Taurani: Yes.

Ankush Agrawal: 85-90 crores so you had said last time so approximately that much would be there.

Kumar Taurani: What was that?

Ankush Agrawal: Last quarter you had said 85-90 crores for FY24.

Kumar Taurani: So, you do the percentage, it will come that much.

Moderator: Thank you. Ladies and gentlemen in the interest of time that was the last question for today. I would now like to hand the conference over to Mr. Nikunj Jain for closing comments. Over to you Mr. Jain.

Nikunj Jain: Thank you participants for having us today. It has been a pleasure. If there are any further questions or queries that we have not been able to answer, please feel free to reach to Orient Capital team. Thank you and have a good day.

Moderator: Thank you sir. Ladies and gentlemen, on behalf of Tips Industries Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2023

August 1, 2023

To,
Listing Department
BSE Limited
P.J Towers, Dalal Street,
Fort, Mumbai – 400 001

Scrip Code: 532375 To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E), Mumbai – 400 050

Symbol: TIPSINDLTD

Sub: Transcript of Earnings Conference Call

Dear Sir/Madam,

In terms of the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of earnings conference call on Unaudited Financial Results for the quarter ended June 30, 2023 held on Wednesday, July 26, 2023.

You are requested to take this information on your record.

Thanking you,

For Tips Industries Limited

Bijal R. Patel
Company Secretary

Encl: a/a

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“Tips Industries Limited Q1 FY24 Earnings Conference
Call”

July 26, 2023

MANAGEMENT : MR. KUMAR TAURANI – CHAIRMAN AND MANAGING
DIRECTOR, TIPS INDUSTRIES LIMITED
MR. GIRISH TAURANI – EXECUTIVE DIRECTOR, TIPS
INDUSTRIES LIMITED
MR. SUSHANT DALMIA – CHIEF FINANCIAL OFFICER,
TIPS INDUSTRIES LIMITED

MODERATORS : MR. NIKUNJ JAIN – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY24 Earnings Conference Call of Tips Industries Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Nikunj Jain from Orient Capital. Thank you and over to you, sir.

Nikunj Jain: Good morning ladies and gentlemen. I welcome you for the Q1 FY24 Earnings Conference call of Tips Industries Limited.

To discuss this Quarter's Business Performance we have from the Management Mr. Kumar Taurani - Chairman and Managing Director, Mr. Girish Taurani – Executive Director and Mr. Sushant Dalmia – Chief Financial Officer.

Before we proceed with the call, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. For more details kindly refer to the investor presentations and other filings that can be found on company's website.

Without further ado, I would like to handover the call to the management for his opening comments and then we will open the floor for Q & A. Thank you and over to you, sir.

Kumar Taurani: Good afternoon everyone and welcome to the Q1 FY24 Earnings Call of Tips Industries Limited. It is my pleasure to share with you the highlights of our performance during this quarter.

At Tips Industries we have been working hard to create and deliver high quality music that resonates with our audience. Our efforts are yielding results. The company has reported a revenue growth of 54% for Q1 FY24 as compared to Q1 FY23. We now have over 85.5 million subscribers on YouTube in Q1 FY24. Our YouTube views were 48.3 billion, YouTube views have grown 132% compared to the same quarter last year.

The board has declared interim dividend of Rs. 1 per shares as part of our ongoing efforts to reward our shareholders. With this I will hand over the call to Sushant Dalmia our CFO to take you through the financial performance in detail. Over to you Sushant.

Sushant Dalmia: Thank you, sir and welcome everyone to our Q1 FY24 Earnings Call.

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As you know at Tips Industries we charge off the entire content cost in the quarter of release. We have followed this policy since the inception of the company and we will continue with this accounting policy in future as well. We find this to be the most prudent way of accounting for our business. However, we continue to receive a lot of questions about the impact of our conservative accounting policies on our numbers from both our existing as well as the potential new shareholders. To clarify the impact of different accounting policies, we have done some calculations and I will share the same with you. If we were to follow the industry accounting practice of amortizing content cost over 10 years then our EPS for FY23 would have been Rs. 7.91 compared to a reported EPS of Rs. 5.91 which means it would have been higher by 34%. We will be doing this calculation on an annual basis and will continue to share the outcomes with you.

Now let me take you to the financial highlights of the quarter gone by:

The company has reported a healthy quarter. Our revenue for the quarter was Rs. 52.6 crores as compared to Rs. 34.2 crores in Q1 FY23. Year-on-Year revenue growth was 54%. Operating EBITDA for the quarters stood at Rs. 35 crores versus Rs. 22.4 crores in Q1 FY23 that is an annual growth of 56%. Operating EBITDA margins were at 66.6% for this quarter. Our profit after tax for Q1 FY24 stood at Rs. 27.1 crores versus Rs. 17.2 crores in Q1 FY23 a growth of 58%. P

AT margin for the quarter was 52%.

With this I open the floor for discussions.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question-and-answer session. The first question is from the line of Swapnil Kabra from SK Enterprises. Please go ahead.

Swapnil Kabra: Sir my question is that sequentially if we see the YouTube views then we have seen a good growth for example from 33.6 billion views our views has become 48.3 billion, but same if I observe the topline then our topline has been almost flat means our topline is moving around Rs.

50 to Rs. 53 crores. So, sir is there any specific reason behind this?

Kumar Taurani: In the YouTube views, it is a combination of normal videos and shorts. Shorts is a new one as you know there is a big craze in shorts, so many views are coming from shorts, so that is an impact of it and it is also counted here.

Swapnil Kabra: So, sir in the last quarter also views from shorts must have been considered? So, sir do you mean to say that shorts has increased disproportionately, that is why views are much high?

Kumar Taurani: No, from which quarter are you comparing? From first quarter?

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Swapnil Kabra: I am comparing sequentially, sir. I am talking about Q4 FY23 and Q1 FY24. Sequentially our YouTube views are showing huge jump, but topline is almost flat, so this is my question, sir?

Kumar Taurani: Sushant, how much is the difference between Q4 and this year's Q1?

Sushant Dalmia: Q4 it was around 33.6 billion and in Q1 it is around 48.3 billion views.

Kumar Taurani: Okay this is for one quarter, so I think there is a huge jump in shorts. So, there is a big jump in Shorts, in normal long video too there is a jump.

Swapnil Kabra: Just a request, sir if you put shorts views separately in presentation, we will get a better idea for understanding.

Kumar Taurani: From the competition point of view we can't do that, so if we give it together it is better for us because we can't release our actual numbers, there is a competition also going on, so you please understand that a little bit.

Swapnil Kabra: Sir another question about radio industry, so you were explaining that we have some dispute with radio industry, so, sir can you share some insights regarding that dispute like how far has that dispute being and in future how can it be an advantage for us? What could be its potential?

Kumar Taurani: From the past 10 year the dispute is there and one copy write board has passed an order before 10 years and that order was valid till 2020, we got the permission for 10 years, but we fought against that order when we used to govern through PPL and after that in 2020 when that order was over then the government made a copy write board and board has given order in our favor plus that case which the copy write board ordered in 2010, we have won that case from Madras High court and now radio industry has gone in a higher bench or court, so again the fight is continued there, but I think ultimately one day will come that we will see a big money coming from radio not very big, but a substantial amount will come to the industry which will be divided among us and definitely its impact will come.

Moderator: Thank you. The next question is from the lines of CA Garvit Goyal from Nvest Analytics. Please go ahead.

CA Garvit Goyal: Congratulations for a good set of number, sir. My first question is in your presentation names like Instagram and Facebook are not getting appeared while the image were there in as our digital partners in last presentation, so what is the reason for it, sir?

Kumar Taurani: Instagram, Facebook we have not renewed our deal. Last time when we had the deal with them their numbers were very huge we thought they will give my content for 2 billion people. If you are showing my content to 200 crores people or they are being entertained then we need a correct pri

ce, so at that time they said that it is initial, we are launching, we don't know what will happen

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and going further we will work out more make a model like YouTube where customer or fan follower sees your content then some sharing is done and everybody's revenue will be increased we will also make money from Instagram, but after 2 years they have not done anything in that, there was no progress and they again said that for next 2 years also without any reason marginally we will give you lump sum money and you give this to us. Where we felt no, we should get a huge amount where our consumption was very huge and for that we done many negotiations with them, for 2, 3 months negotiations were going on, but ultimately in February we said stop using our content because what you are offering us is too less money, so we can't do that, so for this reason we are not in Instagram now.

CA Garvit Goyal: Sir if this deal is not renewed so in FY24 how our revenues are going to be impacted?

Kumar Taurani: You see we are not in Instagram, but similar kind of app is there in YouTube for shorts, so here or there app will come, if today you want to listen to a song or want to do some fun or entertainment with the song then you will do, you will find something else you will not leave. If you want to listen to any song you will, you won't stop listening to it doesn't happens like that, and if you see last year also we were not there in Wynk and not there in Saavn, now we are back in Saavn, and we are doing, so I don't think there is any impact on music. I am okay with that, if we don't put our conditions, the service which can be of Rs. 500 crores in next 5 years but remains of only Rs. 20 crores, Rs. 25 crores, Rs. 30 crores or Rs. 50 crores, so it cannot be done,

we have to aim for a bigger thing. For a bigger destination sometime, we have to lose some small things that is fine.

CA Garvit Goyal: Second is, we did 56% kind of OPM margin in FY23 and in this quarter it is around 66%, so how do we see this metric on full year basis for FY24 going forward?

Kumar Taurani: I think our target for this year is our target and I strongly agree it is achievable, 30% topline will grow and 30% bottom line also will grow.

CA Garvit Goyal: Sir I was asking from the OPM margin perspective, sir? So, last year in FY23 you did around 56% margins OPM EBITDA margins and in this quarter, first quarter it is 67%, so that is why I am asking on full year basis what is your target for the EBITDA margin, sir?

Sushant Dalmia: Mr. Goyal, in terms of EBITDA margin, will be similar to last year and let us say this quarter currently 66.5 don't compare it on a quarter-on-quarter basis and compare us on a full year basis that would be the request and the topline and the bottom line will grow by 30%.

Moderator: Thank you. The next question is from the line of Ravi Naredi from Naredi Investment. Please go ahead.

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Ravi Naredi: Taurani sir thank you again for posting nice result. You are magician in this industry and doing good things for the company. Sir YouTube user rises 41% in quarter 1 against the quarter 4, so where you see optimum level of this user base?

Kumar Taurani: Raviji I feel that this YouTube is like an ocean and I really feel that we have just started anything can happen suddenly you will see this is very big, to do its estimation is unlimited, but our basis is that we have to estimate ourselves conservatively or midway, so we make an overall estimate and for this year also which is 30% in the top-line and on the contrary which came in bottom line which say that 15%, 20% growth will do, but this year I think that we will also grow 30% in the bottom line, so you take this as a benchmark. If you see that in 21 we had a topline of 90, but next year in 22 we had a 135, topline had a 50% growth and next year

, last year we did 186,

187 which was a growth of 38%, so if you see in 21 from 90 it became 186, 187 in 23 in 2 years little more than double, so I think 30% topline and this way bottom line will also grow by 30% which is our target. So, you take that as a benchmark and I think if it can increase then it can increase more, I will not deny this, it is really a big thing.

Ravi Naredi: Sir in this June quarter, net profit has come up by 58% and you are saying 30% only. Growth of above 50% has come in June quarter itself.

Kumar Taurani: Earlier also you have been told that in ours industry please don't value us on quarter-to-quarter basis, sometimes more content is released.

Ravi Naredi: Not doing quarter-to-quarter at all, but whatever the things are going on it seems that in this industry as you are saying is an ocean and we cannot see the end here, so it seems like that only.

Sir content cost is Rs. 12.2 crores and rising continuously that is good also, so have you make up your mind how much it will be in percentage of revenue terms? It is 22%, 23% now? That we have to take this much percentage of turnover as content cost, is there something like this image in your mind?

Kumar Taurani: Yes, I feel that our content cost should be 28%, 30% which is used to be our topline, around 30% if ever we get good content then we should go up to 32%, 33%, 35% also, but I feel it should be in that range only.

Ravi Naredi: Sir, now film music has become very expensive, how are you dealing with this situation?

Kumar Taurani: See we don't go into the bidding like what others use to do, we have our own relations with some of the companies and we sit with them and after doing some alterations in their real values we do a bit of bargain and we close the deal in the first meeting itself then only business can be done. We don't need much. We want 4 to 6 movies a year and we are very happy because one good thing that you will see that from the last 2, 3 years what our record is saying without having 2, 3 big services with us, where our music was not available and where we didn't had much new releases, we were growing at 50%, 38%, in 2 years we are getting doubled, so our old repertoire,

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our old catalogues for that we do some song recreations and it is going great and now also I feel that it will grow day-by-day, so if new releases are coming then for that we need limited new releases, if we get 4 or 5 it will be enough for us, so we will maintain that and we will grow and I think for the next 20 to 25 years we don't have to worry.

Ravi Naredi: And whatever movie we would make at Tips Film, its music will be with us only or we can sell it if we get more cost?

Kumar Taurani: Already last year we appointed a valuer they gave their report which we shared with our auditors plus shared with our Board of Directors and got clearance with both of them then we will do

accordingly at arm's length we will purchase music of our Tips Films .

Moderator: Thank you. The next question is from the lines of Priyanka Sarkar from FamyAnanta Capital. Please go ahead.

Priyanka Sarkar: Only to touch based on the IPRS part, sir what was the growth of IPRS in FY23? I am not looking quarterly the result and sir how is the outlook going to be from this revenue coming from the IPRS segment?

Kumar Taurani: Yes IPRS is a publishing body. We settled with IPRS in 2018, so when it was settled in 2018 at that time their collection was Rs. 50 crores and I think this year in 2023 whereas my knowledge is concerned they have collected Rs. 500 crores plus and your question on last year 22-23, I think last year it was Rs. 400 crores or Rs. 425 crores and this year it is Rs. 500 crores and there is a pretty decent growth there also. One good thing is that growth is also happening plus the old settlements are also happening which they have not given the money that is also coming and my

thinking is that in the next 5 years that society can earn up to Rs. 1,500 crores, so that is why a big business is going to happen I feel.

Priyanka Sarkar: In FY23 Rs. 400 crores and in FY24 expectation is of Rs. 500 crores for the industry? Means you are saying in 3, 4 years it can go up to Rs. 1,500 crores?

Kumar Taurani: Yes, Rs. 1,200 crores, Rs. 1,500 crores should happen I feel.

Priyanka Sarkar: Actually my main question is how does it come from IPRS?

Kumar Taurani: Everyone has to give them money, before they don't use to give them and also you have to give publishing rights so they will get money.

Moderator: Thank you. The next question is from the lines of Mayur Parkeria from Wealth Managers. Please go ahead.

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Mayur Parkeria: Sir congratulations on good set of number and again congratulations for continuing with the 100% content write off policy. Every quarter just reiterating this and congratulations, so that I don't intend to change that, but it is an amazing policy and I think, sir in the start of the call you mentioned that we have done some working with respect to if the content cost was to be charged over 10 years, how the profit would have been looked? Sir I think we should be the benchmark and let others do the recalculation of what if their profits would have been impacted had they followed you, I don't think we need to follow the others policy. This is the more rational and conservative and let others follow you rather than we following the other practices, so that was just my small observation. Sir on the content cost, in press release we mention Rs. 12 crores, sir my request is if you can add that in the presentation table also then same information we can get in the presentation also, so along with the results table because otherwise in presentation the results table is actually replicate of your statutory release, so in that if we put content cost separately then presentation value is added and the information is similar on both the presentation and the press release that is a small request. Sir this time you talked about the industry revenue Rs. 2,200 crores, Rs. 2,500 crores and we are closer to 187 we will talk only about March '23, so that is approximately 9% market share. Sir over long period of time over 4, 5 year do we have any target that we want to reach there in terms of market share or do you think that normal industry growth will play? I know we have outperformed the industry significantly, but do you think that do we have any market share in our mind with respect to which....

Kumar Taurani: So, the first suggestion which you gave of 10 years which we compare, this is just a comparison and I reassure you all that we will never change this policy. We are very stick on that this is very good for our long-term benefit, we should keep writing-off quarter sale like PS 2 we released on 15th March only one song was released, but we written-off in that quarter itself, last year it was gone, so you be assured we will never do that only for your reference it was made a bit easy and this is what I want to communicate with you plus your other suggestion regarding content that it should be in presentation, I agreed that point also, we will put it there it is not a problem and third you said our market share what we have estimate I feel that in the next 3, 4 years our target is we come to 11%, 12% market share also we should look for that. So, I feel the way our content, our catalogue, our repertoire is performing and our target in how we need to perform in new releases, how we should play in that, according to our thinking this it is possible to achieve this 11%, 12% and we will achieve it.

Sushant Dalmia: Mayur just to add the content cost is there in the presentation. We have highlighted separately in our P&L. You can refer to slide number 14. You can see the line item, content cost.

ost.

Mayur Parkeria: Slide #14 is investigating financial performance.

Sushant Dalmia: Page #14. There is a P&L statement and you will see the content cost separately highlighted over.

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Mayur Parkeria: I am so sorry my apologies, I missed that. I am so sorry. Thank you so much for highlighting this. Secondly if we talk about this industry revenues then in that based on your understanding of how the industry is shaping up, sir in that subscription revenue I am sure would be very small and marginal. Sir how do you see that shaping up? Or do you think that in the next 4, 5 years what we need to focus on is same share of advertising revenue and other revenues which will come through its subscription revenues, how based on your understanding how the platforms and other things your consumer behavior, what would be your current scenario and how do you see that in the next 3, 4, 5 years?

Kumar Taurani: I think both will survive, subscription will be very big I strongly believe, in 4, 5 years it will be quite big and both will survive ad model will also survive. India is divided in 2 parts, one India is located in cities and one India is located in rural and I think in rural advertising model will go and in cities people will subscribe that they don't want ads, they want a clean music or a clean video, so I think both models will survive and both will give money. Today the growth in subscription will come from cities and from rural a lot of growth will come in advertising model, so I feel both will survive and growth will come in both.

Mayur Parkeria: That means we can see 4 levers for growth, one is subscription revenue, I think industry level grows then we will get its share also that will be one growth, secondly you are saying this IPRS growth will happen, then through radio it will happen but it will be not meaningful, but that will also happen and fourth our own films launches and due to it a better visibility increases then sir all this should play out over the next 3, 4 year right?

Kumar Taurani: Yes absolutely.

Moderator: Thank you. The next question is from the line of Mythili Balakrishnan from Alchemy Capital. Please go ahead.

Mythili Balakrishnan: Wanted to check whether Saavn and Warner the revenue has started for us or is that something that still not there in the current topline?

Kumar Taurani: Warner is already launched 3 years money is coming we are showing in our every quarter-on-quarter basis and Saavn also we have started in March, so every quarter Saavn also it will come and only left out is Instagram and Wynn Airtel that is it. We are available on all other platforms.

Mythili Balakrishnan: Wynn and which one is the other that you said?

Kumar Taurani: Instagram, Facebook.

Mythili Balakrishnan: But if agreement happened in March, okay then from March itself yours is okay. And secondly your doesn't mentioned the fact that there was some Rs. 3.75 crores which you had billed some person in 2022, could you just explain that what has happened there?

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Kumar Taurani: Last year there is a party who took license from us 2, 3 years back then we were negotiating with them, but they were not closing the deal and we try to meet the partner and end the talk, so that no serious matter happens, but again we say that they are only talking, so we put a NCLT case on them and now they have sent us a request that let us talk, so we have given that one and for that we said what will happen, ultimately settlement will be done or not or NCLT court will do the settlement, so that is why we have kept it aside.

Mythili Balakrishnan: In terms of the upcoming content could you just comment on some of the key movies that you feel there you will be able to do it over the next couple of your quarters?

Kumar Taurani: Tips Film's 2 movies are there Merry Christmas which is i

n Hindi, Tamil and Telugu plus we

have a one more movie Ishq Vishk Rebound, earlier one Ishq Vishk came where we launched Shahid Kapoor and Amrita Rao and other than this in South we have a big film in Telugu Hari Hara Veera Mallu, Pawan Kalyan is the star and plus we have 2 movie from Balaji Telefilms Ekta Kapoor's production house, 2 movies are there one is The Crew, which is a big movie, its music will be very good and they make good music, the producer director setup is there that one will come and the other is Buckingham Murders, Kareena Kapoor and Hansal Mehtaji are making the movie and that is also of Balaji. These 4, 5 big movies are with us for this year.

Mythili Balakrishnan: And all of them will probably get released this year itself?

Kumar Taurani: Yes, all these will come this year which I named.

Mythili Balakrishnan: Sir I wanted to ask is there any pressures from YouTube or other people to accept a lower share on the ads revenues per se because you know the manner in which your views are growing in the same manner your revenues are not linearly increasing, so just curious on that front?

Kumar Taurani: There is no chance as you know we fight a lot, Tips is famous for quarrels, we do not accept very soon because our content has value and are exclusive content, sharing content takes a lot of effort and no one has ever said that and always matter of going up is said. The only thing is happening is that our views are increasing, but the matter is that we have to keep the audience

engaged, so slowly the audience feels that today I am getting it free, but ultimately everybody will pay, if you see in the TV industry also we used to take cables very cheaply, but ultimately we all shifted to digital and in that we bought Zee's dish antenna or bought Dish TV or bought Tata Sky or bought Airtel, somewhere majority of people have taken those lines, so I feel that we have to keep the customer involved even though he is getting used to it that he is consuming that content even though he sees it with ads, even though little money comes, so at least we are making them engage, they will come further, but ultimately everybody will pay. As I told earlier 2 models will be there one is subscription, you watch ad free and second one is ad and they will show you ad abundantly if you are not giving the money, you would also realize it yourself if you constantly watch YouTube then they will keep on increasing their meters for ads if you watch first 15 minutes content continuously then initially 15, 20 days you will be seeing without

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ads and after that they will slowly take you to 4, 5 ads in 15 minutes content, that is good for them also because ultimately they are also making a huge money, it is an earning model they also have to grow every year, so I don't feel that anything will happen like that, not to worry at all.

Mythili Balakrishnan: And in terms of the non-digital revenue, in that could you just help us understand that what are the parts of it and what kind of growth are you seeing there?

Kumar Taurani: In non-digital revenue 3, 4 things are there, one is TV, other is radio and other is public performance where our music is played in shows, events, you go to hotels, go to malls so I think there is going to be a great growth, very good growth will be there and in TV everybody thinks no growth is there, but we are doing well, our content is going there. What happens there is that every TV station has its own priority, if he wants to spend Rs. 200 crores then he has Rs. 200 crores. Before 5, 6 years they used to keep us in 5th, 6th priority whether to take its content or not, many stations did not took our contents, but today we are in number 2 or 3 in their priority and whatever money we get and they have not made their budget, but they select which partner has to be given more money and who has to be reduced, if earlier s

someone used to get Rs. 10

crores maybe now he will get Rs. 5 crores, if we used to get 4 then now we will get 6, so the TV people do that permutation combination content value how our market share is increasing, if our content is selling good on digital, good on YouTube then why not TV will pay us more and according to our calculations we demand more from them, we are successful till now.

Mythili Balakrishnan: And my last question is on regional content, could you just help us understand that at present how much is your regional content? And incrementally is that something where we focus means it is better to be focused on the mainstream Hindi?

Kumar Taurani: In olden days say before 2005, 2006 we were available regionally everywhere, then we step back and we focused on a Hindi content and we will do Hindi only, will do small contents, but will be focused on Hindi only and was focused in Hindi only and after that when COVID came in 2020, we again started regionally, we started 10, 15 channel in whatever languages mostly we are there, but then also our focus was that 70% focus should be on main line and 30% focus on regional, but at present we are slowly shifting our focus 85, 90% on main thing and 10, 15% will be on regionals this is our thought going forward.

Moderator: Thank you. The next question is from the lines of Sagar Jethwani from Phillip Capital. Please go ahead.

Sagar Jethwani: We have taken 5, 6 film names where we wish to acquire the content, so out of this Rs. 85 crores, Rs. 90 crores full year guidance that we have given, so what will be the content cost in this 5, 6 films including promotions and all?

Kumar Taurani: I think major will go in that.

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Sagar Jethwani: Ballpark any number if you can provide?

Kumar Taurani: it could be between Rs. 50 crores and Rs. 60 crores.

Sagar Jethwani: Between 50 and 60 including marketing promotions etc.?

Kumar Taurani: Yes.

Sagar Jethwani: Okay that is first and second is that Saregama uses artificial intelligence in song selection, are we also using any kind of technology for same or is it purely judgmental?

Kumar Taurani: See the technology always enhances that how to enhance our business more, so everybody will use it. If today I say I will not use technology then I think there is no point because you have to use. We also have experts with us and very soon you will hear some more news from us about what we are doing and will tell you in next quarter, a lot is happening.

Sagar Jethwani: And next is you know in the last concall I had asked you, sir that basically in YouTube how

many songs are there in which ads are played? Have you gone through that any comeback on that, sir?

Kumar Taurani: In my opinion even if the ads are less, but ads will still go on. YouTube has criteria like age group is there, market is there, which kind of song it is, whatever customer adds he gets many things with that so I think ads will be there in every song, but you can say that maximum revenue will be on the top 2,000 songs.

Sagar Jethwani: So, we are not in a position to monitor those ads where is it playing because we get our sharing pool from the ads as well? So, that is why this question I thought to ask you.

Kumar Taurani: No, it will be there, I actually don't know its detail. I will tell you later. Girish can you find out and tell him about it?

Girish Taurani: Yes we can surely do that. In fact, the last time we had actually done some analysis we found that on every second video of ours we are getting an ad placed so we saw that number. We have done a deep analysis, but this particular aspect we will come back to you for sure.

Moderator: Thank you. The next question is from the line of Saket Mehrotra from Tusk Investments. Please go ahead.

Saket Mehrotra: Sir any visibility on how do you see the paid subscriptions shaping up like in the last 2, 3 years and across

these quarters? Would be helpful to know what your views are?

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Kumar Taurani: Saket not much has happened what it should have been, but it will happen because many of the companies are pushing themselves to increase paid subscription like the music model of YouTube is already paid subscription and Spotify is also pushing its customers and tightening the bottom line for their free customers, so I think that this will happen and I think last year subscription revenues grew by 27%, that is good, but as the number is very little then in that 27% seems to be very little. This should increase by 200% in the next 1, 2 years, so let us see how it is done.

Saket Mehrotra: This quarter we have mentioned that we have released almost 259 new songs, is this across all channels and does it like includes, a lot of times I see we upload our old songs, does that accounts for that as well or?

Kumar Taurani: No, these are brand new songs. What happens is as I said before that from 2020 we improved our entry and we are entering in all languages and we have to touch in all languages, what opportunities are there or not, so suddenly we had to build one catalogue if any customer comes it is not that only 5 songs are there in the channel at least 100 songs, 50 songs should be there, so we went on for quantity and that target of ours has been achieved that we have decent number for our music in every channel and now we are like quantity is done and now we are focusing more on our better quality may be our number 259 will work this year we will do 700, 800 songs, but next year onwards may be we will do 200, 250 songs a year, so that is how we are thinking now, so we will see we will take a call in third or fourth quarter and see which way we should go further.

Saket Mehrotra: So, you are saying this 800 songs for a year? And then you are saying you will table it to 200?

Kumar Taurani: Yes this year we will do a target for 800.

Moderator: Thank you. The next question is from the line of Akshay Sam from Sam Capital. Please go ahead.

Akshay Sam: Tauraniji first of all congrats you and your team for delivering for the last few years consistently it is great for us as shareholder as well. Sir I have one question, our target is to become the top 3 music label in the country, but the thing is our content cost is not that much as of top 3 competitors, I know quantity is not always equal to quality wise, but the top 3 competitors of ours, top 4 heavily out-spending us in terms of content cost at least what is shown in public views at least on the big budget films and all that, I mean what is your view on that?

Kumar Taurani: Yes that is true, but I think that content cost from the last 6, 8 months or for 1 year is such that it was double already now suddenly it has become 3 times of its actual price, so on the contrary we should be more cautious, this is also there, but parallel which you are drawing that we have to become number 3 label, I still feel it is achievable. I feel that whatever content we bring and if we really focus on good content and if good content comes to us then I still feel that we can

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achieve that target, so we are working our way towards it, let us see now ultimately what happens. I think we have to move with a target and future years will tell ultimately what will happen or not. Till now everything is going fine and we predict that whatever is happening now will happen in future also.

Akshay Sam: Because ultimately the market share what we have gained in the future will also strengthen our

hand in negotiating with the likes of DSP and Spotify and all this, so ultimately it will be beneficial for us in future. At least our company will become future proof as well.
Kumar Taurani: In today's time that era has gone where negotiation used to do, MG used to meet, everybody

90% of the company is now saying what is your business we will do on that. If you do a deep study then earlier there used to be 3 priority level, many apps have refused them saying we don't want your content, that the amount what you are asking saying you have new releases this and that, but your performance is not that much, so they feel this is better than all those players, so the way we are happening on Spotify if you do a little bit of study then you will know that acquiring a content and performance of content is 2 different thing, so there are many issues in market and for us issues are decreasing and for others issues are increasing, so that is why we are very positive for this and let us see.

Moderator: Thank you. The next question is from the line of Surbhi from PWC. Please go ahead.

Surbhi: Sir congratulations on great set of numbers. I have 2 questions firstly on margin, we are seeing a specific improvement on margins in this quarter, so can you throw some light on how this margin improvement has happened and what has brought in our favor this quarter? I understand we should not look at it as an order perspective, but if you can share some insights here?

Kumar Taurani: Sushant take this one. Sushant you tell.

Sushant Dalmia: Primarily it is on account of content cost. It was around Rs. 12 crores, but what we say do measure us on a year-on-year basis for the full 12 months and don't look specifically on the quarter and the quarterly margins.

Surbhi: Sir we followed this policy of booking the content cost in the same quarter of the release and now you said that we have added around 259 songs, this higher than the run rate of the songs that we have been releasing in the last 2, 3 quarters, so do you say something called softening or are there any other reasons behind this cost going down?

Sushant Dalmia: Can you repeat your question?

Surbhi: The number of songs that we have released is higher on a sequential basis and ideally in the case when the content cost is going up or the content cost has gone up or stayed in the same range where it was in the past 2, 3 quarters, if you are seeing significant savings on the content cost

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despite high number of songs that we released, so what explains this? I am trying to understand how the content cost has come down and show significantly for you in this quarter?

Sushant Dalmia: Primarily if you look there were no big movie song released this quarter, these were primarily let us say regional songs and Hindi songs both, but there was no big movie let us say last year we had PS1, PS2 and Freedy. This quarter let us say we didn't had a big movie song release but let us say to our 9 months as we have communicated in this call the pipeline is good for us.

Surbhi: Could you share some insights of what has been cost gone behind the new content and what is the revenue potential? So, with new release content which has been released in the last 6 months?

Sushant Dalmia: What we share typically let us say for every content the payback period would be around 4 to 5 years. It would be difficult to bring down and give you the 6 months number, but any content we acquire on a basket basis the payback period would be around typically 4 to 5 years.

Surbhi: Has the payback period stretched for you a little bit? Is this increasing content cost there versus what it was say 2 years back?

Sushant Dalmia: Marginally it has, but as you know that we are not aggressively bidding for the content. We need quality content and that is why we are sticking to our payback period of 4 to 5 years.

Moderator: Thank you. The next question is from the line of CA Garvit Goyal from Nvest Analytics. Please go ahead.

CA Garvit Goyal: Just a clarification on in Page #6 in your slide, you have mentioned a movie Rs. 2,500 crores kind of in FY23 so what is the expected growth for that number overall industry

for next 3 to 5

years because you are saying after 3 to 4 years you will be targeting somewhere 11% to 12% share in that, so that is why I am asking?

Kumar Taurani: I think the industry numbers are in between 15% and 20%.

CA Garvit Goyal: That means it will prevail for next 3 to 4 years as well?

Kumar Taurani: Yes.

Moderator: Thank you. The next question is from the line of Mayur Parkeria from Wealth Managers. Please go ahead.

Mayur Parkeria: Actually I forgot to ask last time, sir before 2, 3 quarter I spoke to you, had one request that this weekend on an annual basis or any periodicity, sir if you can give the understanding that how much of our revenue is coming through movie releases which has been before 2000 then before 2010, then before, if you can give a broad color after stacking that a little bit, is a suggestion, so

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that it will be good to know where we are lost and how we are good progressing, sir? You have told us we will see if we can do, just one more request again if possible.

Kumar Taurani: Actually, thinking is going on, our internal team is there to decide what to do, so we will tell you in 1, 2 quarters. We will come back to you.

Mayur Parkeria: And sir just one thing have we mentioned that in this year we are going to spend Rs. 85 crores, Rs. 90 crores because I missed that I think? Is that the target because 65, 70 I remember?

Kumar Taurani: We are assuming that whatever our revenue is the content cost spent will be around 30%.

Mayur Parkeria: As a percentage of revenue you are seeing. Last year we have spent Rs. 60 crores, so broadly this year's content cost will be in the same line or it will significantly increase?

Kumar Taurani: There will be a slight increase, will not significantly increase, but slightly will increase.

Moderator: Thank you. Ladies and gentlemen that was the last question for today. I would now like to hand the conference back to Mr. Nikunj Jain from Orient Capital for closing comments.

Nikunj Jain: Thank you. I would like to thank the management for taking the time for this conference call today and also thanks to all the participants. If you have queries please feel free to contact us.

We are Orient Capital, Investor Relation Advisors to Tips Industries Limited. Thank you so much.

Moderator: Thank you. On the behalf of Tips Industries Limited, that concludes this conference. Thank you all for joining. You may now disconnect your lines.

Call: Nov 2023

October 23, 2023

To,
Listing Department
BSE Limited
P.J Towers, Dalal Street,
Fort, Mumbai – 400 001

Scrip Code: 532375 To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E), Mumbai – 400 050

Symbol: TIPSINDLTD

Sub: Transcript of Earnings Conference Call

Dear Sir/Madam,

In terms of the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of earnings conference call on Unaudited Financial Results for the quarter ended September 30, 2023 held on Wednesday, October 18, 2023.

You are requested to take this information on your record.

Thanking you,

For Tips Industries Limited

Bijal R. Patel
Company Secretary

Encl: a/a

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"Tips Industries Limited
Q2 and H1 FY '24 Earnings Conference Call"
October 18, 2023

MANAGEMENT : MR. KUMAR TAURANI – CHAIRMAN AND MANAGING
DIRECTOR – TIPS INDUSTRIES LIMITED
M R. GIRISH TAURANI – EXECUTIVE DIRECTOR – TIPS
INDUSTRIES LIMITED
M R. HARI NAIR – CHIEF EXECUTIVE OFFICER – TIPS
INDUSTRIES LIMITED
M R. SUSHANT DALMIA – CHIEF FINANCIAL OFFICER –
TIPS INDUSTRIES LIMITED

MODERATOR : MR. NIKUNJ JAIN – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to the Q2 and H1 FY24 Earnings Conference Call of Tips Industries Limited. As a reminder, all participant lines will be in the listen-only mode.

There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nikunj Jain from Orient Capital. Thank you. Over to you, sir.

Nikunj Jain: Thank you, Dorwin. Good morning, ladies and gentlemen. I welcome you for the Q2 and H1 FY24 Earning Conference Call of Tips Industries Limited. To discuss this quarter's business performance, we have from the management Mr. Kumar Taurani, Chairman and Managing Director, Mr. Girish Taurani, Executive Director, Mr. Hari Nair, Chief Executive Officer, Mr. Sushant Dalmia, Chief Financial Officer. Before we proceed with this call, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risk and uncertainties. For more details, kindly refer to the investor presentation and other filings that can be found on the company's website. Without further ado, I would like to hand over the call to the management for their opening comments and then we will open the floor for Q&A. Thank you and over to you, sir.

Kumar Taurani: Thank you, Nikunj. Good evening, everyone, and welcome to the Q2 FY24 Earnings Call of Tips Industries. It's a little early, but on behalf of my entire team, let me wish you all a very happy Dussehra and very happy Diwali. As you already know, our team works very hard and their efforts of the last few years are now showing in the performance. Our catalogue is very popular and attracts a lot of listeners. We are observing very strong usage rates across all our digital platforms and helping us to improve our market share. In preparation for the next stage of growth, we are strengthening our team.

Just this month, Mr. Hari Nair has joined us as CEO and you already interacted with Mr. Sushant Dalmia, our CFO. The board has declared an interim dividend of INR 2 per share as part of our ongoing efforts to reward our shareholders. That makes the interim dividend for the first half INR 3 per share. Allow me to introduce our CEO, Mr. Hari Nair. He has 25 years of diverse experience in media and technology. He has worked in various roles in the music industry for the past two decades. In 2019, he joined ByteDance and led music partnerships and licensing in South Asia for them. He was instrumental in launching Resso in India and working with apps like TikTok, Hello and CapCut. With this I hand over this call to Hari. Over to you Hari.

Hari Nair: Thank you sir for the kind introduction. Let me extend a warm welcome to everyone on the call and also like so wished I wish you a happy Dussehra and a very happy Diwali. I'm very excited to be part of Tips and keenly looking forward to contributing to the growth of this company. I joined on October 1st and I'm still getting acquainted with the people and systems. Also, I'm very pleased with whatever I've seen till now and fully committed to delivering the organization objectives of 30% for the next few years. I'll interact with all of you in more detail once I'm fully acquainted with the business and the organization. With that, I will hand over the call to Girish to brief you about our performance on the digital platforms. Thank you, everyone.

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Girish Taurani: Thank you, Hari. Good evening, everybody. Our catalogue has been doing exceptionally well. And all our distribution partners are very happy with the Repertoire's performance on their respective platforms. Let me share some met

rics with you. Our YouTube subscribers have increased to 89.7 million across all channels on YouTube. YouTube views for this quarter were 50.9 billion and have registered a growth of 86% over the corresponding quarter last year. On the audio streaming side, Spotify is now focusing to grow the paid subscribers in India. At this point, I will restrict myself here and before I hand over the call to Sushant, I wish you all a very happy Dussehra in advance and happy Diwali as well. Thank you.

Sushant Dalmia: Thank you Girish and welcome everyone to Q2 FY24 Earnings Call. As you are aware we at Tips Industries charge off the entire content cost in the quarter of release. Now let me take you to the financial highlights of the quarter gone by. The company has reported a healthy quarter. Our revenue for the quarter was INR 60.9 crores as compared to INR 49.6 crores in Q2 FY23. That is a year-on-year revenue growth of 23%.

Operating EBITDA for the quarter stood at INR49.8crores vs. INR27.2 crores in Q2 FY23 i.e. an annual growth of 84%. Operating EBITDA margins were at 81.9% for this quarter. Our profit after tax for Q2 FY24 stood at INR39.7 crores vs. INR20.8 crores in Q2 FY23. That is a growth of 90%. PAT margin for the quarter was 65.2%. Content cost for the quarter was INR4.7 crores vs INR17.2 crores in Q2 FY23. In this quarter, we have also booked one-off export incentives

that is of INR1.13 crores of the past year on account of SEIS scheme. This forms part of our other income.

Highlights of first half FY24 are as follows. Revenue for first half FY24 was INR113.5 crores versus INR83.8 crores in first half FY23, which was a growth of 35%.

PAT for first half FY24 was 66.8 crores versus 38 crores for first half FY23, which was a growth of 76%. With this, I conclude my opening remarks. I wish you all a very happy Dussehra and a very happy Diwali in advance. And with this, I open the floor for discussion.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of CA Garvit Goyal from NVEST Analytics Advisory LLP. Please go ahead.

Garvit Goyal: So congratulations for a good set of numbers. My question is on the margin side. So 82% margin seems dramatically high and majorly due to fall in other expenses. So can you please comment on why this fall is there and how sustainable it is?

Kumar Taurani: See, our content cost was lower this quarter. So because of that also is a major reason. But actually we are also doing very well on our repertoire side. So if you see the end of the year, we will as committed as I suggested, we target key, we will have a top line of 30%. And even this year we will have a top line of 30% and bottom line also will be 30% so I think it will be more than 30% I guess now.

So and major reason is that because our yes we have a less new releases but apart from that our catalogue whatever we have accumulated so far our repertoire is really doing very very well. So these are the two reasons we can say.

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Garvit Goyal: And sir you mentioned 86% growth Y-o-Y on YouTube views, but revenue growth is only 23% so what is the reason for it?

Kumar Taurani: See in YouTube numbers there is a new service called Shorts so that is a huge numbers accumulating huge numbers on that and that service actually is a lump sum deal with YouTube so we are not making huge money on that side, but overall if we see YouTube, that is also growing.

Garvit Goyal: And how do you look at H2? Because 30% earnings growth guidance as you mentioned for full year FY24, over FY23. But if you look at the numbers, we are already close to entire over FY23 in first half only. So the fact is Q3 is our best quarter. So how do you look at H2 over H1?

Kumar Taurani: H2, you're talking about PAT basically.

Garvit Goyal: Yes, bottom line, right.

Kumar Taurani: On the bottom line, I feel like, I said 30% we will do, but it seems we will also cross 40%. So, let's keep finger crossed and we are pushing ourself to do big numbers this year. So, let's see.

Garvit Goyal: So, how do you look at this margin profile because these margins are very much fluctuating obviously on the positive side right now. But on a sustainable basis, what is our margin profile for the next 1-2 years?

Kumar Taurani: I already said that 30% will be top line, 30% will be bottom line. That I see in the next 2-3 years, I think this will keep going. So it seems that we can do that and we will do that.

Garvit Goyal: I was asking from the EBITDA margin profile, OPM margin?

Kumar Taurani: EBITDA will be, I think that will be you plus the taxes, so you will get that number. But I think let Sushant take this. Sushant, can you say how much EBITDA will be?

Sushant Dalmia: So, let's say on the margin front, operating margin front, Mr. Goyal, let's say last year in FY 23 we reported around 55% of operating earnings margins. Let's say this year also, with 30% revenue growth and a likely bottom line growth of 30%. It could range between 55% to 60% for the full year.

Garvit Goyal: Understood, sir. And so with new CEO, Mr. Nair, entering into the business, what is our strategy for growth going ahead? Like you mentioned in the press release that some next phase of growth and increasing major distribution capabilities, along with the expanding on the new domains, etc. So what are the exact plans to achieve these milestones in order to have the ultimate growth?

Kumar Taurani: Give him six months, we'll come back to you. There is a, every quarter we talk to you. We will tell you next two, three quarters, let him understand the company and whether we from 30% we can go to 35% or 40%. So let us see that.

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Garvit Goyal: Understood. And sir one last question on the Spotify side. So that is our digital partner and that has changed its free services like it is now charging for repeat song features, tapping back and play in order. So two questions on this side, have you witnessed any fall in revenues because of that and secondly have you any communication with them like in near term Spotify may face

any headwinds due to these restrictions imposed by them on the user?

Kumar Taurani: No, I don't think it's too early to comment on that because I think they have done last week only and I don't feel they will get any negative about this because people are really enjoying and liking Spotify. So everybody will pay INR100 I feel. But it's a good thing for the industry. At least Spotify has taken this call. It's very good for industry. At least somewhere it is started.

Moderator: Thank you. The next question is from the line of Ravi Naredi from Naredi Investments. Please go ahead.

Ravi Naredi: Thank you very much. We welcome Hari Nair, a CEO of company, which was very much necessary for the company. Mr. Taurani, you bring Diwali to every investor home before Diwali with fine results. Thanks to you a lot.

Kumar Taurani: Thank you. Thank you.

Ravi Naredi: Sir, how you utilize INR150 crores cash lying with us, this is a very important thing and I think it will be clarity in your mind how to utilize for the benefit of company?

Kumar Taurani: See we always keep some cash if there is an opportunity to acquire some special content or some small label or something, acquisition comes up with us. So idea is to keep INR200 crores as in the company but not immediately first keep 200 crores and then start paying dividend or doing buybacks. The idea is to keep doing buyback and giving dividend. Within the next 3-4 quarters we will build a kitty of INR200 crores in the company. If we get an opportunity, we will be ready for that. Otherwise we will keep dividend and buyback.

Ravi Naredi: Yes, I understand sir. Very nice thought

about this. But in INR200 crores, which type of opportunity are we looking?

Kumar Taurani: There are many opportunities. There are many small labels. If it happens, then it's fine. If we get labels or something like that, then it's fine. Otherwise, there is no other way. We will keep giving more dividends and pay out, we will do buybacks. What else will we do?

Ravi Naredi: Right. Sir, YouTube views from quarter 2 to quarter 1 rises 5% only. While it is in quarter 4 to quarter 1, it rises 44%. So, what are the reasons for slow growth?

Kumar Taurani: No slow growth. The growth is healthy. Sushant please tell something on this.

Sushant Dalmia: Raviji no specific reason. The growth is healthy. Quarter-quarter, last quarter it was approx. 100% YOY here. This quarter is also 86% YOY. So we don't see any specific reason. The growth is healthy for us.

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Kumar Taurani: 86% growth is fixed. Best growth here.

Ravi Naredi: Right. That we understand. And sir, any new film releasing quarter 3 and quarter 4 for this current year which music we already bought?

Kumar Taurani: Yes, I think 4 or 5 films will get released. 2 films in next quarter, I think this quarter in Q3, Merry Christmas and one maybe there is a Balaji film called Buckingham Murder. Maybe we release that film and Merry Christmas is a Tips film. We release these 2 films and after that quarter there is another Balaji film. We have Crew and there is another film, Ishq Vishk from Tips films that will release. So these four films will release.

Ravi Naredi: All music rights with Tips industries, right?

Kumar Taurani: Yes, yes, yes.

Ravi Naredi: And sir, one thing here, what is the cost of new film music at present? Like this you have bought from Balaji. What will be the cost? Do you want to give any figure?

Kumar Taurani: See, I can't give you figure, but I can tell you the range. From INR50 lakhs to around INR35 crores-INR40 crores is the cost of music price of the films these days.

Ravi Naredi: INR50 lakhs to INR35 crores?

Kumar Taurani: INR40 crores. INR40 crores also.

Moderator: Thank you. We have the next question from the line of Saket Mehrotra from Tusk Investments. Please go ahead.

Saket Mehrotra: Hi. I had a question on the growth, right? Is it like, were there any new platform additions this quarter or is it just like more usage of our existing catalogue and new content like if you could give us some sense on that?

Kumar Taurani: There is no new platform or nothing new existing platforms, existing companies we are dealing with so nothing our repertoire is doing really well. So that is the thing.

Saket Mehrotra: Okay. Are there any one-offs by any chance? Like any new MGs or any new contracts that we've gotten into or price revisions?

Kumar Taurani: Nothing has happened actually. It's a routine. Also, Yes, nothing is like that.

Saket Mehrotra: Okay, and in the opening statement, Sushant, you mentioned about SEIS, it was not very clear. How much did you say was the export incentive that we want?

Kumar Taurani: INR 1 crore 13 lakhs

Saket Mehrotra: Okay, and this is...

Sushant Dalmia: Part of other income.

Saket Mehrotra: Okay, and this is for how many years?

Sushant Dalmia: This is for one year.

Moderator: Thank you. The next question is from the line of Ankush Agarwal from Surge Capital. Please go ahead.

Ankush Agarwal: Yes, hi everyone. Tauraniji, recently we won this court case with Wynn. So, any revenue impacts on Q2, because I think court judgment mentioned some INR5 crores of protest money that Wings has deposited?

Kumar Taurani: Yes, actually two years back, I think three years back, first appeal with the court, they deposited INR5 crores with the court. We have not received any money from them and from court also we have not received any money from them. We have

judgment in favor of Tips. So we will

try and reach with them and try to settle this matter with them and settle past also and start business also with them.

Ankush Agarwal: Secondly, Tauraniji, now that you have hired a CEO, can you tell us the clarity between responsibilities, that you will focus more on the content creation and Hariji will take care of more of the distribution and monetization part? Have you thought about this?

Kumar Taurani: We have a lot of different thoughts in our mind. And what you are saying, that's also a major thing we have in mind. But still, let's see for a few quarters, how things are made. When Hari is interacting with the entire department, and he will tell us how we can further grow our business. We have brought it to this point and our vision of 30% how we can increase it further. So, all this will be clear in the next 1-2 quarters and Hari will talk to you further about many things. So, he will tell you everything.

Ankush Agarwal: Lastly Tauraniji, if I talk about contents, content cost is absolutely low. INR 4 crores is very low compared to last 7-8 quarters. This is a specific reason that you are looking at something structural. You said last quarter that you will focus on quality and will complete 200-250 songs in a year. But INR 4 crores, INR 5 crores content cost is very low. I mean, you said at the start of the year that you are seeing INR 80 crores, INR 85 crores of content cost on FY '24. So, is it still intact and is it more of a temporary phase and will there be more content cost next to it or is there something else behind it?

Kumar Taurani: No, the numbers are very good and plus, content is not in our hand sometimes. We acquire as many as non-film or make, sometimes we never make a video of someone who is yet to be fixed in music, or the rights of the film have been taken away, the film has been postponed. So all this keeps happening. For this, I always tell you all, please treat us as a one year, that in one year we are achieving our targets.

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And no content has come in this quarter, so I think that's what we will do this year. We will do 30% of revenue towards content with respect I think we will do that much our 30% of revenue this year. But because our catalogue is really doing well, so profitability is increasing and that is benefiting the company.

Ankush Agarwal: That's right, Tauraniji but if the content is running in the short term, but in the long term, if you want to build a company, then you will have to invest preemptively. Just because your content is still running, it doesn't mean that you will stop investing?

Kumar Taurani: No, I have never said anywhere that I will not invest. I always maintain that we will do 30% of revenue. I always say, we will take quality content and will be more focused on what to do and will work harder on it. And we definitely need content. I am a firm believer in that. And one more thing I assure you, even our repertoire, whatever we acquire till now, all these repertoires, I think from the 90s to 2020, if I calculate as a back catalogue, I don't face any problem. I can easily say that we are safe for 25 years. There is no problem. But that doesn't mean that we won't create new content. We will achieve our target of 30%-35% of revenue. In big multinationals, the target is to spend money also. So we are working towards that.

Ankush Agarwal: Last question, just a feedback. Like you said earlier, if you could share the percentage of revenue, the percentage of catalogues between different decades, like if it's from the 30s, 90s, or after 2000, if that is possible, can you share it? It's really very good.

Kumar Taurani: See, the majority, I think 90% of business is from catalogue till 2020. You can calculate from the beginning to 2020. We haven't made such big investments till now. Last year we only had three big films. And th

ere is not much. But actually we are trying to, we are developing that

system. Hari has come, so we will make our analysis team and reporting very strong. In the next 4 to 6 quarters. And we will work on that very fast. That is also a major thing we want to see.

Moderator: Thank you. The next question is from the line of Prashant Galphade from Whitestone. Please go ahead. Prashant, the line for you has been unmuted. You may proceed with your question.

Prashant Galphade: Sir, at the moment I don't have a specific query, I have the answer to my question.

Moderator: Thank you. We have the next question from the line of James from PrimeCap. Please go ahead.

James: Congratulations on a great set of numbers.

Kumar Taurani: Thank you.

James: Sir, just regarding the content cost, there was one question. Do you see that in the coming quarter the content cost will go back to, you know, the previous quarter which we were seeing?

Kumar Taurani: Yes, it will go back to previous quarter.

James: Okay, and this would be maintained with the same revenue or it would be even see revenue growth going forward?

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Kumar Taurani: You can calculate revenue like 30% more of last year numbers. So, accordingly numbers will be achieved and reach that numbers. And bottom line, after maintaining content cost to 30%, it will come to 30% plus PAT.

James: Okay, sir. Thank you. That's it from my side.

Moderator: Thank you. The next question comes from the line of Marutinandan Sarda an individual investor. Please go ahead.

Marutinandan Sarda: Hi sir, good afternoon.

Kumar Taurani: Good afternoon.

Marutinandan Sarda: Congratulations for great set of numbers. Sir, my question is regarding, currently there is no income from Instagram. Is it a correct fact?

Kumar Taurani: Yes.

Marutinandan Sarda: So, if you look at the situation worldwide, is there any opportunity or scope for us in future to monetize from Instagram and if we take a very conservative outlook also, what can be the revenue potential from this?

Kumar Taurani: According to us, it's a big number. But according to them, Instagram, is a very small number.

That's why we are not there on that service. But, earlier also, we were not there on JioSaavn, we were not there on Spotify. But slowly, slowly, we came there. And we are now, except Wynk and Instagram, we are everywhere. Even now, we won a case with Wynk, so I feel -- we will be soon on Wynk too, next quarter. And Instagram also, we keep talking but let's see, when the ice breaks happens at what point of time.

It will happen right now or after one quarter or two quarter.-- they need us, we need them. Both of us --- need is there. But numbers has to be correct. They have to value our content. Sometimes they feel Tips, which was four years before, it is the same one. But people have slowly, slowly realizing that, Tips is changing. If you compare the Spotify with us in the last year, our business has doubled compared to them.

Our partners are really valuing us. If you see our presentation also, how we have grown, how our market share has increased. All this is happening. Instagram is the only party, last person I feel with whom our content is not available. That will also come. But if you see it business wise, the way the price they are offering us, it's negligible.

It is not worthy for long term, if you see it in five years- seven years, it will have a huge impact, if we do not take such tough calls. So, we need to take such tough calls. So, please be with us and trust us. Whenever the deals are done, we get happy, we want to crack deals, but sometimes these problems are there, so we have to do take little hard calls.

Marutinandan Sarda: Okay, thank you for clarification and all the best for future. Thank you.

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Kumar Taurani: Thank you.

Moderator: Thank you. The next question

is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: Congratulations, sir, on good set of numbers and thank you for the opportunity. Sir, I just wanted to understand, if I'm not wrong, you earlier guided for somewhere around 55% to 60% operating margin, whereas we have earlier done like 67% operating margin in the first quarter and 82% in quarter 2. Is there any specific reason or you are being very conservative on your this side of the fight?

Kumar Taurani: It's a major content cost. Content is less this year. Because of that, our numbers are really nice. But overall also, we are doing good. Our repertoire is selling, music is selling. So as committed that 30% will be our PAT growth but what I see now, it will be 40%. This year, PAT will be touched or little more also. So it's doing well. Our music is selling on all the platforms.

Vignesh Iyer: I got the point that since we didn't do any acquisition except in this quarter and we do 100% of cost in the same quarter of the acquisition. So with 55%- 60% are we going for an aggressive set of acquisition in next two quarters? That's why is it -- any hinting towards that.

Kumar Taurani: No, no, no. we see Mr. Vignesh we never do this that we suddenly get aggressive that if it is a good number then let's go let's run buy content no we go on our yearly plan or two years three years plan 30% we have to invest 30% to 35% our plan, 30%-35% May be 32% or 28% of revenue in some year. In that range we will be so according to that range, we have already taken our content for this year It didn't come in this quarter, it will come in next quarter. So ultimately we will end up spending 30% of our number. We have to spend this much money on content acquisition. We will do that, we have to spend this much money on content acquisition, we will do that. We will spend that money, plus the top line 30% we will achieve that. The bottom line instead of 30% growth what I feel we will achieve 40% growth this year.

Vignesh Iyer: Okay, right, right. Got it, got it. That's all from my side and all the best. Thank you.

Kumar Taurani: Thank you.

Moderator: Thank you. The next question is from the line of V P Rajesh from Banyan Capital Advisors. Please go ahead.

V P Rajesh: Yes, hi. Thanks for the opportunity and congratulations on a very good set of numbers. So you gave the range for the cost of acquisition of a song between INR 30 lakhs to INR 40 crores, or INR 50 lakhs to INR 40 crores, I think. So can you share also the average cost you have paid in the last 12 months per song?

Kumar Taurani : Average per song? Last year, you are saying?

V P Rajesh: Yes, in the last 12 months or in fiscal 23, just to get a sense of where that cost comes out.

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Kumar Taurani: Last year we spent INR 60 to INR 63 crores and around 700 songs were taken out. So, what would be the average? INR80, INR70 lakhs. Hello?

V P Rajesh: Yes, I'm here.

Sushant Dalmia: Mr. Rajesh, the average would be around that INR6 to INR7 lakhs.

V P Rajesh: INR 6 to INR 7 lakhs, right?

Sushant Dalmia: INR6 to INR7 lakhs on an average we are talking Mr. V. P. Rajesh. On an average. Just a broad division of numbers, so INR 62 crores by 900 songs.

V P Rajesh: INR52 crores, that's for 900 songs last year, correct? Fiscal '23.

Sushant Dalmia: Yes.

V P Rajesh: Okay. And then in terms of the competitive intensity, if you can talk about that, sir, in terms of , if you're going for a content acquisition, are you seeing a lot of people aggressively bidding and what is the environment for that?

Kumar Taurani: Yes, actually people are aggressively bidding. So that problem we have in the industry. But we are not in that rat race. We have our relationships and that arms length company, TIPS Films, they also produce films. We acquire those films also. So I think that way we are safer. We get a good qua

lity content, what I would project. So I think, we don't have that problem because we are not greedy. We want to acquire all the content. We have our own limits and budgets.

Accordingly, we are managing in that. And I think that's a safer kind of thinking.

V P Rajesh: Got it. All right, thank you and all the best.

Moderator: Thank you. The next question is from the line of Mythili Balakrishnan from Alchemy Capital Management Pvt. Ltd. Please go ahead.

Mythili Balakrishnan: Hi, my question was on this growth which is basically like how much was the growth in say the domestic streaming versus the international business versus non-streaming business. If you could sort of break it up for us, that means all three are growing the same or is it slightly different?

Kumar Taurani: See always 20%, 25% is from overseas. So it's exactly the same pattern. Maybe 1%, 2% here and there it will happen. But not more than that. So growth is the same.

Mythili Balakrishnan: And in terms of the domestic versus the non-streaming business like IPRS?

Kumar Taurani: Like I said, that is around 22% to 25% and digital business is around 75% to 78%.

Mythili Balakrishnan: Okay, so there is no change in that. All three of them are sort of growing at a similar kind of a...

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Kumar Taurani: No, I think digital is growing more than other parts.

Mythili Balakrishnan: Got it. We didn't add any partners etc. So is it just number of streams that people have listened to that has sort of grown for us? That is leading to the growth?

Kumar Taurani: Yes, people are listening to our music more. So that is a major part of our growth.

Mythili Balakrishnan: Got it. That's all from my side. Thank you. Thanks very much.

Kumar Taurani: Thank you.

Moderator: Thank you. We have the next question from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP. Please go ahead.

Garvit Goyal: Hi, my question is already answered. So.

Kumar Taurani: Okay, no problem.

Moderator: Thank you. The next question comes from the line of Saket Mehrotra from Tusk Investments. Please go ahead.

Saket Mehrotra: Hi, is Mr. Nair there on the call?

Kumar Taurani: Yes, he's there.

Hari Nair: Yes. Hi.

Saket Mehrotra: I just wanted to, get some sense from you on, how do you see this whole short form game evolving. In the last three years, four years, we've seen like the consumption has really gone up. But when do you really see this, let's say, generating some kind of ad revenues or some other layer, where it gets more monetized a bit? Because clearly, it has got everyone's attention. So, what is that threshold where we can see this evolve into like a more money-making business for the industry?

Hari Nair: On the short format video app, that's what your question is?

Saket Mehrotra: Yes.

Hari Nair: Yes, so I think YouTube and Instagram for us will be the major players here and globally, it would be TikTok. But revenue side, it is still very, very early. We see all platforms growing in advertisements, but it's not showing up signs that which will, say it will grow every year consistently at 10%. That's, does that answer your question?

Saket Mehrotra: Yes, so, yes, we know that, to a large part, this is driving engagement for these platforms. My question was more to do with, is there like a threshold that, okay, once it reaches, let's say X views, or, y number of subscribers, then we can see some of these really now starting to monetize

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as maybe, we have some sort of a threshold for, let's say some of these audio streaming apps that okay, if let's say, you're targeting to reach 10 million, 100 million customers to start to pay, when the industry becomes something which is worthy of monetization. So that was basically, what I was trying to get a sense of?

Hari Nair: No, so to answer that, if you cross probably 50 m

illion, there's a lot of opportunity for the

platforms on the ad sales side. It depends upon the platform on how they monetize, how aggressively they pitch and how the brands go and put in their money in that particular bucket. There's a lot of factors on that. But yes, anything above 50 million in India should make money, start making money.

Saket Mehrotra: Okay. Thank you. Thanks a lot.

Moderator: Thank you. The next question is from the line of Dinesh Kulkarni, an individual investor. Please go ahead.

Dinesh Kulkarni: A great set of numbers, sir, first of all. Congratulations to that. I have some very basic questions. Like we see a significant jump in margins, EBITDA margins, both on a year as well as quarter-on-quarter basis. That's a great stuff there. But do we see this kind of numbers sustaining, not for this just year, but like say going forward for the next two years, three years, something like that?

Kumar Taurani: Yes, I think 30% top line, 30% bottom line growth will be comfortably we'll achieve.

Dinesh Kulkarni: Okay, that's great. And just the Wynk news, like I just want to know, like say assume you come up with a win-win situation for on the both parties there, do we see any incremental advantages there for tips, like in terms of revenues or margins?

Kumar Taurani: Yes, absolutely it will happen, yes.

Dinesh Kulkarni: Can you just quantify is it possible?

Kumar Taurani: Not yet because we have to wait for that. How -- what kind of a deal we are structuring and what kind of a old settlement will happen, it will take little time and we really can't come, what is in their mind, what is in our mind. So we have to just wait for that.

Dinesh Kulkarni: Okay that's great. Just another book keeping question here for this. The half year, I see changes in working capital as negative INR23 crores whereas it has been positive for the last both March '23 as well as September '22 half year numbers. May I just know the reasons for that?

Kumar Taurani: Sushant.

Sushant Dalmia: Hi, Mr. Dinesh. This is primarily due to the change in working capital. One, there has been increase in debtors, primarily because revenue has increased and we would receive this amount by end of October. Secondly, the other current liability, which constitutes non-refundable advance received from customers in earlier quarters has reduced because revenue has been

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booked against it. This is actual streaming. So these are the two reasons where you see your cash flow from operations dropping.

Dinesh Kulkarni: Okay. That sounds good. Thank you. Thanks for answering my questions and all the best.

Sushant Dalmia: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Nikunj Jain from Orient Capital. Over to you, sir.

Nikunj Jain: I would like to thank the management for taking the time out for this conference call today. And also thanks to all the participants. If you have any queries, please feel free to contact us. We are Orient Capital Investor Relations Advisors to TIPS Industries Limited. Thank you so much.

Moderator: Thank you. On behalf of Tips Industries Limited, that concludes this conference.

Management: Thank you.

Management: Thank you.

Moderator: Thank you. Thank you all for joining us and you may now disconnect your lines.

Call: Jan 2024

(no extractable text — likely a scanned image PDF)

Call: May 2024

May 7, 2024

To,
Listing Department
BSE Limited
P.J Towers, Dalal Street,
Fort, Mumbai – 400 001

Scrip Code: 532375 To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E), Mumbai – 400 050

Symbol: TIPSINDLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

In terms of the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of earnings conference call on Audited Financial Results for the quarter and year ended March 31, 2024 held on Monday, April 29, 2024.

You are requested to take this information on your record.

Thanking you,

For Tips Industries Limited

Bijal R. Patel
Company Secretary

Encl: a/a

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"Tips Industries Limited
Q4 FY '24 Earning Conference Call"
April 29, 2024

MANAGEMENT : MR. KUMAR TAURANI – CHAIRMAN AND MANAGING
DIRECTOR – TIPS INDUSTRIES LIMITED
M R. GIRISH TAURANI – EXECUTIVE DIRECTOR – TIPS
INDUSTRIES LIMITED
M R. HARI NAIR – CHIEF EXECUTIVE OFFICER – TIPS
INDUSTRIES LIMITED
M R. SUSHANT DALMIA – CHIEF FINANCIAL OFFICER –
TIPS INDUSTRIES LIMITED

MODERATOR : MR. NIKUNJ JAIN – ORIENT CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to Q4 and FY24 Earnings Conference Call of Tips Industries Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and zero on a touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nikunj Jain from Orient Capital. Thank you and over to you, sir.

Nikunj Jain: Thank you, Muskaan. Good evening, ladies and gentlemen. I welcome you to the Q4 and FY24 Earnings Conference Call of Tips Industries Limited.

To discuss this quarter's business performance, we have from the management, Mr. Kumar Taurani, Chairman and Managing Director, Mr. Girish Taurani, Executive Director, Mr. Hari Nair, Chief Executive Officer and Mr. Sushant Dalmia, Chief Financial Officer. Before we proceed with this call, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risk and uncertainties. For more details, kindly refer to the investor presentation and other filings that can be found on the company's website.

Without further ado, I would like to hand over the call to management for their opening comments and then we can open the floor for Q&A. Thank you and over to you, sir.

Kumar Taurani: Hi. Good evening, everyone, and welcome to the Q4 FY24 Earnings Call of Tips Industries.

During FY24, we distributed a total interim dividend of INR6 per share as compared to INR0.50 per share in FY23. The Board of Directors have announced a buyback of shares the promoter family has decided to abstain from participating in the buyback. Therefore, the amount, the entire amount of INR37.19 crores excluding taxes will be distributed amongst minority shareholders.

That we are able to reward our shareholders in this manner is a matter of pride for me.

I think and appreciate our team's work, which reflects in our financial performance. We have been producing and acquiring non-film as well as film music rights. Our in-house productions will come from Tips Films and we will selectively acquire quality music rights from the other producers as well.

We were not getting good quality music last year and even if we got it, the prices were extremely high. We will pick quality music at the right price, hence our investment in the content fell short by approximately INR15- 16 crores. Tips will always focus on buying, producing and delivering quality music. For FY25, we expect investment in content to be higher than last year, but it also depends upon availability of quality music, price that is being demanded, release calendar of films and other factors. Now, I will ask our CEO, Mr. Hari Nair to share his thoughts. Over to you, Hari.

Hari Nair: Thank you, sir. Good evening, everyone. So, as you see the global IFPI report, the average growth rate of the music industry is about 10%. Similarly, there was a report from EY Media and Entertainment, I think that also projected the same numbers. We have done better than the global and domestic average. We look forward to repeating this growth rate in FY25 also.

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Last quarter, we entered into a new global exclusive contract with Warner Music Group and that strategy improved the scope of our digital distribution across India and globally. We have also set up new brands and partnership division to further fuel growth of our business. Audio Electronics brand BoAt use our song Hai Rama to promote their new headsets, which also featured actor Ranveer Singh.

Our catalogue continues to be in demand and our recent film music of Crew was trending on YouTube, Spotify, JioSaavn and continues to

be in charts. Radio broadcasters are also playing the song on repeat. I will hand over the call to Mr. Girish to provide insights on our content business. Thank you.

Girish Taurani: Thank you, Hari. We have added 179 new songs in Q4 of FY24, bringing the total songs released in FY24 to approximately 733 as compared to 896 last year. This time the focus has been much more on quality songs.

We released the music of the film Crew and all three songs, Choli Ki Peeche, Naina, Ghagra are among the top 10 trending across all major platforms. Sona Kitna Sona Hai is also picking up on the streaming services. The non-film songs that we released last quarter are Sabki Baratein Aayi 2, Jab Tum Saamne The and devotional song Tere Bharose Guruji.

All are doing decent numbers as per our expectations. Our catalog song Dil Laga Liya from the

film Dil Hai Tumara crossed 1 billion views on YouTube. This marks a very significant milestone for us. On a regional music front, Telugu music from the film Hanuman continues to trend and stream across all audio platforms. Similarly, we had a good run with new Bhojpuri and Rajasthani releases. This showcases diversity of success we had with our music production and acquisition.

Last quarter, we signed an independent artist DJ Flipside exclusively for producing our remixes. He is a young and talented individual from the South. We have aggressive plans for film music content acquisition in FY25. We will also invest in independent music sign-up talent as well.

Now I will pass on the call to Sushant to discuss the financial performance of the company.

Thank you.

Sushant Dalmia: Thanks Girish. Welcome to the Q4 FY24 Earnings Call. I am delighted to share the financial highlights of this quarter, reflecting the strong performance of the company.

Our revenue for this quarter amounted to INR63.26 crores compared to INR52.01 crores in Q4 FY23, resulting in year-on-year growth of 22%. The other income of INR5.33 crores includes one-time income of INR1.7 crores from SEIS scheme. Secondly, the employee expense of INR4.7 crores this quarter includes one-time ex-gratia payment to employees of around INR1.2 crores during the quarter. Operating EBITDA for the quarter reached INR30.2 crores, showing an annual growth of 14%. Our PAT for the quarter was INR25.8 crores, a notable increase of 41% from INR18.36 crores in Q4 FY23. Content cost for the quarter were 23.95 crores up from 18.95 crores in Q4 FY23.

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Now moving on to the FY24 highlights. Revenue for FY24 reached INR241.6 crores up from INR186.8 crores in FY23 demonstrating a growth of 29%. PAT for FY24 stood at INR127.2 crores compared to INR76.52 crores previously marking a growth of 66%.

During FY24, the company has declared a cumulative interim dividend of INR6 per share which brings the pay off ratio for FY24 to be around 60.6%. With this, I conclude my opening remarks and open the floor for Q&A discussion.

Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Garvit Goyal from Nvest Analyst Advisors. Please go ahead.

Garvit Goyal: Hello. Am I audible?

Moderator: Sorry, sir, you are not audible.

Garvit Goyal: Hello, am I audible?

Moderator: Can you speak little louder sir?

Garvit Goyal : Hello.

Moderator: Can you speak little louder.

Kumar Taurani: Let's proceed and see how it comes.

Garvit Goyal: Hi, am I audible, right?

Moderator: No sir you just disconnect and connect again. Please sir. The next question is from the line of Ravi Naredi from Naredi Investment. Please go ahead.

Ravi Naredi: Taurani sir. Good afternoon.

Kumar Taurani: Good afternoon.

Ravi Naredi: Sir, how many films released in quarter 1 and what are content cost of song in quarter 4 of these films which we have released?

Kumar Taurani: Quarter 4, I think we have done around INR20 crores to IN

R23 crores. Sushant, please tell me

what is the exact number?

Sushant Dalmia: INR23.95 in Q4.

Kumar Taurani: 20...

Sushant Dalmia: INR23.95 CR.

Ravi Naredi: How much 3? Sir, I could not listen.

Kumar Taurani: Around INR24 crores approximately 24 crores.

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Ravi Naredi: INR24 crores. Sir, any more movies plan in quarter 1 of financial year 25?

Kumar Taurani: Yes, we have some plans. Ishq Vishk Rebound is coming in quarter .So that will release.

Ravi Naredi: Sir, very interesting point to this our company. Paid streaming revenue in our top line and what plan you give for next 2 years for paid streaming? How much we will receive and how it is going on? How the industries will gear up for paid streaming? Can you tell through what because you are leader in this industry, so you can guide in completely?

Kumar Taurani: I think industry, music industry worldwide doing well and same will be in India also industry is doing well. Everybody has a growth, but I think we will be little different than others. As our repertoire, whatever we have done so far is really doing well. Our repertoire whatever we acquired started acquiring from 1988 till 2023 you can say doing pretty well.

So as committed earlier, this year for FY25 I feel 30% growth on top line is possible -- as you see in FY24 bottom line as compared to last year was up by 66%. But still we feel on 66% we will do another 30% this year i.e. in FY 25 as well. So I am targeting myself for that and really we will all do hard work and I feel we will achieve that.

Ravi Naredi: Understood, sir. But paid streaming can you tell few more words about that?

Kumar Taurani: Yes, paid streaming is increasing, day by day it's showing a progress and all the focus of all these platform companies like Spotify or Wynk or Gaana all their focus is on the paid to increase paid by. So I think that's a good thing for the industry, but as mentioned earlier it will still take 2 years, 3 years more to have very good numbers to see.

Ravi Naredi: Sir, in quarter 4, net profit margin is 41% versus 53% in quarter 3. So what estimate we may take for financial year 25?

Kumar Taurani: FY 25 see now you can calculate whatever our entire year's bottom line you calculate 30% growth on that. Our target is to achieve that. So we will try and achieve that.

Ravi Naredi: Net profit margin?

Kumar Taurani: Yes. You are talking about PAT I think.

Ravi Naredi: Thank you, all the best, sir.

Kumar Taurani: Thank you.

Moderator: Thank you. The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: Yes just wanted to understand, was this acquisition cost lower or so like you said was there any change in the in-house versus outside movies or anything in that, that helped us to have lower costs because the number of songs released is nearly the same, yet the cost is lower sir?

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Kumar Taurani: No, Pallavi, we are focusing to acquire good quality content and our budget is the same. Maybe our target is, maybe we will reduce further, and maybe this year we will do only between 150, approximately 150 songs. So we are not going to reduce amount, but we are improving our quality and going for bigger numbers, bigger artists and bigger those things. So I feel keeping that budget in mind, we will produce better songs. So I think, so there is a, from this year onwards, our focus is on quality rather than quantity.

Pallavi D.: Right. So even last year was something like that, but yet we did 740 songs. So just understanding, from 740 we will go to 150, is that the right number?

Kumar Taurani: Yes, I feel it's the right number. I'm not focusing on really a hardcore number, maybe it will be for 140 or 170, that depends upon how, whatever we are acquiring. We are acquiring some films and some film

has 4 songs, some film has 8 songs. So we can't say the exact number, but approximately I told you that.

Pallavi D: And in terms of the number of movies per song acquisition, that will also be three to four Hindi and total 10 to 15 songs?

Kumar Taurani: I think our target is to at least acquire Hindi, Tamil, all languages put together, around eight to 10 films, yes. And average should be five songs per movie, so 50 songs we should get from film side. That's the idea.

Pallavi D: Right, so there was this news about this Varun Dhawan and David Dhawan tie-up with TIPS, released on October 2. Have we already paid for that? Have we got purchased the music rights for that one?

Kumar Taurani: That is Our other company TIPS Films has signed them. We have not done any deal about that with the company. That will happen in due course.

Pallavi D: And sir, will that film be on profit sharing? Because then I wanted to understand how does the music right acquisition work if it's on a profit sharing?

Kumar Taurani: What we have done is, we have done that we have appointed a valuer, a government approved valuer. And he has given us a formula, on this basis you can acquire, you can do transaction with TIPS Films. And our both auditors and the plus board has also approved that, entire policy what we have made. And accordingly we buy music from them.

Pallavi D: Nice. And sir, lastly on this Warner Brothers deal for the global music rights, I just wanted to understand that a little better. Right now how is it being then accounted for? Because now you have Warner for global, but till now how was it being done?

Kumar Taurani: See, Warner, we had a smaller deal, three and a half years back. And now we have done a next deal with them. And so we have given them all existing audio streaming services, platforms, and one or two other things. And we have done a deal with them on an MG basis, minimum guarantee

we will get. And we will get every year's money upfront. And then they will keep sending us, every quarter they will send us reports.

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Every month they will give us a report and finalization of all three months report will be combined. And we will show those figures in the books. And whatever money's we got, that will be as a non-refundable advance will be with us. So that is the arrangement we have done with them.

Pallavi D: So till now they were only doing domestic and now you are doing with the international as well, is that right?

Kumar Taurani: They were earlier also doing domestic and international. And now we have given them a few more platforms where they can do international and India, both.

Pallavi D: Okay, got it. Thank you, sir. Come back later.

Moderator: Thank you. The next question is from the line of Aashish Uplagaonkar from InvestQ. Please go ahead.

Aashish Uplagaonkar: Yes, hi. Thank you. Sir, regarding this deal with Warner, taking it further. So I believe the payouts are a bit amplified versus what it was earlier. So does that in any way change the trajectory of top line and earnings for you? Or that 30% CAGR which you have been guiding, that was keeping in mind the amplified payouts that will happen with this deal?

Kumar Taurani: The 30% including this deal Yes. Because it's the same thing. If we do directly or do through Warner, it's the same thing. So it's including whatever we are guiding 30% year-on-year, it's the same thing, including Warner as well.

Aashish Uplagaonkar: Okay. And on the content side, I think this quarter, I understand that you have been saying that one should look at it annually. But was there one-off increase in the content for this quarter?

Because it's I think almost 45% of the annual content that is written off in this quarter. So is there anything which is one-off or higher?

Kumar Taurani: It can happen in future also. Please understand, content is not in my hand. When producer decides

, I want this crew on 29th March, so I have to release that in February. If they say, I am going to release in June, so it could have gone in the next quarter. It could have been further inflated the profit. But I think it's applicable for entire industry, not only with the Tips. So whenever producer writes his film, sometimes it's come early, pre-poned by one or two weeks. And sometimes it goes, maybe they can delay by one quarter or two quarters also. So these are the regular happenings in the industry. So we follow that.

Aashish Uplagaonkar: Okay. So in the past few years, you have been exceeding the delivery on revenues and profits versus what you have been guiding, though you have been guiding that 25%-30% kind of growth. So are there possibilities there that something might expedite versus what we think right now? Maybe the pay model clicks earlier than what we are thinking right now.

Is there anything on the ground to suggest that the delivery on growth for you would be higher than what you are anticipating right now?

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Kumar Taurani: Ashish, it can happen. Really. I am very positive about our business. Really, it can happen. And we are really pushing from all the sides. Recently, we have Mr. Hari has joined us last six months. And he has also brought in many good people. And we are also concentrating on other businesses rather than regular businesses. We are talking to brands. We are talking to sync. There are lot many other options as well. So we are doing that and this is 30% I think it's safer, but whatever happens see this year we have a bottom line of 66% and now our next year will be I am trying and I am very confident it can happen on 66% we want 30% growth.

So our target is like that. So I think it's already showing our reports. If you see from INR90 crores in 2021 till INR241 this year in 3 years' time. So I think whatever comes, it comes and we are pushing it. We are targeting ourselves for 30% growth, but if it happens more we are absolutely ready and aiming for that.

Aashish Uplagaonkar: Lastly, you said that the industry is trying to get into the pay model, but if we understand correctly the bigger platforms still are not pushing it as much. I understand Spotify and others are doing that, but the bigger platforms are still not doing that. So is there anything to suggest on the ground that they would also fall in line with the effort that others are putting in?

Kumar Taurani: See there is recently there was an event happened of Spotify. Spotify is number one today and I think in a stream service Spotify must be 45%, 50% of the entire FY. So they said they have celebrated 5 years in India and they have announced publicly that our next focus for the next 5

years will be that we want to convert at least 60%, 70% of this market as a paid market. And they have done that successfully overseas. So I feel that the platform is saying and they are focused and they also know they also need growth and they also know that they also have to provide us growth. So they will focus on that and if you see recently if you go on YouTube or if you go on Spotify they trouble you a lot of advertisement and they push you to be a paid subscriber. I think that's happening well. It's converting. It will take a little time, but I think we will see good numbers in future.

Aashish Uplagaonkar: Okay. Thank you so much sir.

Moderator: Thank you. The next question is from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agrawal: Hi, sir. Thank you for taking my question. Taurani ji couple of questions on this Warner deal. So I think in one of the recent interviews you have said that in this new deal MG is 10x more than the earlier deal. So I wanted to understand that in the earlier deal, were we getting an overflow or were we getting just MG?

Kumar Taurani: Actually, in the earlier deal there was MG . When

we did the deal, we thought that they will recover MG, but maybe they won't -- maybe they will have a loss , but touchwood they have recovered their money. They have done entire profit and we are getting overflow. Yes, we are getting overflow on that deal as well.

Ankush Agrawal: Okay. And sir, how many years is this new deal I think last 3.5 years this new deal is about?

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Kumar Taurani: New deal is approximately around 4 years.

Ankush Agrawal: Sir, will MG remain constant or will it increase year after year?

Kumar Taurani: MG is constant. MG is constant. It is fixed. We have taken it from them according to the projection of 4 years. And if we surpass that MG there will be an immediate kick-in of overflow.

Ankush Agrawal: And there is a split of 85-15, right?

Kumar Taurani: Yes, yes.

Ankush Agrawal: Another question, Taurani like now since all the platform deals like excluding YouTube, I am assuming YouTube is not into this, right?

Kumar Taurani: Yes. We have given them two, three South Indian channels which we really need to grow and one, two channels which are Punjabi we have given them those five channels. We wanted to see in YouTube if an international player does business on YouTube, what is the revenue and if we do it, what is the revenue? So, we have given them five small channels.

Ankush Agrawal : So, we have given some regional content to Warner on YouTube also?

KumarTaurani: Yes.

Ankush Agrawal: So, sir, the fundamental question in this will be that there will be a client concentration type of theme because Warner would be dealing on our behalf with everyone, like from Spotify to all the streaming platform? So, don't you think there is a risk somewhere?

Kumar Taurani: Ultimately, if you look at our music business deeply, it is a content game. Main is a content game. Distribution is a secondary thing. So, the one who has the content he is the king. So, distribution is fine. We need them too. It's not that we don't need them. But as I was telling you when our deal was coming to an end, Spotify and all those players with whom we did not have a direct deal, they also approached us directly.

We have not gone to them. They approached us directly. Why don't you come directly with us? But we felt very comfortable and we are getting upfront MG for 4 years. So, we felt that going this time with Warner is very good and we will see that in future if we want to change that.

Ankush Agrawal: Second question, sir till now some of the platforms like Gaana, JioSaavn these were not there because we were trying to negotiate hard to get the right price for ourselves, but now since Warner would be doing that and they would be looking at it a more larger deal like a consolidated deal. So, maybe they won't negotiate that hard deal by deal. So, don't you think there can be some revenue loss there?

Kumar Taurani: No, there won't be any revenue loss. I think Warner being an international big player, their negotiation power is better than us. It is not less than us. So, you can rest assured that we took this decision very carefully.

Ankush Agrawal: So, in Q4 you didn't get any benefit from the deal?

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Kumar Taurani: Even today, I can assure you that the 40% 50% of our YouTube business the 1%, 2% that we have given to YouTube the majority is with us. Other all revenues the 25% that we have got that

is with us. I still feel that we are holding 65% of our business ourselves.

Ankush Agrawal: And in Q4 there should not be any benefit I think till March it was there in Q1 you will see the benefit?

Kumar Taurani: Yes.

Ankush Taurani: Lastly sir just accounting clarification so our noncurrent liability has jumped about INR70 crores. So I am assuming it will be MG what we might have got?

Kumar Taurani: Yes. I think it will be more than INR70 crores.

Ankush Agrawal:

Non-current liability is INR70 crores. Okay, sir. Thank you very much.

Moderator: Thank you. The next question is from the line of Shriksha Jain from PMS Wealth. Please go ahead.

Shriksha Jain: Hi, sir. This is Shriksha. Thanks for giving this opportunity. Sir, am I audible?

Kumar Taurani: Yes.

Shriksha Jain: Hi, sir. Sir, my first question is in terms of the content cost for next year. So what I understand is, what you said is, we will be releasing 150 songs, right? And the content cost would be similar to this year's level, like INR70 crores to INR75 crores kind of is what we are planning to invest in content next year, sir?

Kumar Taurani: Yes, we have a budget of INR75 crores-INR80 crores. We have thought about it. Yes.

Shriksha Jain: And, sir, in terms of our employee cost, even if I exclude the one-off that we have, there is a slight jump in the employee cost. So can we assume that as the new run rate for the employee cost going forward, sir?

Kumar Taurani: Little bit will be here and there, very nominal. It won't affect much. But it will go up because we need a few expensive people. And with these new businesses, we are getting more aggressive in that. So we need few people. So we are hiring those. And already, I think hiring is already almost complete. Maybe one or two persons will come in more.

Shriksha Jain: Right. Okay. And, sir, another question was we have a short-term investment of INR91 crores. So if you could just help us understand what kind of instruments we are holding in the short-term investment?

Kumar Taurani: Sushant, tell us.

Sushant Dalmia: Can you repeat your question? Sorry.

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Shriksha Jain: I just wanted to understand the details of our short-term, like current investments of INR91 crores that we have on the balance sheet.

Sushant Dalmia: Yes. So, primarily it's into mutual funds, debt mutual funds. And towards, let's say, it's liquid and short-term funds.

Shriksha Jain: Okay. And could you also share the details of the investment property that we have? Where exactly is this property and the valuation or some numbers, something around that?

Sushant Dalmia: Which property?

Shriksha Jain: We have an investment property of INR11 lakhs. Is it...

Sushant Dalmia: Investment property, it's old one, let's say, around that INR11 lakhs. That is primarily, let's say, the industrial galas, old galas, which we have. And the current market value would be around that INR4 crores of that.

Shriksha Jain: Okay. And Taurani sir, just two more questions for you. Paid streaming, you said it's going to become very big going forward in next five years. What I understand currently for us, the paid streaming revenue has not started coming in, right?

Kumar Taurani: No. Paid streaming is coming, but it's not coming -- small money, but it's coming.

Shriksha Jain: Okay. So I assume it will be less than 5% of our overall revenue, or is it like you could get some percentage in terms of percentage?

Kumar Taurani: It could be that much, Yes.

Shriksha Jain: Okay. And, sir, the Warner deal, what I understand is, the MG that we are getting, they are giving it in the form of upfront advance, right?

Kumar Taurani: Yes. MG divided into three parts. First part was a little bigger Every year, we will get that.

Shriksha Jain: Okay. Plus the overflow.

Kumar Taurani: Plus overflow, Yes.

Shriksha Jain: Okay. Thank you, sir, and congratulations for a good set of numbers.

Moderator: Thank you. The next question is from the line of Abhishek Nagaraj from Alts Wealth Private Limited. Please go ahead.

Abhishek N.: Hi. Thank you for the opportunity. This is regarding the deal with Warner. There is a minimum guarantee, but is there any protective clauses around increasing the minimum guarantee once the entire industry also goes behind a paywall? This is one of my first questions, and then I'll follow up with the rest.

Kum

ar Taurani: No. I think whatever we have done is a fixed deal, and we have properly projected our four-year revenue. We have kept all those things in mind, and we have entered a number, we negotiated,
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and we closed one number. And if we enter more than that, if the number goes more than that, immediately overflow will start.

Abhishek N.: Okay. Understood. The second question was on, say, for example, if we estimate that we'd be earning INR100 on a particular piece of music that we own, how much of that comes in the first year, second year, and the third year, if you can you give some guidance on that?

Kumar Taurani: Please repeat that.

Abhishek N.: So, basically, on the lifetime value of the music that we own, say, we are earning INR100 on a particular song that we own, how much of that actually translates into revenue in the first year, second year, and the third year? I'm assuming there will be a rundown, right? After a couple of years, the revenue from that particular piece of music comes down over time. I just want to know what is the guidance on that.

Kumar Taurani: See, what I feel -- earlier, we used to decide that this new song is, after six months, it's a catalog song because we used to recover investment in three, four months' time. And now, what I feel is that whatever we invest, we will recover our money in four to five years' time. But still, we write off our entire content cost acquisition in the same quarter. You know that, I feel.

Abhishek N.: Yes.

Kumar Taurani: We don't carry forward anything. We just write off everything in the quarter we release our content. So, we don't have any liability. So that way, we feel safe. It's our kind of business. But I assume that in case -- if I'm recovering my money in today's time, the competition is too much, in four to five years, actually, mentally, I want the money to come back in two to three years. But for investors' sake, I feel that four to five years is safer. It's a good investment. And we do deals that way.

Abhishek N.: Got it. Also, you were mentioning about the new businesses that you're looking to set up. If you can give some color on that. What are the new businesses? How are we looking at the revenues and the costs that will get impacted once it is stable?

Kumar Taurani: Actually, it's not a new business. We do business that brands and sync rights any movie or any brand to take our song. So, earlier, we used to fulfill whatever query we get. But now, we have appointed a team. They will go to each company, and they will talk to them, and maybe they can bring some business. So, that we are trying to do more.

Abhishek N.: Agree. Last question is from the perspective that the company has been paying out significant dividends and buybacks. One, from a perspective of tax efficiency, dividends and buybacks are not typically considered very tax efficient. Is there any thought process of the management to probably recapitalize or probably distribute bonds to shareholders, which would then become tax deductible expense at the hands of the company, which again goes on to increase shareholder returns? Or is this the policy that we would want to continue with dividends and buybacks? Maybe we can consider this. Sushant, can you say something about this?

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Sushant Dalmia: We will look into it. But currently, we will continue with dividends and buybacks. But since you brought to our notice on this, we will check with the consultants and circle back.

Abhishek N.: I have done some analysis on this, and I am happy to share it across offline. And if it is of interest, that is something that we can look at for the benefit of everyone.

Sushant Dalmia: Sure, we will definitely do that.

Abhishek N.: Thank you.

Moderator: Thank you. The next question is from the line of Mythili Balakrishnan, from Alche

my Capital

Management. Please go ahead.

Mythili Balakrishnan: Hello, am I audible?

Kumar Taurani: Yes.

Mythili Balakrishnan: Hi. I had a couple of questions. One is, what would be the mix between your digital streaming kind of revenues versus your non-streaming?

Kumar Taurani: That is same, 75%-25%. So 75% is digital and 25% is online.

Mythili Balakrishnan: Got it. So both the businesses are sort of going at a similar pace?

Kumar Taurani: Yes.

Mythili Balakrishnan: Got it. And share of YouTube, if you could sort of indicate in the overall streaming part of the pie?

Kumar Taurani: Sushant, how much is YouTube? I think 50% will be there?

Sushant Dalmia: Yes, between that 45%-50%.

Mythili Balakrishnan: 45%-50% of overall revenues?

Kumar Taurani: Yes.

Mythili Balakrishnan: Got it. I just wanted to get a sense of this content cost, because earlier we were indicating that we would do 30% of our top line. But in the year coming ahead, it looks like we are aiming a lower number, right? Around 25% odd?

Kumar Taurani: Actually, still, if we get a good content, then we will do 30% also. We will go for 30%. 25%-30% is our target. We will invest that much money.

Mythili Balakrishnan: In content, And just to get a sense of the schedule? We talked about Ishq Vishq, which is there in Q1. But there was also other movies, right? Buckingham Murder and stuff. Has that caught on?

Kumar Taurani: Which one?

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Mythili Balakrishnan: There was some...

Kumar Taurani: Buckingham, Murder. That is coming in second quarter.

Mythili Balakrishnan: Okay, so that has got a little delayed and pushed out. And in terms of any other key names that we need to keep in mind, in terms of the timing, etc?

Kumar Taurani: We were discussing with a few producers, so it will come. We will tell you in next quarter. We will keep on telling you.

Mythili Balakrishnan: Got it. This warner deal I just wanted to get one clarification. This number that we have sort of recorded in current liabilities, this is just for the first year, right?

Kumar Taurani: Sushant?

Mythili Balakrishnan: For all the four years.

Kumar Taurani: No, no, it's the first year. But Sushant, can you clarify please?

Sushant Dalmia: Firstly, you have to look at both numbers, non-current and current. Let's say there is INR71 crores in the non-current. That is also pertaining to an advance. And let's say there is INR64 crores lying in, other current liabilities. So you have to look from an advance perspective, you have to look at both the numbers.

Mythili Balakrishnan: Okay. So INR71 in the non-current and INR64 in the other current.

Sushant Dalmia: Yes.

Mythili Balakrishnan: So this is the total which is there for this particular year, right? FY'25. Or does this also pertain to the years ahead?

Sushant Dalmia: It would pertain. The non-current would pertain to the years ahead also. Yes.

Mythili Balakrishnan: Got it. And how will you recognize it, sir? How does the recognition happen?

Kumar Taurani: Quarter on quarter they will give us reports. Accordingly, we will do that.

Mythili Balakrishnan: Got it. And the overflow, it is 85:15 in our favor, right? 85% for us and 15% for them.

Kumar Taurani: Absolutely. Yes.

Mythili Balakrishnan: Okay. Thanks, sir. That's all from my side.

Moderator: Thank you. The next question is from the line of Ca Garvit Goyal from Nvest Analysis advisory.

Please go ahead. Sorry, sir, you are not audible properly. The next question is from the line of Lokesh Sabarwal, an individual investor. Please go ahead.

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Lokesh Sabarwal: Hello, sir. Congratulations for the wonderful result. I have a query. You said that you would be coming up with 150 new songs. So in those particular songs, how many of the regional songs are you targeting apart from Hindi, particularly like Telugu?

Kumar Taurani: Te

lugu, particularly Telugu. Telugu, we are trying. But see, South market suddenly has become really very aggressive. So we don't know how many songs. I think at least we will acquire three to four films. Around say 20-30 songs will come.

Lokesh Sabarwal: And one more query. In terms of inorganic growth, do you have any kind of plan in terms of acquisition of any Hindi or regional small music label which can increase your inventory?

Kumar Taurani: We are always open to that. Whenever opportunity comes, we will definitely look at that.

Lokesh Sabarwal: Thank you, sir.

Moderator: Thank you. The next question is from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agrawal: Hi, sir. Thank you for the follow-up. For clarification, I think you mentioned somewhere that the first year's MG is higher than the rest three years' MG, like on an annual basis.

Kumar Taurani: Three years' MG, what about that?

Ankush Agrawal: The first year's MG is a little higher compared to next three years.

Kumar Taurani: No. It's not like that. Total MG is one package. On the contrary, MG is a little lesser of first year. Second year, MG will increase for four years. But advance, we have taken more advance from the first year.

Ankush Agrawal: Advance is coming up, sir.

Kumar Taurani: Yes, we have taken a little more advance from the first year.

Ankush Agrawal: Oh, okay, got it. Thank you.

Moderator: Thank you. The next question is from the line of Vinay Agarwal from Shri Venkatesh. Please go ahead.

Vinay Agarwal: Congratulations, sir, for a good set of numbers. Just wanted to inquire that our group company named Tip's Film is now going to expand its portfolio substantially over a period. So, can you give an idea that going forward, what portion of the total content cost would be earmarked for acquiring content from our group company?

Kumar Taurani: I think maximum it can be 30%-35% from our own company. We acquire content. I think it will be that much. And that is the target we have kept for this year. And so, let's see.

Vinay Agarwal: Okay, thank you, sir.

Kumar Taurani: Thank you.

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Moderator: Thank you. As that was the last question for today's conference, I would now like to hand the conference over to Mr. Nikunj Jain from Orient Capital. Please go ahead.

Nikunj Jain: Thank you. I would like to thank the management for taking the time out for this conference call today. And also, thanks to all the participants. If you have any queries, please feel free to contact us. We are Orient Capital Investor Relations Advisors through TIPS Industries Limited. Thank you so much.

Kumar Taurani: Thank you. Thank you.

Moderator: Thank you. On behalf of TIPS Industries Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Kumar Taurani: Thank you. Bye.

Call: Jul 2024

July 29, 2024

To,
Listing Department
BSE Limited
P.J Towers, Dalal Street,
Fort, Mumbai – 400 001

Scrip Code: 532375 To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E), Mumbai – 400 050

Symbol: TIPSINDLTD

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

In terms of the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of earnings conference call on Unaudited Financial Results for the quarter ended June 30, 2024 held on Wednesday, July 24, 2024.

You are requested to take this information on your record.

Thanking you,

For Tips Industries Limited

Bijal R. Patel
Company Secretary

Encl: a/a

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"Tips Industries Limited Q1 FY-25 Earnings
Conference Call"

July 24, 2024

MANAGEMENT : MR. KUMAR TAURANI – CHAIRMAN & MANAGING
DIRECTOR, TIPS INDUSTRIES LIMITED
MR. GIRISH TAURANI – EXECUTIVE DIRECTOR, TIPS
INDUSTRIES LIMITED
MR. HARI NAIR – CHIEF EXECUTIVE OFFICER, TIPS
INDUSTRIES LIMITED
MR. SUSHANT DALMIA – CHIEF FINANCIAL OFFICER,

TIPS INDUSTRIES LIMITED

MODERATOR : MR. VIRAL SANKLECHA - ORIENT CAPITAL.

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY25 Earnings Conference Call of Tips Industries Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the "*" then "0" on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Viral Sanklecha from Orient Capital. Thank you and over to you, sir.

Viral Sanklecha: Thank you, Steve. Good evening, ladies and gentlemen, I welcome you for the Q1 FY25 Earnings Conference Call of Tips Industries Limited.

To discuss this Quarters Business Performance, we have from the Management, Mr. Kumar Taurani – Chairman and Managing Director, Mr. Girish Taurani – Executive Director, Mr. Hari Nair – Chief Executive Officer and Mr. Sushant Dalmia – Chief Financial Officer.

Before we proceed with the call, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risk and uncertainties. For more details, kindly refer to the Investor Presentations and other filings that can be found on the Company's website.

Without further ado, I would like to hand over the call to Management for their Opening Remarks and then we will open the floor for Q&A. Thank you and over to you, sir.

Kumar Taurani: Thank you. Welcome to the Q1 FY25 Earnings Call of Tips Industries.

As you all know the Company has recently completed a share buyback for non-promoter shareholders, amounting to Rs.46.62 crores inclusive of all taxes. We will continue to pay out surplus cash to shareholders. I would like to thank all of our shareholders who have reposed their trust in us and faith in our Company. We have changed our content acquisition strategy. And accordingly, you will see fewer releases from Tips our content expense will remain approximately 28% to 30% of revenues. Our team has been working hard and their efforts are now visible. And all of us continue to work on new projects which will continue to benefit the Company in the future. Now, I would like to invite our CEO – Mr. Hari Nair to share his thoughts with us.

Hari Nair: Thank you sir. Hello, everyone.

We are seeing a decent growth of our music across all our digital platforms including YouTube, and Spotify. The Company has reported revenues of Rs.73.9 crores in Q1 FY25. A significant

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increase by 40% year-on-year. YouTube, Spotify, JioSaavn remained the key growth drivers for our digital content, be it new releases or our catalogue. Another key development is the launch of our in-house ERP system called Pulse, where it should aid an automation of content management, reporting and analytics. Now, I will hand over the call to Girish Taurani to provide more insights on our content business. Thank you.

Girish Taurani: Thank you Hari. We have added 97 new songs to our music library as of Q1 FY25. Among these 79 belong to non- film music, and 18 belong to film music. Our strategy is focusing more on quality rather than quantity. In the previous quarter, we released music from the film Crew, including tracks like Choli Ki Peeche and Naina, each of which has surpassed 100 million views on YouTube and continue to perform excellently on all audio platforms. Similarly, songs from the movie Ishq Vishk Rebound have done some exceptional consumption, with tracks like Soni Soni securing top position in top 10 ranks of Spotify charts. Other songs on the same film such as Ishq Vishk Pyaar Vyaar, which is the title track, and the revamped Gore Gore Mukhde Pe by Badshah have also been performing well.

On the regional front, we had several releases in multiple languages, and one of whi

ch

noteworthy is Gujarati track called Jhamkudi which is from the same film which was made viral by the community. Now, I will pass on the call to Sushant to discuss the financial performance of the Company. Thank you.

Sushant Dalmia: Thank you Girish. I am pleased to share with you our financial highlights for the quarter. Our revenue stood at Rs.73.9 crores in 1Q of FY25, making a significant increase from Rs.52.6 crores in Q1 FY24 representing a strong year-on-year growth of 40%. The other income for Q1

FY25 stood at Rs.4.6 crores as compared to Q1 FY24 at Rs.2 crore. Our operating EBITDA for the quarter reached Rs.54.4 crores showing a year-on-year growth of 55%. Furthermore, our PAT for the quarter was at Rs.43.6 crores reflecting a notable increase of 61%. The PAT margin for the quarter is 58.9%. Our content cost for the quarter stood at Rs.12.7 crores as compared to Rs.12.2 crores in Q1 FY24. With this, I open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Ravi Naredi from Naredi Investment. Please go ahead.

Ravi Naredi: Thank you, Taurani sir. You are a wonderful person. Company is growing like anything in your direction. We might touch \$1 Billion market cap soon. Your performance is really excellent giving good dividend payout and buy back regularly. We give a big thank you to you. Sir, my question, did you plan how many songs we may add in Financial Year '25 and content cost, what is your figure in your mind. Second projection for Financial Year '25 growth in top line and bottom line?

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Kumar Taurani i: Thank you Mr. Ravi for your nice comments. Yes, our growth is same pattern as always communicated we will achieve 30% top line and 30% bottom line we will achieve this year too. And as far as songs are concerned, we have already released 100 songs approximately and our target is, this year it will be 300, but our target is to go for a quality, next year onwards you will see further less number of songs, but the spending wise it will be same, but quality wise it will be better and better and better. So, that is our focus for coming months.

Ravi Naredi: Sir, you are giving always the guidance very less amount, this quarter we grow bottom line 61% and you are telling only 30% anyway, how much revenue we may earn from YouTube out of total revenue can you disclose this?

Kumar Taurani : We can't tell you the exact number, but you can, as always mentioned that between 45% and 50% is always YouTube. So, you can have that percentage wise you can, whatever if you want to calculate yourself maybe you can do that.

Ravi Naredi: Very lucrative figure. And sir content cost last year was 55.6 crore versus 62.4 crore in Financial Year '23. So, what is possibility this year?

Kumar Taurani : Around 80 crore you can assume will be a content investment.

Ravi Naredi: Sir, any new movie releasing in Tips Films, which music we bought?

Kumar Taurani : Yes, many movies we have bought, we have coming Buckingham Murder and then there are two, three movies Tips Films is making. So, we have many things in plan, we target that we want to release music first to release at least 15, 20 movies including regional so that is our target to release every year.

Ravi Naredi: In Tips Films banner right?

Kumar Taurani : No, it's Tips Films Music we will release so many and from that Tips Films will give us two, three movies.

Ravi Naredi: Right. And sir this EBITDA margin this quarter rises to much, 73.6% and profit after tax margin 58.9% is extraordinary excellent figure. So, we will maintain this figure in current year?

Kumar Taurani : As I always said that, please look us at yearly basis, don't go quarter-on-quarter basis, maybe in next quarter, we have more of content. So, maybe our figures won't do that much percentage wise, but overall, if

you see in the year end we will achieve 30% top line, 30% bottom line minimum but as quarters maybe after second quarter or third quarter we can tell you that we are going to do more or 30%.

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Ravi Naredi: No, you are giving this gross margin, I am asking about net profit margin. It is 59% in this quarter.

Girish Taurani: Sushant, you look at this.

Sushant Dalmia: Ravi it would be similar range of the last year.

Moderator: Thank you. The next question is from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agrawal: Mr. Taurani I have two questions. Firstly, if we see this quarter growth then Wynk have booked Rs. 5 crore and if we remove that then our growth is about 30%. So, I wanted to understand how much of growth has come from the new deal with Warner, a qualitative understanding. And how much has come from YouTube traction given that this quarter we got a good traction from Ishq Vishq, songs so it is likely our YouTube revenue will be good. So, qualitatively can you tell us where was the growth much, was it because of the Warner deal or YouTube for this quarter?

Kumar Taurani : Ankush it's a combination of everything, when we say 30% then we calculate all these factors. And sometimes we do more than 30% so other might have performed better. So, we did our

things very conservatively. So, we have considered everything little bit, we count everything and then we arrive at 30%. That we have to achieve the target of 30% and then we push ourselves to do that or more. So, it's a mixture of everything. As far as Wynk is concerned, yes, we have settled with them. As we have already declared that Rs. 12 crores was the settlement, Rs. 5 crores we have taken in this quarter and Rs. 7 crores we will get in second quarter so we will take that as well. If we keep the Wynk amount aside then also we have achieved, we are on target 30%, 31%, I always tell to see things on yearly, but this quarter is really good, and we have done really well.

Ankush Agrawal: Mr. Taurani, second question was on content. As you said that we will do 28% to 30% of revenue and about 80 crore of content was expected but if we see the Q1 then our content cost was slow, so do you have any visibility for the coming quarters that our content cost will increase? Are you expecting any big deal which will use the content cost?

Kumar Taurani : This year we have committed films and that much content is utilized as per our targets, but we still have room for one or two movies we can acquire but more or less we do have content but at time in our business few movies shift to next year or if there is any delay so we can't say anything on such delays because it is in the hands of the Producer and Directors all those people we are depending on them. But this year we are very close to reach 80 crores.

Moderator: Thank you. The next question is from the line of Kavish Parekh from B&K Securities. Please go ahead.

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Kavish Parekh: Sir on our content acquisition strategy, this quadrant was a notable share of non-film music, is this a trend that is expected to continue. And usually what is the difference between the cost for non-film music and payback period on the same. If we were to compare the same to film music. And the second question on the similar lines, what sort of a revenue contribution does the non-film music bring in for us. Thank you.

Kumar Taurani : Sushant, please reply this.

Sushant Dalmia: In case of let's say, we won't be able to give you the exact break up of film and non-film, but let's say overall non-film won't be a substantial contributor except let say one or two –But overall both on the revenue and cost front, it won't be a substantial contributor.

Kavish Parekh: Okay. But going ahead, do we continue to acquire a majority of our new acquisition shall be on the

normal side, is that the right understanding?

Sushant Dalmia: It would be both and let say primarily more towards film's music

Moderator: Thank you. The next question is from the line of Rahil Shah from Crown Capital. Please go ahead.

Rahil Shah: I just wanted to ask, other than like, songs what is our strategy going ahead in terms of acquisitions, what new will we be doing, and you mentioned something about Pulse, I missed it can you just please elaborate on that?

Kumar Taurani: You are asking about Pulse?

Rahil Shah: Pulse as well separately, and also key strategies going ahead what makes you confident about this growth and what will lead to it if you can just draw out a plan for us?

Kumar Taurani: See, Mr. Shah our main growth reasoning is, our 90s repertoire, whatever we acquired from 1988 onwards till now, everything is doing so well. And we have always focused from beginning, we have always focused on quality content. So, our repertoire is you can say it's a new retro now, and it's really, really doing well, exceptionally well. And, if you compare we have a less number of songs, but our all songs are doing well. Compared to other companies, we are in better position. So, that's the main reason we are doing well. Plus, our new releases also, recently our back-to-back two films Crew and Ishq Vishq both have done well, and all the songs people are liking. So, that is the main reason where we can say, we can sustain whatever we say 30%. So, that's a main reason. And as far as Pulse is concerned, yes we have a new system in place. Mr. Hari will tell you about that more. Hari, please continue.

Hari Nair: So, Pulse basically takes care of content management and delivery, and also reporting analytics. So, it's basically having more processes in place so that our teams are geared up for the next

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level of growth that we want to achieve in the Company. So, any specific other question on that please let me know.

Rahil Shah: No, just a basic understanding how will it help us. So, what kind of expense do we see there, is it substantial it is suggested?

Hari Nair: No, it is very minimal, it is an in-house product, so it's very minimum.

Moderator: Thank you. The next question is from the line of Jyoti Singh from Arihant Capital Markets.

Please go ahead.

Jyoti Singh: My question is on the subscription-based audio stream side. So, now as per the data given in the presentation on the 21 PPT. So, just wanted to understand this subscription thing that is currently quoting 49%. So, how big we are seeing going forward in 24 and 25, because as per my understanding, it will help us to grow better labels platform. So, if you can guide us on that side and also more of bigger release that is expected from the film side Q2 and Q3. So, if content cost is going to increase, so it will be further impact on Q2 or Q3. So, if you can guide us on that side sir, thank you.

Kumar Taurani : Content cost I have said that it will take care off and we have a budget this year of 80 crores. So, we will be in that range only, it will not impact our bottom line or top line, so we are absolutely secured that way. And as far as subscription is concerned Mr. Hari will tell you more about that.

Hari Nair: So, overall if you see the global numbers are very, very encouraging. And in India we are very less comparatively, because we are getting there so if you see a larger platform like YouTube, it has a substantial double-digit number in paid subscription. Whereas the audio platforms are still lagging and there is a single number of the overall premium subscriptions. So, it will take another two, three years and the platforms are doing all the right things to limit the free usage and motivating the users to go to the paid, but it will take time, it's not going to be six months or one year, it's going to take at least two, three years more.

Jyoti Singh:

Thank you sir. Sir just wanted to understand one more thing. So, as we have given Indian digital ad industry will growing very fast. So, in our song, if we are playing any song from Tips on YouTube, or Spotify, so if I am not a paid subscriber, so it will be how much percent that ad is there?

Hari Nair: So, if you see, Spotify they also share the advertising revenues with the record labels, bases the usage and the consumption and the prorated share of the labels plays. So, and in India, if you see the YouTube model, it's more advertising led, the revenues are primarily advertising. So, it will continue to be an advertising led model on the YouTube side. But, it will start decreasing year-on-year when the paid subscription goes up.

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Jyoti Singh: Yes, sir just wanted to understand on the percentage side, so like it is 35% or 50%, how much ad we play on a song basis?

Hari Nair: No, it depends on platform-to-platform basis, how much ad they get from the brands, it changes from month-on-month, there is no definite percentage levels over there, so it is upon all your ad capacity and what you have got ads from the brands.

Jyoti Singh: Okay, thank you sir. And sir just last question, if I can ask. So, on the social media platform like Meta, so monetization has not happened in the way YouTube and Spotify. So, what our expectation on that side?

Hari Nair: On the Meta, , we are partially there. So, monetization over there, again is due to advertising only there is no pay mechanism over there. So, it will continue to be like that for some period, but Meta is big because of Instagram reels. They will play a major role in the coming future for us.

Moderator: Thank you. The next question is from the line of Sakshi Chabhra from Swan Investments. Please go ahead.

Sakshi Chabhra: Just wanted to understand that in this quarter, what will be the contribution of revenue from new content versus the catalogue content?

Sushant Dalmia: Hi Sakshi. See normally we don't bifurcate between the new content and old content on a quarterly basis. But as we said earlier, the new content at any time would contribute around 10% to 15% of the revenue and the catalogue would be the remaining.

Sakshi Chabhra: Okay, all right. And considering that the content costs in this quarter were only 12.7 crores for, a large number of songs that we have acquired 97 songs. So, is it that the songs that were available in this quarter was cheaper, and we are estimating that the songs that we will be acquiring further are going to be more expensive, more premium movies or something like that?

Sushant Dalmia: So, it would be let's say, we can't compare in terms of the volume of 97 songs and correlate with that, it depends of the film music what we acquire, any big budget movies what we acquire than that would, let's say drive the content cost, in terms of let's say the 97 songs is primarily let's say non-films from which netted acquisition costs are minimal.

Kumar Taurani: And this year we don't have any big number, big film or big content cost on each product. But next year, we have two, three big films coming up and where our investment will be heavier.

But again, we will manage that as well that we will maintain this 30%, 30% and 25% to 28% on investment on new content, we will maintain that.

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Sakshi Chabhra: Okay. Why I was just asking was because the growth that we saw in terms of revenue was 30%. But that wasn't the growth in terms of content versus only 4%. So, that's where my question was coming from, just to understand that is it because higher growth came from the catalogue songs, and that is why this has happened, or the new content we acquired, saw a very good performance, but we manage to get a very good bargain on the content cost that we acquired.

Kumar Taurani: Whatever you said, actually ever

nothing is true. Our catalogue is doing well, our new release is doing well, and we are a tough negotiator when we acquire content as well. So, that also is helping us.

Moderator: Thank you. The next question is from the line of Akhil Gulecha from Pikadey . Please go ahead.

Akhil Gulecha: I just have a very basic question. So, you keep saying that you are focusing more on quality versus quantity going ahead. So, how do you decide what is quality, because ultimately, it's a game of hit rate, the more songs you make, the higher your chances are of getting more hits. So, what is the strategy there, and also, how do you decide if a song is a hit song or not. Is it the case that, if you recover all the costs that you have spent in the same year, does that mean the song is a hit song. How do we internally you decide what is a hit song and what is not a hit song?

Kumar Taurani: See deciding of a hit song comes with experience and we have seven to eight people working in the Company and everybody is experienced person and they have seen our growth, they have seen our hit numbers songs. So, that comes with the experience, and we have that expertise in the Company. And what was another thing you said?

Akhil Gulecha: So, how do you decide if, you said the hit song but how many songs let's say you produce 97 song, how many of the songs the cost you recover back in the same year itself. If you could give a rough idea?

Kumar Taurani: Same year is tough;. In my mind I want to recover my cost in three years' time maybe more earlier than that. But to investor, I always maintain that you please consider that we will recover the cost in four to five years' time. And total investment I am talking about, in this year if I release 500 songs, 50 songs work and 400 songs didn't perform well but the cost of the entire 500 songs we will recovery in four to five years' time.

Akhil Gulecha: Yes, but it might happen that one or two songs went very well, and you recover their cost in two months only, because range could be very wide right?

Kumar Taurani: That's business but you can't be right every time, and if we are then our growth will be 100% and not 30% then.

Moderator: Thank you. The next question is from the line of Nehal Shah from Prudent Broking. Please go ahead.

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Nehal Shah: So, as we are looking for more quality content and we are targeting about 300 songs release this year, so are we getting into the bidding war, or we are continuing with our strategy of not getting into the bidding war than buying the songs prudently?

Kumar Taurani: See we are not greedy that we go in bidding, we don't have any greed as such, and we don't have such targets that we want to double our business. We want to just go concentrate on our quality content slow and steady and take selective good movies, we don't want more content also. We want just few two, three film big ones. So, we will strictly be very careful on acquiring of content. The same strategy we are doing for last so many years. We will continue with that.

Nehal Shah: Okay. And so, does our payback period increase with lesser number of songs getting released and quality content coming into our album?

Kumar Taurani: Payback period will be same

Nehal Shah: Okay, right. And so, from now on, can we give a slide where, you say from this decade to this decade this much contribution of revenue came. So, that, we also get to know okay in the last four years, whatever the content that was released, did give us this much number of revenue and so on.

Kumar Taurani: See we don't have that analysis that's why we have installed this new system, in next three, four quarters we will develop that system as well. At present, we don't have that system, but I am telling you my entire content actually is doing so well and 90s still big-time hits, we are getting so much of responses from all that. Now, i

n the last two, three years, we were not available on many platforms. But today, we are available on all the platforms, and everybody is happy about our content and our repertoire.

Moderator: Thank you. The next question is from the line of Ashish from Invesco. Please go ahead.

Ashish: Sir, it has been the first quarter once the renewal of the deal with Warner has taken place and in the numbers. So, would it be possible for you to give some maybe qualitative inputs, because our renewal of the deal was a substantial multifold of what we used to get earlier. So, the revenue

impact of that, have we seen it all, this will be the run rate that we are going to see or is it going to be amplified going ahead, how do we see that?

Kumar Taurani: See going ahead it will be amplified. But actually, now what we have done is, whatever money we got from Warner's, we have kept it as advanced and whatever business actual they are doing. And they are reporting us, and we are taking that business in quarter wise. So, it's actual numbers you can say, it's very early to say if we are seeing the impact, but I am hopeful and see I can imagine and I am seeing the way they are growing, we are growing, our content is doing well. But we will have very good numbers and good future.

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Ashish: So, the point I wanted to understand is, there is an MG that is promised to us. So, do you see something in the actual delivery as of now or will it take time for us to gauge whether we are going to make much more than the MG because then the variable revenue will kick in. So, any view on that?

Kumar Taurani: It's too early, that we will come to know only in the third or fourth year. At present we are very secured for next three years. But I am quite hopeful that they would recover their entire investment they have done, plus they make money, and they will definitely I feel they will give me the overflow also.

Ashish: Okay. So, you are saying that, because this contract thing is for three years so towards the end of the third year probably we will get to know?

Kumar Taurani: Four years, yes end of third year, beginning of fourth year we will come to know where, what's happening. But I am very positive and optimistic because really we will do well. We have a good vision in front of us and have some good plans where we can achieve good numbers for us and then....

Ashish: And if possible can you tell us the incremental platforms and geographies that we have given Warner in the new contract, how that is adding to the revenue because what we get to notice is the consolidated performance of the Company. So, is it possible to share that?

Kumar Taurani: We can't share individual platform wise.

Ashish: Not platform wise, but the incremental thing that we have given them, is it yielding big results as of now or is it, a bit by bit that it will give us?

Kumar Taurani: As you see now Wynk, our case has resolved. And now Wynk is also in the Warner kitty . Wynk Hungama and there was Gaana, there were so many platforms where we were not dealing but Warner has deal with them already. And our content is now available everywhere. So, all the extra platforms started so we will get revenue from there as well.

Ashish: Okay. And lastly, we were not getting anything from Instagram. So, is that starting to pay now?

Kumar Taurani: Yes. We have also given Instagram license also to Warner and we are quite positive we will get money's from there as well.

Moderator: Thank you. The next question is from the line of Surbhi from Bellwether Capital. Please go ahead.

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Surbhi: Sir wanted to understand, you mentioned that there is some change in our content acquisition strategies. Can you throw some light on it. Second question is that what is the line up and the pipeline for this year?

Kumar Taurani : Could you repeat that? Coul

d you please repeat yourself, we could not really hear you?

Surbhi: The first question is, you mentioned that there is some change in our content acquisition strategy.

So, if you could give some light on that, on what exactly are we changing and how are we approaching, acquiring the content now. And my second question is, what's the lineup and the pipeline for FY25 and '26 for our content, you mentioned there are some two, three movies that we are targeting so wanted some more information on that.

Kumar Taurani: So, marketing acquisition strategy, we have three, four kind of strategies. One, we develop our own content, t music plus we do a lot of recreations of our old songs internally. And number two is, we acquire content from outside producers, like Balaji is our partner and then there is a Company called Northern Lights, we have a partnership with them. So, that also we acquire content from them. Also, we have our own Company, our Tips Films, they will also give us two, three films. So, if you see from three, four ways we are acquiring content, but every year we are trying to involve our self in music, our teams get involved in creation of songs. So, that is really helping us and that's why maybe because of that, we are getting good content. So, we continue doing that. And as far as lineup is concerned, yes, we have many films in the regional languages and also three to four more films in Hindi also will come this year. So, we are targeting that this year.

Surbhi: Three, four films will be national, or they will be more regional?

Kumar Taurani: Three to four Hindi and around 10 to 12 films regional.

Surbhi: All right. All these are expected in FY25 or there is just spill over expected to FY26?

Kumar Taurani: No, this is a target for 25, but maybe one, two films get delayed. So, maybe it will come then next year.

Moderator: Thank you. The next question is from the line of Suruchi Parmar from NX Wealth Management. Please go ahead.

Suruchi Parmar: Just wanted your view on this, you have a catalogue content, which belongs to from year 1988 to 2000. Correct?

Kumar Taurani: 1988 till now.

Suruchi Parmar: Till now catalogue content?

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Kumar Taurani: Yes.

Suruchi Parmar: Okay. So, this is mostly 80% of your songs are in this category only. And the revenue, which comes from this is 85% to 90% of the revenue comes from this catalogue content correct. So, I just want to know, what is your strategy to acquire the new content which helps you generate revenues in long run and reduce the dependency on this catalogue content?

Kumar Taurani: Yes, I can assure you we have cream catalogue from 1988 till 2020. And after 2020, you can say, whatever we are acquiring is a new content in the new bucket you can say. And all our earlier content is really doing well, and I am assuring you that in next at least 25 years it will do well, because we have a new retro if all the songs in next 10, 12 years will be remade, all hit songs will be remade and that again remade will have another life. So, you can be rest assured that we will do well. As far as new release is concerned, mentioned earlier, if we want to recover all the costs, whatever we invest in that particular year within four to five years, and we hope and we see also whatever we are acquiring is really doing well. And also, maybe you must have realized we right off entire our content cost in the same year, same quarter, so, we don't have any baggage on us, that after five years a movie might not have been that successful or 50 crore might not be recovered, then also we don't have a baggage that, because we have already written off, everything is clean. So, that is a nutshell, I am telling you how we approach our business.

Suruchi Parmar: Okay. So, the thing you are saying, if you are remaking your catalogue song, converting into a new type, so that will be counted as a new conte

nt or it will, again be treated as a catalogue only?

Kumar Taurani: No, that's a new content. Because it's a new investment we have done on that.

Suruchi Parmar: Okay. So, for that the purpose which you are remaking you hire new singers also for that or just adding up the music is done?

Kumar Taurani: It's a creative call, song-to-song wise as you see we have made few songs with a new vocals and absolutely new arrangements, and only one line or two lines taken from earlier song. And now recently, we have released few songs. Coolie Number One or recently this Gore Gore Mukhde Pe Kala Kala Chasma, Badshah song, we have retained one, two lines and also we have retained one, two line of that original singer, so it's depending upon song-to-song basis. It's not a hard and fast rule or anything. It's a creative call done by mutually we and artists we do.

Suruchi Parmar: So, these remix songs, they are equally peppy and gaining more revenues like the catalogue ones?

Kumar Taurani: Yes.

Moderator: Thank you. The next question is from the line of Raj Shah from Ambit Asset Management.

Please go ahead.

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Raj Shah: I just wanted to understand more about the Warner deal. So, for this quarter, what is the revenue that we have booked?

Kumar Taurani: See, we can't actually tell you the specific detail. But whatever they have made money, my content has made money they have reported us, and we have booked that.

Raj Shah: Okay. And, so whether the revenue that we have booked is, of course we have a minimum guarantee, but in terms of views, whether is it about that do you expect any bonus payment going forward, because the views have grown quite strongly for us over?

Kumar Taurani: Could you repeat yourself, we can't hear you actually.

Raj Shah: So, I was asking whether from this new content, so from this deal whether we will get any bonus payment at the end of the year because the views have been quite strong for us and whether the revenue that we are booking is above the minimum guarantee that we have been quoted?

Kumar Taurani: See at present we are booking whatever they are reporting and whatever actual business is happening. The minimum guarantee actually we will come to know in the fourth year where we

will get more, if they have recovered the money its very good for them and for us also, we will get some overflow. Say in case if they don't recover their money, last quarter of fourth year, we will book that entire extra money also.

Raj Shah: Okay. So, that would be at the end of the fourth year, there would not be any yearly bonus payment, overflow payment?

Kumar Taurani: No.

Raj Shah: Okay. And sir just one more question. So, now as we are more focusing on quality content, so of course our cost per song has also gone up, we are around 13 lakhs currently, so around 12.5 crores for 90 songs. So, I just wanted to know so this would be the range around, what would be the cost per song going forward that you are guiding around 12 to 13?

Kumar Taurani: No, it's not like that. If there is a one big film maybe it will cost 20 crores and I have only four songs or five songs in the film per song will be 4 to 5 crores and sometime one spiritual song we can make in 2 lakhs also. So, it's not like that, it's a combination of everything, it's a total content cost.

Raj Shah: Okay. So, film songs are slightly higher cost as compared to non-film cost?

Kumar Taurani: Yes, absolutely.

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Moderator: Thank you. Ladies and gentleman in the interest of time, that would be the last question. I would now like to hand the conference over to Mr. Viral Sanklecha from Orient Capital for closing comments.

Viral Sanklecha: Thank you. I would like to thank the management for taking the time for this conference call today. And also, thanks to all the participants. If you have any queries, please

feel free to contact

us. We are Orient Capital Investor Relations Advisors to Tips Industries Limited. Thank you so much.

Moderator: On behalf of Tips Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Oct 2024

October 23, 2024

To,
Listing Department
BSE Limited
P.J Towers, Dalal Street,
Fort, Mumbai – 400 001

Scrip Code: 532375 To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E), Mumbai – 400 050

Symbol: TIPSMUSIC

Dear Sir/ Ma'am,

Sub: Transcript of Earnings Conference Call

In terms of the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of earnings conference call on Unaudited Financial Results for the quarter ended September 30, 2024 held on Thursday, October 17, 2024.

You are requested to take this information on your record.

Thanking You,

For TIPS MUSIC LIMITED
(Formerly known as Tips Industries Limited)

Bijal R. Patel
Company Secretary

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Tips Music Limited
Q2 & H1 FY '25 Earnings Conference Call
October 17, 2024

MANAGEMENT : MR. KUMAR TAURANI – CHAIRMAN AND MANAGING
DIRECTOR – TIPS INDUSTRIES LIMITED
M R. GIRISH TAURANI – EXECUTIVE DIRECTOR – TIPS
INDUSTRIES LIMITED
M R. HARI NAIR – CHIEF EXECUTIVE OFFICER – TIPS
INDUSTRIES LIMITED
M R. SUSHANT DALMIA – CHIEF FINANCIAL OFFICER –
TIPS INDUSTRIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '25 Earnings Conference Call of Tips Music Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Viral Sanklecha from Orient Capital. Thank you, and over to you, sir.

Viral Sanklecha: Thank you, Dale. Good afternoon, ladies and gentlemen. I welcome you for the Q2 and H1 FY '25 Earnings Conference Call for Tips Music Limited. To discuss this quarter performance, we have from the management, Mr. Kumar Taurani, Chairman and Managing Director; Mr. Girish Taurani, Executive Director; Mr. Hari Nair, Chief Executive Officer; and Mr. Sushant Dalmia, Chief Financial Officer.

Before we proceed with the call, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. For more details, kindly refer to the investor presentations and other filings that can be found on the company's website.

Without further ado, I would like to hand over the call to the management for their opening remarks, and then we will open the floor for Q&A. Thank you, and over to you, sir.

Kumar Taurani: Good afternoon, everyone, and welcome to the Q2 and H1 FY '25 Earnings Call of the Tips Music Limited. At the onset, I wish everyone of you a very happy Diwali in advance. Our company continues to perform well, and the Board has declared a second interim dividend of INR2 per share for FY 2025. Our team is working hard on existing and new initiatives. These results are an outcome of their hard work.

I will now hand over the call to our CEO, Mr. Hari Nair, to provide further insights.

Hari Nair: Hello, everyone.. Thank you, sir. We remain focused on delivering the 30% growth as per our guidance, and this growth is largely attributed to the increasing contribution from digital platforms like YouTube, Spotify, Saavn, Amazon Music and Apple Music. Our new division of brands and partnerships has started clocking in revenues. We recently did a synchronization deal with Motorola of our song Rangeela Re, which was used in their advertisement showcasing their new range of colourful mobile phones. There are more deals in pipeline.

Now I would like to hand over the call to Girish Taurani who will provide us more insights on our content business. Thank you.

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Girish Taurani: So I'd just like to talk about the content business going forward. In Q2 FY '25, we have launched 125 songs, 39 of them were film songs and 86 of the non-filmsongs. Our YouTube subscriber base has now 108 million collectively. This quarter, we released a few musical short films, Teri Meri and Beinteha, both of which have been very well received by our listeners.

Our standout release for this quarter has been a Yaad Reh Jati Hai from the film The Buckingham Murders and then it has been sung by B Praak. Another popular track release this quarter was Dua Kijiye, a non-film song released by us and sung by Sameer Khan. Both songs have been gaining a lot of traction and continue to grow among listeners on all streaming platforms.

We'll now hand over the call to Sushant, who will take over through the financial highlights.

Thank you all.

Sushant Dalmia: Thank you, Girish, and welcome, everyone, to the Q2 and H1 FY '25 earning. Let me take you through the financial highlights of the quarter gone by. Our revenue for Q2 FY '25 was INR80.6 crores compared to INR60.9 crores in Q2 FY '24, reflecting a year-on-year growth of 32%. Our content costs grew 194% over the b

ase quarter to INR13.8 crores. Our operating EBITDA margin for the quarter was 73.8%. Additionally, our PAT for Q2 reached around INR48.2 crores compared to INR39.7 crores in Q2 FY '24, representing a growth of 21%.

Now looking at the highlights of first half FY '25, our revenue for first half FY '25 was INR154.5 crores compared to INR113.5 crores in the first half FY '24, which represent a growth of 36%.

Our PAT for first half of FY '25 was INR91.8 crores, up from INR66.8 crores in the first half FY '24, showing a growth of 37%. With that, I conclude my opening remarks.

I'd like to wish all a very Happy Diwali in advance. I'll now open the floor for discussion. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Nilesh Jethani from Bank of India Mutual Fund.

Nilesh Jethani: Congrats on a great set of numbers. My first question was with regarding the Warner deal and

Wynk impact. So I believe we were not with the Wynk, but with Warner deal, you were able to capture that piece of Indian market. Now with Wynk point operation, so wanted to understand our digital growth guidance in the range of 25%, plus-minus 2%, 3%, is that impact? Or are we changing that kind of a guidance now?

Kumar Taurani: Yes. What we see it won't drop as our entire customer base will shift to other apps, like YouTube or Spotify or JioSaavn or Amazon. So I don't think -- and if you remember, when we -- two, three years back, we were not there on the Gaana or Wynk and that other, JioSaavn also. But still we managed. So I don't think it will have an impact on Tips because our 90s repertoire is doing really well, and it will reflect on other platforms, that customer base will shift to other platforms.

Nilesh Jethani: Got it. So are we keeping our growth guidance in the range of 25% impact?

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Kumar Taurani: Yes, same 30% what we have said, 30% overall we will grow this year, and 30% bottoming as well.

Nilesh Jethani: Second question is on the new songs. So when I see the new songs added during the quarter in the range of 125 and the capex, what we have done on the content cost, just wanted to understand any trend or any guidance on what kind of this number could be per song? And how are the new releases and our expected market share expected going ahead?

Kumar Taurani: I think our market share is around 8%, 9%. We will maintain that, and we'll try to -- can actually grow also, next three, four years, we want a double-digit 10%, 11% we want to achieve. We are focusing on that. And as far as new releases is concerned, earlier also, I told you, it's not -- we can't do a per song value because we -- sometimes we get a song for even INR50,000.

And if I take a film rights and if it's costing me say, around INR12 crores, INR13 crores, and it has four songs, it's an INR3 crores per song. We can't calculate song wise. We have to see individual purchase wise what it is worth. And accordingly, we buy, or we pay the price.

Nilesh Jethani: And my last question from my side, any understanding in the last two, three quarters revenue numbers, what could be the contribution by a new song which is reflected in our YouTube revenue to something like that? And what would be the old library which is contributing to the top line. Can you break up, any understanding on this one?

Kumar Taurani: We don't have any breakup like that, but maybe Sushant can put some light on this. Sushant, can you respond to this?

Sushant Dalmia: In terms of the newer song, what we have seen that -- what we have added in last three year in terms of the new song will contribute to somewhere around, 10% to 15% in terms of the overall revenue

Nilesh Jethani: And sorry on harping back on the Wynk question. So now Wynk offering Apple Music. So with Warner deal, we will be present in Apple Music also, is my understanding right?

Kumar Taur

ani: Absolutely. Yes.

Moderator: The next question is from the line of Ben from Cusana Capital.

Ben: I was just wondering, so we know that YouTube accounts for around half of the business. And you've been at a quarter-on-quarter sales growth of 9% this quarter. But YouTube views we can see were actually down quarter-on-quarter by about 9%, down about 5.6 million views. So please could you just walk me through how the business is able to deliver revenue expansion on this declining YouTube volume, please?

Kumar Taurani: Hari, you can reply on this?

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Hari Nair: Yes. So I think overall, the Shorts numbers have reduced. So YouTube has YouTube views and YouTube Shorts. The Shorts numbers have reduced a little bit. I think this goes up and down. It's -- and overall, they are growing as a platform. Also to note is YouTube has done more changes to the platform starting October 15. So there will be more changes than -- it is a cyclic thing,. I feel it will keep growing.

Ben: Okay. And then a second question on cash. Sushant will know, this isn't the first time I've asked about this, the business is sitting on a big cash pile, well above the INR200 crores war chest that you guys have previously discussed. And clearly, the business throws off cash each quarter. So simply put, what's the plan with the cash balance that you've got at the moment?

Kumar Taurani: Sushant?

Sushant Dalmia: So Ben, let's say, we'll continue to hold the cash balance for inorganic opportunities in the future. And, the dividend pay-out also, will continue for us.

Moderator: The next question is from the line of Rohan Nagpal from Helios Capital.

Rohan Nagpal: And also on your Warner deal, could you just walk us through exactly how you're accounting for the liabilities that come in, in terms of the minimum guarantee? So how do you decide how much of it goes into current and noncurrent? Because my understanding is that every year, you're getting a payment from Warner for the year. So what is the bit that's going into the noncurrent liabilities?

Kumar Taurani: Yes, Sushant. Please, respond.

Sushant Dalmia: So the Warner deal, at the start of the year, we got our non-refundable advance. We classify between non-current and current. The current primarily we see at a cut-off, , between 12 months, so we expect that revenue to come in 12 months. So it is classified under current as advance on customer, and non-current is more than 12 months.

So , if you club both the numbers, you will get that to movement compare, as on 31st March with that as on 30th September, you will get the movement in terms of the revenue bookings and advances. And the actual revenue, which has been booked primarily, basis the statement which they share with us on a monthly basis.

Rohan Nagpal: Okay. So the noncurrent is basically your estimate -- is a function of your estimation of how much of the advances we used up in the year?

Sushant Dalmia: Yes. Both current and noncurrent are function of estimate, how we see over the next 12 months and beyond that.

Rohan Nagpal: Okay. All right. And then this quarter, there's an INR110 crores, INR111 crores increase in your other financial assets. So what exactly is going on over there?

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Sushant Dalmia: That is primarily, bank FD only. That is just a classification from which is being done into other financial assets. These are purely bank FDs.

Rohan Nagpal: Okay. Those are that -- but, okay, fair enough. Those are bank FDs. All right. And going back to one of the questions that was asked about the YouTube Shorts, would it be possible to provide some sort of underlying trend in terms of how much is -- how is the viewership moved ex of YouTube Shorts to get a sense of YouTube engagement?

Hari Nair: No. So the engagement has grown. It's not that the engagement has dropped or something. It is just

that -- sometimes we see a blip, it increases, and it comes down. But overall, the YouTube numbers are very, very healthy. The platform is growing. I think we have more than 500 million users in India. So I think it's a very good story.

And that premium base is also increasing. So paid users on YouTube, especially the YouTube family plans and all, it's all increasing. So overall, it's a good time for us.

Kumar Taurani: Okay. YouTube would you also price increase their subscription prices also, Hari?

Hari Nair: Yes, yes. They have increased substantially.

Kumar Taurani: On Shorts we have a lump sum deal with YouTube. And lump sum mean, it's an MG kind of a deal, minimum, we are secured. And if there is an overflow or anything, if they go on a paid model or something, we'll get some more money as well.

Rohan Nagpal: So it's similar in structure to the Warner deal.

Kumar Taurani: Yes, that's absolutely right.

Rohan Nagpal: Okay. And I mean, YouTube strip away all of the volatility in the YouTube number that comes in, would it be possible to get a sense of how the viewership has moved ex of Shorts?

Hari Nair: I think that exact details we won't have, the platform will have that.

Moderator: The next question is from the line of Kavish Parekh from B&K Securities.

Kavish Parekh: I have a couple of questions. So firstly, you have mentioned plans of spending broadly 30% of our top line on content acquisition for the full year. If I were to look at 1H, that number stands at around 17-odd percent. So do we still maintain the outlook for F '25 and F '26 going ahead? And secondly, the contribution from non-film music's has been fairly high over 1H. So how is this expected to trend going forward?

Kumar Taurani: See music, whether it is non-film or film, music is good, it will do well. But overall, our major focus is on film music . You will see next year onwards many films will come. We are really signing many films. We already signed three, four, and we are targeting key actors in Hindi also, we released at least five to six films a year.

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So next year onwards, we will be very -- at a very good space in acquiring and releasing the content. So that's happening. And what was your other question? Can you please repeat that?

Kavish Parekh: We have mentioned plans of spending about 30% of our top line on content acquisition. That number stands at about 17% over 1H. So do we expect an increase in content spend over 2H?

And do we still stick by that 30% guidance for FY '26?

Kumar Taurani: I think this year, we won't achieve that target. Maybe it will be around 22% or 23%. Next year, I feel we will cross around 25%-30%. We will achieve that.

Kavish Parekh: All right. And secondly, sir, I wanted some more -- some clarity on the two large deals that we have, one with Warner. I just wanted to check which all platforms and geographies are covered under this deal? And second, with the Sony Music Publishing deal, could you please share some colour on the same?

Kumar Taurani: See, although we have all the OTT platforms deals all over India -- all over world, sorry. All over the world, all platforms we've given it to them. And with the SMP, Sony Music Publishing, it's an international deal, not in India. India, we go through IPRS and it's a publishing deal we have given them except YouTube. YouTube only two small countries are with them, rest we're handling on our own.

Kavish Parekh: All right. Understood. So other than Warner, we do not really work with any other OTT platforms directly. All of it is entirely to Warner. Is it the right understanding?

Kumar Taurani: Yes, absolutely.

Moderator: The next question is from the line of Harsh K Shah from Dalal & Broacha Stock Broking.

Harsh Shah: Few questions from my side. So firstly, on the Shorts format video platform, so especially I'm talking about YouTube Shorts. So do you have any kind of ind

icative timeline when the

monetization can happen and contribute materially to our revenue?

Hari Nair: Yes. So YouTube, if you see, they have probably -- they are probably going to start advertisements or already piloting that. But exactly, we won't be able to tell when the platform decides. Overall, I think they are growing at a faster pace for the Shorts platform, and we hope to see more traction from them.

Harsh Shah: Meaning, do we expect that in the next three years, some sort of monetization can happen?

Hari Nair: Yes, for sure.

Harsh Shah: And if you could give us some colour as to how the business model could work between YouTube and the music labels, if you could?

Hari Nair: So if you see there are two current models. One is a minimum guarantee model, and second is the share of advertising. So I think they will continue to do that. And sometimes it will spill over

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to the advertisement-based model where they start earning a lot from advertisements also on the Short video platform.

Harsh Shah: And also, I think someone from the management team did mention that some changes have been made on the YouTube platform. So if you could highlight what exactly was that?

Hari Nair: So what they used to earlier call Shorts was less than 60 seconds video. Now what they are increased as a short definition is a three-minute video. There has been press releases by YouTube for the same, and there are some videos also out on YouTube indicating the changes in the platform. So basically, they are saying Shorts are now increasing in length, nothing else.

Harsh Shah: But then that would also mean that the advertisement can go up on those videos, right?

Hari Nair: Yes, yes. The overall objective probably by the platform is that, but I can't comment on behalf of the platform.

Harsh Shah: Got it. And one last question from my side, sir. Do you have any sort of ballpark range as to if we compare say H1 of FY '25 to H1 of FY '24 in terms of what could have been -- what could be the growth in terms of the paid subscribers on the OTT platform, if you could give?

Sushant Dalmia: Harsh, in case of paid subscription overall, the industry, I can tell you, the industry is moving at a healthy pace, it would be in the range of around 40% to 50%, the paid subscription numbers.

Harsh Shah: 14% to 15%.

Sushant Dalmia: 40% to 50%.

Harsh Shah: 40% to 50%. And one just last question, sorry. The catalogue music, right? So you did mention that the new music contributes somewhere around 10- to 15%-odd. So does that mean that our catalogue is growing in excess of 25% on a year-on-year basis?

Sushant Dalmia: Catalogue is growing at a very healthy pace for us.

Harsh Shah: I think you would be having some sort of data, right? So is the understanding correct that it is growing more than 25%?

Sushant Dalmia: Yes, your understanding is right.

Moderator: The next question is from the line of Ravi Naredi from Naredi Investments.

Ravi Naredi: Taurani ji, again congratulation for nice results. I am looking one report saying total paid audio subscription base in India is 1%, while it is global, U.S. and U.K., \$41, we are receiving \$1. So then we will gain \$3 or \$5 subscription in next how many years? And how much revenue in our

amount total paid-up subscription in India in our company?

Kumar Taurani: Hari, please, reply.

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Hari Nair: Yes. So I think for the India case, I think Indians love music. And right now, all the platforms, if you see like Spotify and Saavn, they are trying to push the consumption towards the paid. So they are putting in a lot of restrictions. So this 2% to 3% of paid users can easily go up to 10% to 15% in the next two, three years, I think.

Ravi Naredi: And how much of our revenue of paid subscription in total revenue?

Kumar Taurani: Sushant, you have that number?

Kumar Taurani: We don't

have it perhaps. We will let you know.

Ravi Naredi: Okay. And sir, next, like Diljit Dosanjh are we are hiring any artist to show up in India?

Kumar Taurani: You are talking about events?

Ravi Naredi: Yes, yes, event.

Kumar Taurani: We are looking at this business. We have seen what is happening in the market. And it's still not sure what should we do. So we will wait till another two, three months, and then we'll decide if we do some kind of this business, but...

Ravi Naredi: It is in your mind, right?

Kumar Taurani: Whatever happens in the media business, I keep that in mind. We are seeing what is happening.

Ravi Naredi: Yes, sir. And we are cash generating company, any plan in mind to acquire another music like-minded company?

Kumar Taurani: See, we are open, but maybe we don't have at present any visual like that, which we can acquire, nothing is available as of now. So we are just waiting, and we have cash. If there is any opportunity, we will grab it, for sure.

Ravi Naredi: And sir, last, our content cost is 17%. So it will rise in the financial year, up to financial year '27 anything can you predict?

Kumar Taurani: This year, it won't be that much. But next year onwards, we will achieve our target. We want to invest 28%, 30% year-on-year basis. So we'll achieve -- next year we'll achieve that.

Moderator: The next question is from the line of Jyoti Singh from Arihant Capital Markets.

Jyoti Singh: Sir, just wanted to ask like we are doing a lot of music for the brand. So if you can explain like what we are targeting to going more for the brand music and also how much margin we make in this business?

Kumar Taurani: See, Jyoti, it's a very new business for us. We have recently three, four months or six months back, we appointed a team who can look for our business brands sync and all those opportunities.

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So we are doing that, but it's -- wait for another two, three months, we will give you all the details. We have just a few deals we have done, and we -- from next year onwards, we have a big target for that business as well. So give us a few more months, maybe next quarter, we can give you more details about the business.

Jyoti Singh: And sir, my next question, I just wanted to know how much we earn revenue from the existing song and comparatively new songs. What is the ratio? I just wanted to understand.

Kumar Taurani: I think Sushant clarified sometime back, around 80%, 85% we taking money from repertoire and 15% -- around 15%, 20% we made from new releases.

Jyoti Singh: And sir, just last question on the margin side, like we continue doing very good margin above 70%. So like in this quarter, also more than 73%. So what are targets going forward on -- we will remain in this range, or we are targeting to some range, within that range kind of?

Kumar Taurani: We always maintain -- we will -- our target is to grow 30% top line, 30% PAT, we should achieve that. And we are -- I think it's so far so good. God is kind on us. We are achieving that. And we'll keep achieving that, and we'll always focus on -- focus is there to achieve that kind of numbers.

Moderator: The next question is from the line of Arpit Shah from Stallion Asset.

Arpit Shah: I just wanted to understand, I think so you all alluded to a lower content cost for FY '25. So would the absolute number be around INR55 crores, INR60 crores from INR80 crores, that you targeting earlier?

Kumar Taurani: Yes, I think it will be in that range.

Arpit Shah: About INR55 crores to INR60 crores, would that be a range for FY '25?

Kumar Taurani: Sorry?

Arpit Shah: INR55 crores to INR60 crores, would that be the range for FY '25?

Kumar Taurani: Maybe a little more I feel, because it's still, 6 months still to go, maybe you can acquire some movie or some rights, some music.

Arpit Shah: And I just wanted to understand the core revenue growth for us. So the 32% revenue growth

h,

includes the INR7 crores, which has come from Wynk music, right? So if you exclude that number, core revenue growth has been around 21% or 22%. I just wanted to understand on that bit why like we have been guiding to 30%. So how should we look at this number going ahead?

Kumar Taurani: Sushant?

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Sushant Dalmia: Yes. So when you say that it's 21%, there were some delays in ingestion of content on few platforms under the Warner deal. So this has just happened, y, at the end of Q2, and we are confident of achieving that 30% growth rate here.

Arpit Shah: So if I just see the numbers on the balance sheet, the revenue recognition probably from the Warner deal was around INR48 crores for the first half. If I just include the noncurrent liabilities part. So would that be right? Because it here, let's say, generated about INR155 crores...

Sushant Dalmia: That would be a higher number. You club, let's say, both noncurrent and current advances -- current liabilities of both the years, and let say the advances - would have two or three customers.

It's not primarily one, Warner would be a majority wise, but let it has two or three other customers also. But you would, , to compare both noncurrent and current, the balance sheet numbers between March and September, you will get that overall number.

Arpit Shah: Because if I can see that other current liabilities, that number has gone higher. Let's say, it is INR79 crores for this 6 months, INR64 crores in March '24. And if I see the other noncurrent liabilities, it is about, there is difference of INR48 crores. So just wanted to get a sense what is the revenue broadly from the Warner deal, if I just include -- like if I make an adjustment for that.

Sushant Dalmia: So what I'm saying, you need to club these, for the both years, if you club it in terms of let's say March, it would be around INR135 crores, both noncurrent and current put together. And for September it's around INR102 crores. So the difference is around at INR33 crores. And it is not only Warner. It has a couple of customers.

Arpit Shah: And let's say, if you have to compare this -- the numbers in the Warner deal and if you do Y-o-Y compare to like-to-like, has the revenue gone higher after moving to Warner for us?

Sushant Dalmia: So I won't be able to comment specifically in terms of, but I think we are seeing a good growth trajectory on the platform.

Girish Taurani: Also just want to add to something that we missed out earlier maybe, is that we -- the delay has also happened because of our ingestion on Meta, which we were not on Facebook and Instagram, which we were not available earlier, as people may know. And now via Warner, we are available on that platform. And we continue to see a lot of growth on that platform and Meta as a platform is also developing the ad system -- ecosystem, and that's growing, and you can see -- starting to see ads coming on the platform and monetization happening there.

Arpit Shah: So just to summarize the revenue growth still remains at 30% on the core revenues, excluding that part and the content cost would be around, let's say, INR60 crores, INR65 crores and not INR80 crores for FY '25, that would be the right thing?

Kumar Taurani: It's too early to say about that. Please wait for one more quarter because 6 months are still there. We may get some big film, and we will take that.

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Moderator: The next question is from the line of CA Garvit Goyal from Nvest Analysis Advisors.

Garvit Goyal: Congrats for a good set of numbers. Just two questions. One is on the like our growth guidance for next two to three years? Like for example, you said paid subscribers are increasing. And overall, we are also looking at a market share of 10% to 11%. So where do you see our top line two years down the line, sir?

Kumar Taurani: Sushant?

Sushant Dal

mia: So overall, growth guidance over next two to three years, we will you see or healthy or in terms of around that 25%, 30%, we don't see a challenge in that. And basically, what you said rightly, it will be more driven by, , free subscribers getting converted into paid subscription, that will be one of the important pillars.

Garvit Goyal: When you say 25% to 30%, is it for top line or bottom line has this?

Kumar Taurani: 30% bottom line, our focus is to achieve 30% top line, 30% bottom line. And first, let me tell you there will be a year where we will see suddenly it will go to around 50%, 60% because there is a -- that short content plus that public performance, they still have to grow, and there has to be some big ups coming. I feel it will -- next two, three years, it will come.

Garvit Goyal: Got it, sir. Secondly, on this Wynk deal shutdown by Bharti Airtel. So can you comment on like how much percentage of revenue is going to be impacted due to this shutdown in near term?

And just a clarification, whether we will be able to get the revenues from this Apple Music?

Kumar Taurani: See, earlier, -- our music was not there in Gaana. We have not got impacted. We were not there on JioSaavn, we were not there on Wynk, but still we are growing. So I think if you are listening to music today, you are listening music on Wynk, and suddenly, Wynk will not giving you music, so you shift to JioSaavn or Spotify or YouTube. So I don't really see anything will be -- we will suffer anything to do with this.

Music ultimately, if you want to listen music, you will find your way. So it's not a big deal for - - we personally feel it won't impact at all to us, maybe for 10, 15 days. But actually, if you see, we were not there on Wynk earlier as well. So -- and in the Warner deal, we have the numbers of that, and this is MG deal. So actually, we are secured, if you see.

So we have MG, we are calculated that number. So now it's a Warner's, you can say, hard work, if they have to achieve that number from the other end. And I think they will easily achieve that. I have no issue. In our last deal also, they have given us workflows. We also have a team now with us under the Mr. Hari Nair, our CEO, he's from that side of business. So he knows how to increase our business. So I think we don't have any much problem to think a lot. We'll achieve our numbers.

Garvit Goyal: In H1, we almost achieved 30% -- just one question, sir.

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Moderator: Please re-join the queue for further questions. The next question is from the line of Sagar Jethwani from Phillip Capital PMS.

Sagar Jethwani: Has the full settlement of INR12 crores completed with Wynk? That is my first question. Second is that the YouTube ad rate ad time has increased in general, how does that benefit us? And last question is, what would be the share of regional song content in the overall repertoire?

Kumar Taurani: Look, whatever price YouTube is increasing, we have a percentage share rate. So we will get that percentage more percentage. So that's how we have secured that way. If we are charging INR1.00, so we are getting 55% of that INR1.00 if tomorrow, they're charging INR1.50, so we are getting 55% of that. So we are very secure. And regional business, I feel it will be in 10%, 15% around and 80%, 85% will be Hindi music because our focus is Hindi, our main language. And what was the first question?

Sagar Jethwani: First question was, has the full settlement of INR12 crores has been completed with Wynk?

Kumar Taurani: It's happened . All moneys are in, everything is settled.

Sagar Jethwani: And actually, on the second question when I asked you about the YouTube, it was the ad time which I was alluding to. It was not the ad rate basically. So ad rates I know that they are kind of heading northwards. So I was referring to the ad time as well. So maybe you can comment on that?

Kumar Taurani: Can

you -- Hari, can you respond to that?

Hari Nair: Yes. What do you mean by ad time, sorry?

Sagar Jethwani: Ad Time basically is that a 40-second ad when in general, if it plays now currently, the ad time is increasing, just say, 50, 60 seconds, so in terms of that, I was asking.

Hari Nair: Yes. That data, we will not have. That will be in the Youtube on how they are increasing or decreasing, because there are many types of ads on YouTube. There are five seconds skippable ads. There are six seconds non-skippable ads. So 30 second is also there. So we won't be able to know that data point.

Moderator: The next question is from the line of Akhil Gulecha from Pkeday Family Office. The line from Mr. Akhil has been disconnected. Moving on the next question is from the line of Aashish Uppanlawar from InvesQ PMS.

Aashish Uppanlawar: Sir, from this episode of Wynk, I just wanted to understand, are there any further platforms which are in stress because most of the non-YouTube platforms would not be making money in this business right now. So anything that you are seeing on the ground dealing with people or I mean that suggests anything like that?

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Kumar Taurani: Actually, what I feel, my feeling is it's good for us if the free supply of music is getting closed, and that the international players, and going forward, their focus is on to convert their customers -- free customers to paid subscription. And we all, music labels worldwide I feel we have more keen people should pay. And we are also supporting them in their -- this thing.

So -- and plus, as you see advertising also increasing, subscription also increasing. So we don't see any problem in that, if one or two players get closed or they are backing out from the business is good for us because ultimately, as a customer, if you think over it, you are a music listener and you're a music lover, so you would shift to another platform. You don't have any problem. You want to listen to music, there is availability if there -- now also we have four, five players, you can go and listen music, paid, free, whatever model, subscription or advertising model is there. So it's not a big deal, I feel.

Aashish Uppanlawar: Okay. Two more things I wanted to understand. One is the song selection process at Tips. Is it manual? Is it some database as to what combinations work in terms of the singer or the music director or maybe something else or it is a combination of both for us? That is one thing. And secondly, any highlights, any kind of views you can share on what is the progress of Warner has been there for about six months.

So some work would have happened. So any updates on that you can give us that will be handy.

Kumar Taurani: Actually, you said song selection, yes, we need the data, and we refer that. We have a proper analysis team. And also, our team has a good ear for our listening music and select team. But 100%, we go through data also. But sometimes data says artist has recorded 10 songs, maybe last few songs not done well, but we feel this song we're listening now or we are acquiring now is good. So we go ahead and do the deal accordingly.

But again, it's a negotiation of price, given your last few songs have not done well, why you're charging so much, that negotiation happens, and we do that. We go for it, number one. And number two, yes, the Warner. Warner is still, last 6 months we were providing them content, they are putting content on all the platforms. I feel they have already completed entire exercise in September, and they are really doing good whatever time it took uploading, but still they are good, and we feel we will have a very positive impact on our numbers in future quarters.

Aashish Uppanlawar: So would that mean the overflow on MG; one should expect things to be better than what the MG suggests?

Kumar Taurani: See that question, we will talk about it in the last four

th year because it's a long, long deal of

four years, and it just started in March. So it's too early, and it's a very huge MG. So we can't -- we shouldn't comment now. So just wait for another two, 2.5, three years, we will speak about that.

Moderator: The next question is from the line of Parikshit Kabra from Pkeday Advisors LLP.

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Parikshit Kabra: Just one quick question. With the recent increase in premium charges of YouTube Music, should we -- would we be seeing an impact in our revenues in the upcoming quarter? And would there be any way of estimating what kind of impact that might be?

Kumar Taurani: So -- yes. Hari, go on.

Hari Nair: So to answer your question, like I said earlier, whatever increase YouTube does in pricing, we get a share accordingly. So if they moved the pricing from INR120 to INR189 or INR200, we will get 55% of that. So increase of revenues, yes, from the paid part of it. And second question was -- did I answer your question?

Parikshit Kabra: Yes, you answered the question. I'm wondering if it can be quantified, what -- because we know the price increase. So can you quantify what is the upside we should see on a like-to-like basis?

Hari Nair: If you see, they have increased their prices by 40%. So I think that should be the number.

Parikshit Kabra: But entire revenue does not come from YouTube premium, right? So the ad revenue won't go up and the rest of the non-YouTube revenue won't go up. So it would just be the sliver that is YouTube premium revenue that we are getting.

Hari Nair: Yes. YouTube premium will go up. YouTube ad revenues remains on the CPM model. So whatever rates are running in India, if that increases, then you see an increase accordingly.

Kumar Taurani: Please understand, if we get I -- we feel YouTube will definitely increase. But in case of this, as we discussed Wynk is not there, so temporarily, we will get compensated. So you please, as I always mentioned, look us at 30%, what we commit, overall 30% pie will be there of top line and 30% of bottom line. That is our focus.

And in case, through previous quarters, if you see, on a yearly basis, also, we have surpassed even 30%. Last year, our bottom line was 66%. So we will not say no to the business coming in or any increase or any extra margins coming in. We always welcome it, and we are big fighters. You know we have not given our content to Wynk for so many years because of that only, they were not valuing us properly. So our fight is always -- every hour, it's on.

Parikshit Kabra: Fair enough. And my second question, just my colleague will ask.

Parikshit Kabra: Yes, so the latest song that you mentioned from The Buckingham Murders, that has around 18 million views on YouTube, whereas your competitor songs continue to get 300 million, 400 million views on YouTube. So don't you think you will continue to lose market share if that continue to sustain, and your views do not match up to the other views that competitors are getting?

Kumar Taurani: See, I think it's depending upon new releases. We have less new releases compared to other companies, but we will gain that, not a problem. But see, as always I told you, if we have best new releases, I'm talking now about the entire industry. Then also, it's only 15%, 20% overall,

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80% is a still catalogue, repertoire old music is selling. So we don't -- you won't see much impact of these things.

Parikshit Kabra: And just one last question. Does the deal with Warner have a price increase of 30% year-on-year because that is our guidance for growth every year. And if the deal with Warner does not have a 30% increase year-on-year, then our other revenues will have to grow much faster than that to match up to the blended 30% growth.

Kumar Taurani: No, we have calculated all those factors, and we had a deal.

Moderator: The next

question is from the line of Nihal Shah from Prudent Corporate Advisory.

Nihal Shah: Congratulations on the set of numbers. So this year, we are estimating around 20% to 23% of our top line as the content cost. So what's the problem there? Are the songs coming out at expensive rate and we are not bidding for them? Or is it the volumes of the song itself that is going down?

Kumar Taurani: See whatever we are acquiring, it has to justify the price and the recovery. We target to recover our music costs within five years. And wherever -- and you know we have 100% write-off policy in the same quarter. So if we feel if this film or this song won't fetch us money and we can't recover our money in five years' time, we don't acquire.

So we are very careful about that. We are very cautious about it, and we want -- we don't want those kind of situations where we also have to move for a longer write-off period or all that. I don't want that hassle. And I'm doing this since 1988, beginning of the company, we write off all the content costs same quarter.

So we are careful, I can say that. But next year onwards, we will have a proper whatever we're targeting, we will believe that amount will invest and acquiring new content.

Nihal Shah: And so this 20% to 23% guidance that you've given, it was exactly the same. The last year, 23% was the content cost as the percentage of top line. So we can expect another year of having around 65%, 66% of margins and that going down next year?

Kumar Taurani: Still, I feel it's too early to comment on that because we have still six months to go, maybe I will get one big film or thing. We are -- we keep trying what if we can get something, good content.

So let's wait for another quarter.

Moderator: The next question is from the line of from Sanidhya from Unicorn Asset.

Sanidhya: My first question -- my two questions, both on the content side. So everyone is running after the bottom line and top line. My question is on content side because I feel we are in the business of making content. And if we create good content, I think revenues would flow. So my first question would be on the YouTube Shorts side. So what I have an understanding of how YouTube Shorts works is the content that we produce and how popular -- how much popularity gained.

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So the more the popularity, the more the recommendation, it's a spill over, contagion kind of situation. So what are we really doing to engage with the influencers, engage with the people who can really make the content just to grow out in terms of YouTube Shorts. That's the first, if you would like to answer then I can ask the second.

Kumar Taurani: Hari, yes, go on.

Hari Nair: Yes. So we engage with influencers on Shorts for all our new releases. Also we do engage for our catalogue. So there is a continuous engagement, but you can't make a song hit. It just happens, the virality happens on its own because some common man in some small village is doing some act on the song. So it just happens on its own, but we do push a lot of influencers. We engage with multiple agencies on that.

Sanidhya: Sorry, please go ahead, sir.

Kumar Taurani: Yes, Girish, do you want to add something?

Girish Taurani: Yes, I think I would like to just add here, but see music and film business, when you talk about the -- it's a very creative business. These are, to some extent, data just helps us understand and evaluate how the artist is doing, how many streams he is getting and how much recovery had done but ultimately, it's gut and instinctive business and touchwood our track record has been good.

I think somewhere we have to also understand, it's not about quantity but also about quality, so maybe somewhere we may not be acquiring new releases, but the releases that we are doing amounts to a lot of good views and collective views that may be equal to our competitors. Also, our content business

today, we have a sister concern Tips Films who is helping us with music rights.

And we are buying that at arm's length price as you guys know. Because over there we have a lot of creative control, and we are curating music there. A lot of music labels they do not have that opportunity to be -- to have that visibility going forward. So we are in a very unique and fortunate position, but creativity also lies to a good amount of extent with us. And that will be a competitive edge for us going forward.

Sanidhya: Okay. Fair answer. Just secondly, on the regional music. So we are seeing a lot of small regional singers, making single albums and all that, and they are getting good views. They are getting viral as well. So are we engaging constantly with them to produce a second music video with us or maybe a proper album with us or feature them in some regional movies or in Bollywood mainline movies like that?

And just to add on to this. So you were saying that 15% of the growth comes from new content and 85% -- sorry, 15% revenue comes from new content and 85% from the older one. So I think the older one would -- the growth there would be hardly like mid-single digit or maybe high

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single digit. But the new content that we create is mostly -- pertaining to mostly contributing to most of the growth in the revenue.

So is that the right understanding? Or you want to correct something there?

Girish Taurani: So I'll take this. There's two parts to the question. I'll answer the content part. See, with respect to content, if you see it's already the non-film -- we divide it in two parts, one is the regional aspect, which we have many channels like Tips Punjabi, Tips Bhojpuri, Tips Haryanvi, Tips Rajasthani, we even have Tips Sindhi and all of those. So in that, we've been curating good artists and linking them to the mainstream as well.

We've worked with, I think most artists in the industries. And with respect to the numbers, I think maybe Sushant or Hari can take that.

Sushant Dalmia: So in terms of numbers, what we have said earlier, let's say our catalogue also continued to grow well, at a very healthy pace, in line with what we are growing. So we don't see, any downside risk in terms of the catalogue growth.

Sanidhya: So my -- the only risk I was seeing is -- we are seeing new users coming on the paid platforms, off lately so but that this growth could only sustain, say, a few years, once everyone is on the paid platform, this whole segment. So the only growth sector then remains beyond three, four years, I feel would be the new content that we get in. So any kind of highlight you want to share that, what kind of growth do we see in the overall revenues from the newer content versus the older content? Or they just in line with 25%, 30%?

Sushant Dalmia: So it's primarily in line. And let's say, our content is still the new retro. We have acquired content over the last 30 years. And we still see that more 20, 25 years, the existing content will grow for us.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, that would be the last question. I would now like to hand the conference over to Mr. Viral Sanklecha from Orient Capital for the closing comments.

Viral Sanklecha: I would like to thank the management for taking the time out for this conference call today. And also thanks to all the participants. If you have any queries, please feel free to contact us. We are Orient Capital, Investor Relations Advisors to Tips Music Limited. Thank you so much.

Moderator: Thank you. On behalf of Tips Music Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2025

January 29, 2025

To,
Listing Department
BSE Limited
P.J Towers, Dalal Street,
Fort, Mumbai – 400 001

Scrip Code: 532375 To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E), Mumbai – 400 050

Symbol: TIPSMUSIC

Dear Sir/ Ma'am,

Sub: Transcript of Earnings Conference Call

In terms of the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of earnings conference call on Unaudited Financial Results for the quarter ended December 31, 2024 held on Wednesday, January 22, 2025.

You are requested to take this information on your record.

Thanking You,

For TIPS MUSIC LIMITED
(Formerly known as Tips Industries Limited)

Bijal R. Patel
Company Secretary

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"Tips Music Limited
Q3 and 9M FY '25 Earnings Conference Call"
January 22, 2025

MANAGEMENT : MR. KUMAR TAURANI – CHAIRMAN AND MANAGING
DIRECTOR – TIPS MUSIC LIMITED
M R. GIRISH TAURANI – EXECUTIVE DIRECTOR – TIPS
MUSIC LIMITED
M R. HARI NAIR – CHIEF EXECUTIVE OFFICER – TIPS
MUSIC LIMITED
M R. SUSHANT DALMIA – CHIEF FINANCIAL OFFICER –
TIPS MUSIC LIMITED

MODERATOR : MS. MAMTA NEHRA – ORIENT CAPITAL

Tips Music Limited
January 22, 2025

Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '25 Earnings Conference Call of Tips Music Limited. As a reminder, all participant line will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Mamta Nehra from Orient Capital. Thank you, and over to you, ma'am.

Mamta Nehra: Thank you. Good evening, ladies and gentlemen. I welcome you for the Q3 and 9 months FY '25 earnings conference call for Tips Music Limited. To discuss this quarter's performance, we have from the management, Mr. Kumar Taurani, Chairman and Managing Director; Mr. Girish Taurani, Executive Director; Mr. Hari Nair, Chief Executive Officer; and Mr. Sushant Dalmia, Chief Financial Officer.

Before we proceed with the call, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. For more details, kindly refer to the investor presentation and other filings that can be found on the company's website. Without further ado, I would like to hand over the call to the management for their opening remarks, and then we will open the floor for Q&A. Thank you, and over to you, sir.

Kumar Taurani: Thank you. Good evening, everyone, and welcome to the Q3 and 9 months FY '25 earnings call for Tips Music Limited. Thank you all for joining us today. The commitment and efforts of our team have been truly commendable, and their hard work is evident in the positive results we have achieved.

I'm pleased to share that the Board has declared a dividend of INR3 per share. Secondly, during 9 months FY 2025, we have done buyback of shares worth INR46.61 crores and dividend payout of INR89.50 crores, aggregating a total payout of INR136.10 crores, which is in line with our commitment of rewarding our shareholders.

With that, I would now like to hand over the call to our CEO, Mr. Hari Nair, who will provide more details and insight.

Hari Nair: Thank you, sir. Good evening, everyone. We are seeing a strong growth for our music across digital platforms. In the quarter, we announced partnerships with TikTok, giving users worldwide access to Tips Music content library. We also saw YouTube Shorts increasing the length of their short-format videos to 180 seconds, followed by Meta announcing the same strategy. So, this actually opens up new opportunities for ad revenue and monetization for the platforms and for us. In the quarter, we are also observing a healthy surge in our content usage across Meta platforms, that is Instagram and Facebook.

I'll request Girish to share insights on the content and digital business. Thank you, everyone.

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Girish Taurani: Thank you, Hari. Good evening, everyone. I would like to talk about our content business. We've launched 116 songs in Q3 FY '25. This includes 40 film songs and 76 non-film songs. Our YouTube subscriber base has now reached a remarkable 113 million. This quarter saw the release of popular songs like Jutti Kasuri by Gippy Grewal, Afghani Afeem Hai by Toni Kakkar and Tiyaariyan from the movie Hoshiar Singh by Satinder Sartaaj, all of which have been well received by audience.

Our song Soni Soni from the film Ishq Vishk Rebound released earlier this year has crossed 100 million streams on Spotify. Naina from the film Crew continues to stream consistently across all platforms and has proved to be a super hit song. Thanks to Diljit, who is singing the song live in his concerts, which has a major contribution.

Last quarter release Dua Kijiye song has been growing organically on YouTube. Our ca

talogue

of songs like Dil Meri Na Sune from the film Genius, Hona Tha Pyar and Jeene Laga Hoon from Ramaiya Vastavaiya saw more than 70% spike in consumption of Spotify in this quarter. We have a very exciting lineup of releases planned for '25, as highlighted in our investor presentation, Slide 9.

I will now hand over the call to Sushant, who will present the financial highlights to everyone.

Thank you, all.

Sushant Dalmia: Thank you, Girish. Welcome, everyone, to the Q3 FY '25 earnings call. Let me take you through the financial highlights of the quarter gone by. Our revenue for the quarter was INR77.67 crores which is year-on-year growth of 20%. Operating EBITDA for the quarter stood at INR65.57 crores, that is year-on-year growth of 28%. Operating EBITDA margins were at 71.6% and PAT

for the quarter stood at INR44.23 crores. That is a growth of 28%. Content cost for the quarter was INR14.55 crores.

Now the highlights of 9 months FY '25 are as follows: Revenue for 9 months FY '25 was INR232 crores which was growth of 30% and PAT for 9 months was INR136 crores, which was a growth of 35%. With this, I conclude my opening remarks and open the floor for Q&A.

Moderator: Thank you very much sir. We will now begin the question-and-answer session. The first question is from the line of Sandhya from Unicorn Asset. Please go ahead.

Sandhya: Sir, a couple of questions. First, on the amount received from TikTok, so INR78 crores of revenue includes that amount?

Kumar Taurani: Sorry, we couldn't hear you.

Sandhya: Yes. My first question would be on the INR78 crores of revenue includes the amount – one time amount that we received from TikTok?

Sushant Dalmia: There is no amount, let's say, booked in the revenue for this quarter from TikTok.

Sandhya: Okay. So, it would be in next quarter?

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Sushant Dalmia: It will be starting, yes, from next quarter basis the streaming.

Sandhya: Okay. No, I was asking about the onetime amount that we have received from TikTok?

Kumar Taurani: It's the advance we have received which we will be booking every quarter.

Sandhya: Okay. So, can you reflect on how much is the amount and what proportion?

Kumar Taurani: Amount we don't give actually because of competition we can't reveal the amount, but we have done a deal, except India and China it's a world deal. It's not a very major deal. It's a mid-sized deal you can say and for international markets. And we can't reveal the amount, but it's a decent deal you can say.

Sandhya: Sure. And I just wanted to highlight what's the reason that we didn't go with Warner like I just wanted to understand the thesis behind this like going separately with TikTok vis-a-vis we could have gone with Warner as a cumulative thesis?

Kumar Taurani: Mr. Hari is an ex TikTok, Resso company. So, he said better we should be with them directly. We can expect a good deal because of relationships. So, we did that with TikTok.

Sandhya: Okay, I understand. So maybe it's strategically good for us in the long-term?

Kumar Taurani: Yes, you can say that.

Sandhya: Great. And sir second question, you were highlighting in the TV interview recently that we are planning to get the expenses in terms of content costs, spread it over say 3 years, 4 years. So, anything -- any updates on that you want to highlight?

Kumar Taurani: We write-off our content cost every quarter.

Sandhya: Yes. But you were saying in the interview that you are -- the company is doing some internal working and trying to see if we can...

Kumar Taurani: I think there is some confusion. I have never said that. We write-off our entire content cost in the quarter of music release even just Hoshiar Singh music, we have released just one song last week of December and we have written-off entire money towards that in this quarter.

Sandhya: Okay. Great. Thanks for the clarification. I was just getting back from the CNBC TV in

interview

you gave I think a month ago?

Kumar Taurani: No, it won't happen. It's last 25 years, 30 years we are following that practice and -- we will continue for a long, long time. -- No change at all.

Sandhya: No plans for changing the content costs expense?

Kumar Taurani: Absolutely no plans.

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Sandhya: Great. Thanks. That helps a lot because I think that was very important.

Kumar Taurani: Yes.

Moderator: Thank you. The next question is from the line of Mr. Ravi from Naredi Investments. Please go ahead.

Ravi: Sir, there is a reduction in net profit margin from 68.95% to 56.95% year-to-year and 59.74% quarter-to-quarter. So, will you give commentary what is the reason to reduce the margin?

Kumar Taurani: See as mentioned always, I said please take as yearly and yearly as committed 30% we will do bottom line and 30% we do revenue. So, this year if you compare 9 months together, so you won't see any difference. 30% we have achieved top line and 35% I think bottom line there. So, I think we are on target.

Ravi: Right. And film industries could not give more blockbusters in quarter 3, quarter 2. So how do

you see impact on music industry?

Kumar Taurani: Music industry see touchwood, Tips has the edge from -- if you see compared to other companies, our repertoire whatever we have done previously from '88 till 2022 that everything is selling. So, touchwood our repertoire is doing well. Even our new business last year, we did grew and it has done well. So that also given us a lot of business.

So, we are not affected, and we are not heavily dependent also on that. So as explained earlier we have a two, three kind of resources from where we get content and touchwood we are doing well.

Ravi: Okay. Sir, new songs added in 9 months are 338 versus 733. So, can we presume golden time of music industries is not that great?

Kumar Taurani: No. I don't agree to that. Actually, if you see my last two, three calls I'm always mentioning, we are now moving towards more of a quality. So maybe our target is to make 100 songs. Next year you will see further reduction in the songs, but our investment will be same. Our costs will be same, but we are focusing on more on a quality. So that was -- you see that number is less.

Ravi: And last sir how paid-up streaming going on, will you comment something about that?

Kumar Taurani: Streaming is happening very well. I think everything is booming even subscription is going ahead. We have also in our presentation, if you see one, is Spotify. There is a Spotify the major member in streaming business. So, he's doing very well. He has shown the numbers. He shown the industry how we can have a growth, subscription made majority, everybody is expecting subscription should grow. And it's quite decently it's growing.

Ravi: Okay. Sir, all the best carry on please.

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Moderator: Thank you. The next question is from the line of Garvit Goyal from Nvest Analytics Advisory LLP. Please go ahead sir.

Garvit Goyal: Good evening sir. Congrats for a decent set of numbers. Just one question on the medium-term outlook for Tips. Like we are now INR300 crores top line company on a TTM basis. So how do you see going from here for next 2 years to 3 years? What kind of strategies do we have in our mind and what kind of acquisitions if any we are looking for to further expanding the footprint in the music streaming industry, sir?

Kumar Taurani: I think business will be very good and it will be exciting time for Tips also. And as committed, I still feel 30% won't be a problem. We will grow 30% next year. And after that also I feel 30% is because there is a lot of many things are happening. If you see this subscription is increasing, the Spotify numbers are increasing. Spotify has started making money. So that's a good sign. YouTube is increasing. They are increasing th

e length of the short videos where we used to get lump sum from them. Now they will start doing ads on that, Instagram, Facebook and this reels, -- YouTube Shot. So, they will start doing advertising. So that can be a huge business like one more direct stream. It can contribute which is now contributing upto 5% . It can contribute 25% to the business.

So, I think that's a big thing plus that public performance, I always mentioned the public performance will really do well and it's really doing well. So many events are happening. See, if you see Diljit shows or just yesterday, I was -- somebody has sent me this Coldplay. A big show of Coldplay. And in that show Jazzy B my artist is singing my song, Tips songs, Naag, Naag, there's a old song, he was singing. I think these kind of shows we are -- as if we are going to make huge money. So, I feel that public performance, short figures, even the TikTok ban was happening in US.

Now maybe TikTok will have a partner in the US. The same thing will happen in India. But maybe we expect that in three-six months or 12 months, where Tiktok also can come into India. So that -- this entire short content will be a huge number for entire music business. And then public performance and subscription.

These 3 will be big years and maybe not immediately 1 or 2 years, but you will see in next 5 years, 1 year might come in which, suddenly you will see that the industry went up by 50%. So that will happen. I strongly believe in this business.

Garvit Goyal: And sir, what is the reason like you mentioned that in one year it will be up by 50%. So, what is the reason? Like, sir, you must be having something in mind, right?

Kumar Taurani: Yes. See, when television becomes a digital, when on television subscription came up Tata Sky, Airtel, Dish antenna, suddenly their business, they made INR20,000, INR30,000, INR40,000 crores only from distribution business extra. So that can happen. So, this Subscription is there or short content monetization or that public performance, proper value, so these three four things will bring business.

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I'm not saying that our business will be around INR25,000 crores and if that happens in the industry, now today if it goes around INR3,000-INR3,500 crores So, even if it is INR2,000 crores extra then that is not a big deal for us

Moderator: The next question is from the line of from Harsh Shah from Dalal & Broacha Stock Broking.

Harsh Shah: A few questions from my side. So firstly, if you could in a kind of help us dissect the revenue growth that we did this time, which was around 20% on a Y-o-Y basis between digital and non-digital in terms of percentage growth, that would be fine?

Kumar Taurani: You're talking about digital and nondigital?

Harsh Shah: Yes.

Kumar Taurani: It's same. What we are observing, 75% is digital, 25% is non-digital.

Harsh Shah: Okay. So then should we assume that both have grown equally in terms of percentage?

Kumar Taurani: Yes. Yes, you can assume that. Yes.

Harsh Shah: Okay. Secondly, on TikTok. So, the deal that we have done, so basically, if you could kind of give some colour in terms of the potential the markets that you are banking on? And also, what type of deal is it? Is it a lumpsum based, streaming base? Or how is it if you could give some colour?

Kumar Taurani: We have got some advance from them, and it will be earning for the usage or per creation.

Harsh Shah: Okay.

Kumar Taurani: Let me tell you, it's not a major deal. It's only for overseas for these kind of services, India is a very huge market. TikTok is not available in India. We have done this deal with them for overseas market.

Harsh Shah: Correct. Yes. So basically, I mean, this deal that you did, which markets -- I mean, while doing that deal, which markets were you banking on? So that was my question?

Kumar Taurani: I think for Indian music, USA, Canada, Gulf and

the UK. and Australia, New Zealand. And now actually, Pakistan also is a good market for us, Bangladesh too.

Harsh Shah: Okay.

Girish Taurani: So, the entire MENA region will be also contributing to it.

Harsh Shah: Okay. Got it. Sir, any kind of internal, say, working or calculation that you have done say in the next 3 to 5 years, how much could -- a TikTok could contribute basis the current deal?

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Kumar Taurani: What I see that, let's not talk only on TikTok, TikTok is not in India, and if TikTok comes in India then TikTok, Facebook, reels and that YouTube Shorts can be INR100 crores business for Tips for next 3 to 5 years.

Harsh Shah: Got it. And last question from my side. So, on the short video platform that we were talking about. So, any sort of indicative timeline that you could kind of give as to when can we see the monetization happening?

Kumar Taurani: Monetization happening now also, it's not that monetization is not happening. But now we are having entire -- all music companies or labels have a lump-sum deals with them. Now they have extended the length of that short video. They have extended the length to 3 minutes. And that 3 minutes, if you are listening to 3 minutes, then easily, they can fix an ad of 15 seconds, 30 seconds that they can put an ad.

And then when that ads will start, then our business will improve and really become a big business. And if a customer doesn't want to see ads, then they have to subscribe and subscription money, this or that. From both sides, we can make money. So that will happen soon.

Harsh Shah: Correct, sir. I'm aware of that. But basically what -- because last time on the con-call it was mentioned that YouTube had started a pilot project. So, what I was trying to understand is that are we -- is that pilot project, meaning contributing anything to our revenue as of yet?

Kumar Taurani: No. Not yet. Not yet. It will take another -- it will take another 3, 4 quarters, you can say.

Moderator: The next question is from the line of Saket Mehrotra from Tusk Investments.

Saket Mehrotra: Just want to understand how confident are we on achieving our 30% PAT guidance for the year? And how are we placed for that in the current scenario?

Kumar Taurani: 30% we have already achieved for 9 months, Saket, and we will close 30% more up and even bottom line also 30%, 30% yes -between 30%, 35% PAT will also come.

Saket Mehrotra: So, this is -- and I'm talking '24 versus '25 full year. So that you're saying you are in place to go yet in that 30% to 35% scenario?

Kumar Taurani: Yes. Yes.

Saket Mehrotra: Great. Sir, my second question is right now the royalty which come from our collection society how are we placed on that? What -- I mean, are we seeing any growth happen there? What I

understand is these guys are now going deeper into establishments and all of these wedding places and restaurants. So just if you could tell us something about what's happening there?
Kumar Taurani: We are doing -- everywhere, we are doing very, very well. And actually, if you see Tips is the member of one such organization, IPRS society. And then there is another company called Novex, in which we are a member, but Novex is an individual, entrepreneur and he handles our sound recordings, public performance.
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So, he's also doing very well, and we are getting money from that. And international instead of society, we have appointed Sony Music Publishing. In past where we have done a deal, small deal. Now they are talking to us for a bigger deal. We are discussing with them something, and we'll announce this soon as it happens.
Saket Mehrotra: You're saying internationally also, there's something like Novex what you are engaging with Sony?
Kumar Taurani: Yes. Yes. Yes.
Saket Mehrotra : Okay. So, sir, I mean, generally, is there any seasonality on the collection

of these societies? Or
does it come throughout the year? How has that evolved?
Kumar Taurani: The way the money keeps coming, they send us the reports and monies.
Saket Mehrotra: Okay. So, it comes throughout the year like that?
Kumar Taurani: Yes. Yes., throughout the year.
Moderator: The next question is from the line of Vaibhav from Yes Securities.
Vaibhav: Congratulations on a very good set of numbers. Sir, my first question was on our revenue top line growth guidance. So, as we have already given Warner, 25% of our revenue comes from basically other streaming platforms. And we are only getting minimum guarantees from Warner the next 3 years. So not having any growth on that particular part of our segment, do you think will that affect our entire revenue growth? Or do you think YouTube and our non-digital revenue should suffice for achieving the 30%?
Kumar Taurani: No. No, but we are growing on every platform.
Vaibhav: But we are only getting minimum guarantee, right from Warner?
Kumar Taurani: We have got minimum guarantee, but we have not booked that minimum guarantee in our accounts. We have shown as an advance and whatever numbers they are actually selling; whatever business is happening; we are just booking that.
Vaibhav: Okay. Understood. So, growth is happening on the Warner..?
Kumar Taurani: On actual numbers, whatever business is happening, that is happening. Whatever maybe, there is an overflow or maybe it's an old entry they have paid that will happen after 4 years in the last quarter, not now.
Vaibhav: Okay. Understood. And sir, my second question was on the content acquisition costs. So, our content acquisition cost has been steady in around 17% to 18% of our sales. So, I think earlier you had guided that costs will be around less than 30% of revenue. Is there any reason that we are slightly conservative in investing behind new content?
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Kumar Taurani: Not getting good content on the right price. So, we are just watching. But next year onwards, you will see we are consuming around 25%, 27% will invest in content. It will happen. We already have so many releases coming up if you see the slide, I think, 9 or something, so you will understand next year, we have a sufficient content, and we will achieve our target of spending money.
Vaibhav: Ok, that's it from my side. Thank you so much.
Moderator: Thank you. The next question is from the line of Ms. Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.
Jyoti Singh: Thank you for the opportunity. Sir, my question is from the earlier participant only. Like one of our competitors is going aggressive on the content side. So, what kind of impact we are seeing? And second question on the monetization side, like you mentioned on the industry side also in the PPT, so just wanted to understand your thoughts and also revenue-wise, how much we are able to monetize on the Meta side?
Kumar Taurani: We have given Meta, Facebook to Warner and they are really doing a good job, and we are very happy about that. And as far as content competition is concerned, so we are not in that game. Market is really very competitive. So, I don't want to be in that race. So, we are focusing on our own relationships and whatever good content we are focusing, if we get a good content.

. Our target, as explained earlier also in last concalls if you see, 7, 8, 10 quarters, I always maintain 25%, 30%, we will invest in content. And from next year onwards, we will achieve that.

And also, as I told you earlier, we have our own company, film company. At arm's length, we are buying content from them also plus we do our own recreations, our repertoire, music, whatever we have -- so that's a new kind of a retro that is doing well. So, we are doing many songs as recreation, they are selling very well. So, we have really absolutely placed very well, and we are achieving our target

. So, we can't be desperate or go for that bidding war that is happening already within 2, 3 companies. We are focusing on our business, and we are happy about that.

Jyoti Singh: Thank you. Sir, just one more question. So whatever content we are acquiring, how much percentage it is new and how much percentage it is from the existing or you can say remix side? And another is on the event side like earlier you mentioned, the event like Coldplay and Diljit they are doing very well. So, if you can give us your thoughts what's your planning on that side?

Kumar Taurani: See, actually, Coldplay was a show. And when if any artist is performing my song or any other company song, those companies will get advantage and they get money, remuneration. So that's a good advantage for us. And our other songs, if you see, whatever big shows are happening, our songs are being played. Even this is an international show, but still our Tips song is being played. So, you can say our -- as I mentioned earlier, we are at the right place and right catalogue, you can say. So that's what is happening very well. And what was your other question? Can you repeat that?

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Jyoti Singh: Sir, like, how much ratio on the acquisition side, from the acquisition side, new and old?

Kumar Taurani: See okay. You're saying, how much business happening from new and old. I think maybe you're saying that. So, you can say, as mentioned earlier, our target is whatever investments we do, we write-off in the same quarter, but we should recover that money in the next 4, 5 years, we should recover that money. And I think we are achieving whatever for -- we have not done any heavy reinvestment so far.

Next year onwards, we are doing a lot of investment. And whatever this 2 years, INR60 crores, INR70 crores each, we have spent, this is actually including content and marketing costs. Our content cost, actually, if you see for 3 years, it's hardly anything INR100 crores, INR125 crores, but we see we are recovering. We will recover in 4 - 5 years' time.

Jyoti Singh: Thank you, sir.

Moderator: Thank you. The next question is from the line of Arpit from IG India Family Hub. Please go ahead.

Arpit: As you said, the YouTube Shorts will be getting paid on per user basis. So how do you expect it to materialize in comparison to long format video, which is existing there?

Kumar Taurani: Same thing will happen. See now, YouTube has given us a guaranteed floor which is minimum money, you will get this much money. And if they start up doing ads from those content, then same split happen. 55% for us, 45% for them. From that 45%, they will give 10% to 12% to the publishing rights and balance 33% to 35%, they will retain. The same split will happen, and I think that split number will be very huge.

Now every, I think, majority of advertisers, they want to come on short content, everybody wants to do ads on short content because it's a consumption, too big, too huge. I think that will be a big advantage.

Arpit: Okay. How much proportion of the total YouTube play could be on a short format right now?

Kumar Taurani: I think, hardly -- I think all services put together hardly 7%, 8%.

Arpit: Got it. And we are expecting it to get back to 25%, 30% kind of level?

Kumar Taurani: Yes, it can be.

Arpit: Got it. Thank you.

Moderator: The next question is from the line of Naitik from NV Alpha Fund. Please go ahead.

Naitik: Congrats on a good set of numbers. So, my first question is, did we see full quarter of Warner deal's revenue booking this quarter? Because there were some delays, I believe in uploads on Meta. So, can we assume this quarter we saw a full quarter of revenue for Warner deal?

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Kumar Taurani: Sushant, can you reply to this?

Sushant Dalmia: So, the content got ingested, Meta and everything got ingested and the content wa

s live. We

weren't able to share the breakup of the Warner revenue, but yes, the traction was good in all the platforms operated under the Warner umbrella.

Naitik: No, sir, my question is, did we see a full quarter of revenue recognition or not? I don't need the number. I understand you can't share the number. I just wanted to get a sense, if we did see full quarter of revenue from that content let that got ingested?

Sushant Dalmia: Yes, we got full quarter of revenue.

Naitik: Okay. Got it. And my second question is, sir, what percentage of your revenue guarantee would be from paid subscribers in the digital revenue?

Kumar Taurani: Sushant, Hari?

Hari Nair : No, it will be a really small number right now, but it is growing steadily. If you compare year-on-year growth on subscription, it is growing about 40% every year. So, Spotify is doing a great job on that. But yes, it has to become a big number for all of us in the industry.

Naitik: That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agrawal: Thank you for taking my question. Sir, Taurani ji, FY25 is almost over and till now we have spent about INR40 crores on the content, right? Earlier, our target was to spend about INR70 crores-INR80 crores, which now seems to be impossible. Can you give us a broad sense of what will be the content cost this year? FY25 total.

Kumar Taurani: How much will it be, Sushant?

Sushant Dalmia: Ankush, it could be in that range of INR55 crores to INR60 crores for the full year. Depending on the releases, but let's say that would be the ballpark.

Kumar Taurani: We have something going on. So, I think this will happen, yes.

Ankush Agrawal: Okay, got it. So, Mr. Taurani, it's been almost 2 straight years in which our content cost is almost INR50-INR60 crores. So even though in the short term, this is boosting the P&L but in the long run you don't think it will be problematic because if you look about it, Tips's current strength is because the blanket content was acquired in the 1980s and 1990s of which we are getting the benefit.

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But after 20-30 years, if we look at our content acquisition strategy, somewhere it could backfire us. So, how do you think we should take it from here? Because it's been 2 or 3 years since we invested in content.

Kumar Taurani: Let me tell you, we think that our catalogue is still so strong that we haven't even explored it.

So, we are still really pushing our content. Because our existing repertoire can still grow a lot on the major platforms. Apart from that, if you see that presentation, as mentioned earlier also, we will bang on target, we are going to spend that money and we have a huge good quality content. Just wait for next year, you will understand. And we wanted that cycle. And if you know, a few months back we done a block deal because of that only.

Another company should make more films and give us content. That will also happen. We will get a quality content at arm's length, absolutely transparent, approved by auditors and board members, everybody according to policy.. So not a problem. And content, next year you will see it. We are having a huge content. Plus, that's our catalogue is very strong. It will also show a lot of upside.

Ankush Agrawal: Second question is that in this quarter we have grown revenue of 20% Last 2 quarters the Winksettlement had one-off impact but if I take off that one-off impact, we have grown about 23%-24% in 9 months So the organic 30% growth target seems to be shortfall. Despite the fact that we have made a lot of major deals this year, like through Warner's deal, we have come to a lot of platforms, TikTok, Meta, we have gone live. So, from next year, how do you see that growth sustain 30%?

Kumar Taurani: Okay, so now, , let's believe for a moment that when we

got the money from Wink. If the deals

had closed prior to 2 years then on the contrary, we would have benefited from Wink. If you see, we have lost that business. So actually, our numbers without even Wink or Airtel, which was there for so many years, we have not made a deal for 6 years. We must have lost INR70 crores-INR80 crores. But because of the very aggressive stand, Wink, Airtel has taken, we have no option, they have given no option but to go in the court.

I think even then also, we are really pushing hard that we should do more than 30% of this year. The 12 crores we have; we should keep that separately and achieve more. And that should be happening. There are some good things happening. And as I said earlier, our effort is really doing well. So, we are not getting stressed about that. And as far as next year is concerned, we have such a good follow-up of releases. And so many things are happening. So, we are still confident that next year we will achieve 30%

Ankush Agrawal: Got it. Thank you.

Moderator: Thank you. The next question is from the line of V.P. Rajesh from Banyan Capital Advisors. Please go ahead.

V.P. Rajesh: Just two questions. One, in terms of, what we are seeing is that Bollywood is rereleasing movies back from 1990s all the way to 2000. So, are you seeing any uptick on your music library because of that?

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Kumar Taurani: Can you repeat just, please?

V.P. Rajesh : See, Bollywood is releasing older movies in the last few months we have seen them turn back to '90s.

Kumar Taurani: Okay. Understood. No, there's no huge impact, maybe very minor, no big impact of that.

V.P. Rajesh: Okay. And in terms of your catalogue, have you seen any shift in terms of the songs that are being played? Are they from a certain period and that period is shifting over, let's say, last year same quarter? Or is that period still staying strong in terms of the consumption by the subscribers?

Kumar Taurani: No. I think consistently, they are performing. My songs are performing well. And on the contrary, they are growing. So, no complaints about that. No change.

V.P. Rajesh: Sir, my question is in terms of the PV for which you -- let's say, if INR100 of revenues coming, INR50, INR60 is coming from, let's say, early 2000 music. So, are you still seeing that content generating same type of revenue? Or is it starting to move towards, let's say, 2010 type of music?

Kumar Taurani: No, it's the same type of -- No, same type of business. See, music business won't change quarter-on-quarter basis. Music business changed after every 7 years, 8 years, 10 years. So, we are actually -- see we are a very young company for the -- when YouTube or the Spotify when that has come, only 10 years, 12 years old, the services.

So, for them, on the contrary Spotify has not reached interiors of India When they go inside of India, then you will see suddenly it will be a very huge surge in this content.

V.P. Rajesh: Okay. And typically, like where are you getting your maximum revenue from? Like is this a 10-year-old content, 20-year-old content? What is the aging of your content where you're getting the revenue from?

Kumar Taurani: From '88 till 2020, whatever we have done, we are making good content. And after 2020, I take that as a new content. So, our catalogue is really doing well. And as other business 80%, 20%.

Our business is also 20% songs, give us 80% revenue, maybe 85% revenue.

V.P. Rajesh: Right. So that 20% songs, which period do they belong to? That's what I'm trying to understand that.

Kumar Taurani: I'm telling you, 1988 to 2020.

V.P. Rajesh: Okay. But you don't bifurcate it ahead and see which period is getting more, which period is getting less. Within that 1988 to 2020?

Kumar Taurani: No, we are going to do that too. We have made that analysis team. In the next 3, 4 quarters, we will do that too.

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V.P. Rajesh: Okay. Got it. And then last question on the shorts point that you made. So, if there is an advertisement ad in that situation, let's say you are making INR100 today from whatever we guys are paying to Warner and that is coming to you. So, how much bump can you see? Like when you talk about going from 7%, 8% to 25%, but on a INR100, there will be some leakage also, right? Because people will not be consuming in other places. Or do you think that will be all additional revenues?

Kumar Taurani: I don't know, maybe 5%, 10%, maybe a leakage. It still we will get a big boom.

V.P. Rajesh: So, how much will that INR100 be according to you?

Kumar Taurani: You understand that whatever business we are doing, if my estimate is today, if I earn 7%, 8% today, for a minute you thought INR300 crores business is there if I am earning INR20 crores to INR22 crores, , I will earn INR90 crores, it will be this much consumption will increase, if you watch it yourself, if you use Instagram, if you watch one video by mistake then you will end it you will watch 25 -30 videos. So, if it is a long video then you will watch 10 - 12.

V.P. Rajesh: Got it. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Abhishek from AB Capital. Please go ahead.

Abhishek: Just wanted to ask any particular reason as to why growth was a bit tepid this quarter that it used to generally grow at around 30%? So, any reason, any particular reason?

Kumar Taurani: What you -- actually I have not heard, can you please repeat?

Abhishek: Any particular reason as to why growth was a bit tepid this quarter?

Kumar Taurani: As told you earlier, please don't judge us on a quarter-to-quarter basis. If you see overall, if you see 3 quarters results. So, we are bang on 30%, whatever we have said we have achieved and even bottom line to 35%. So, I think that's 2%, 3% here and there 1 quarter is bigger.. It happens as in business.

Abhishek: Okay. And you are confident next year also, you'll achieve 30% top line and bottom line?

Kumar Taurani: Yes, very confident. Yes.

Abhishek: Okay. Thank you.

Moderator: Thank you very much. That was the last question -- due to time constraint, that was the last question for the day. On behalf of Tips Music Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

May 2, 2025

To,
Listing Department
BSE Limited
P.J Towers, Dalal Street,
Fort, Mumbai – 400 001

Scrip Code: 532375 To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E), Mumbai – 400 050

Symbol: TIPSMUSIC

Sub: Transcript of Earnings Conference Call

Dear Sir/Ma'am,

In terms of the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of earnings conference call on Audited Financial Results for the quarter and year ended March 31, 2025 held on Thursday, April 24, 2025.

You are requested to take this information on your record.

Thanking you,

For TIPS MUSIC LIMITED
(Formerly known as Tips Industries Limited)

Bijal R. Patel
Company Secretary

Encl: a/a

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"Tips Music Limited
Q4 and FY '25 Earnings Conference Call"
April 24, 2025

MANAGEMENT : MR. KUMAR TAURANI – CHAIRMAN AND MANAGING
DIRECTOR – TIPS MUSIC LIMITED
M R. GIRISH TAURANI – EXECUTIVE DIRECTOR – TIPS
MUSIC LIMITED
M R. HARI NAIR – CHIEF EXECUTIVE OFFICER – TIPS
MUSIC LIMITED
M R. SUSHANT DALMIA – CHIEF FINANCIAL OFFICER –
TIPS MUSIC LIMITED

MODERATOR : MS. AYUSHI GUPTA – MUFG INTIME INDIA PRIVATE
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Tips Music Limited Q4 and FY '25 Earnings Conference Call. As a reminder, all participant line will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Ayushi Gupta. Thank you, and over to you, ma'am.

Ayushi Gupta: Thank you. Good morning, ladies and gentlemen. I welcome you to the Q4 and FY '25 Earnings Conference Call for Tips Music Limited. To discuss this quarter's performance, we have from the management, Mr. Kumar Taurani, Chairman and Managing Director; Mr. Girish Taurani, Executive Director; Mr. Hari Nair, Chief Executive Officer; and Mr. Sushant Dalmia, Chief Financial Officer.

Before we proceed with the call, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. For more details, kindly refer to the investor presentation and other filings that can be found on the company's website.

Without further ado, I would like to hand over the call to the management for their opening remarks, and then we will open the floor for Q&A. Thank you, and over to you, sir.

Kumar Taurani: Thank you. Good morning, everyone, and welcome to the Q4 FY '25 Earnings Call of Tips Music Limited. FY '25 has truly been a landmark year for us.

Our CFO, Sushant brought to light an interesting financial fact, which I want to share with you.

In FY '23, our revenue was INR187 crores. And now in FY 2025, our profit is INR167 crores.

So after every 2, 2.5 years, our profits are equivalent to our past revenue. He also informs me that Tips Music is one of the few listed companies in India to have seen this kind of a strong financial growth. With God's grace and your support, we hope to set new records. We have distributed INR136 crores in FY 2025 in form of buybacks and dividends.

Moving forward, Tips will always focus on acquiring and delivering high-quality music content. For financial year 2026, we plan to invest in the range of 25% to 28% of our revenue in new content acquisition.

With that, I now invite our CEO, Mr. Hari Nair, to share his thoughts. Over to you, Hari.

Hari Nair: Thank you, sir. Good morning, everyone. I'm happy to state that we have delivered a 29% growth in revenue and 31% growth in PAT for the year 2025. The growth in our revenue has been across digital and non-digital segments.

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We have seen a healthy consumption of our content across YouTube, Spotify, Meta, Amazon, Apple, Gaana, Saavn, Snapchat, public performance and witnessed new partnership deals via our newly created brands division.

In Q4, we announced an extension of our deal with Sony Music Publishing, adding YouTube as a platform for international publishing exploitation. Going ahead, we are committed to a strong growth across platforms driven by our catalog and new content acquisition from films and independent music.

I will now request Girish to share insights on the content and digital business. Thank you, everyone.

Girish Taurani: Thank you, Hari. Good morning, everybody. In Q4, we saw strong traction across platforms, both from new releases and our catalog. We released 105 new songs in Q4 FY '25, including 37 film songs and 68 non-film songs. This year, our focus has been more on delivering quality content over quantity.

Two songs from the film Hari Hara Veera Mallu, Telugu film released in Q4 crossed over 50 million views on YouTube. Our catalog continue to perform well too. The song Taaron Ko Mohabbat Amber Se from Shaadi Karke Phas Gaya Yaar movie, which was rele

ased in 2006

became a viral sensation in Q4 FY '25 with over 9 million reels created and 2 billion views on Instagram.

Another classic Badal Gayi Duniya from the film Andolan movie, which was released in 1995, saw more than 100 million YouTube views in FY '25 alone. This validates the quality of our catalog we hold. Additionally, we now have 117 million subscribers on YouTube with a cumulative aggregate growth of 22% over the last 3 years.

Now I will hand over the call to Sushant, who will take you through the company's financial

performance. Thank you.

Sushant Dalmia: Thanks, Girish. Welcome to the Q4 FY '25 earnings call. I'm pleased to share the financial highlights of this quarter, reflecting strong performance of the company. Our revenue for the quarter amounted to INR78.5 crores, resulting in Y-o-Y growth of 24%. The content cost during the quarter have increased by 25% on a Y-o-Y basis as we had huge releases in regional languages such as Telugu and Punjabi.

Secondly, please note that employee expenses during the quarter includes ex gratia provision of approximately INR1 crores and a variable pay provision of INR70 lakhs, while other expenses include a provision for doubtful debt amounting to INR2.5 crore, which is done on a conservative basis. Factoring the above, the operating margins came in at 47%, while PAT for the quarter was at INR31 crores, resulting in a Y-o-Y growth of 19%.

During FY '25, the company has declared a cumulative interim dividend of INR7 per share and a buyback for non-promoter shareholders amounting to INR46.6 crores, which brings the payout ratio for FY '25 to around 82%.

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With this, I conclude my opening remarks and open the floor for Q&A.

Moderator: We have our first question from the line of Harsh Shah from Dalal & Broacha.

Harsh Shah: A few questions from my side. So firstly, on the revenue part, right? So could you quantify the amount that we have received from Warner in FY '25?

Kumar Taurani: Okay. So whatever Warner do business, we account that in the business. And I think Warner must be in the range of say around 25%.

Harsh Shah: Of my full year revenue.

Kumar Taurani: Yes, full year revenue.

Harsh Shah: Okay. So that would be around INR70-odd crores, INR60-odd crores?

Kumar Taurani: Yes, must be.

Harsh Shah: So then a follow-up on that. So if I look at my 6-monthly balance sheet and compare it to the full year balance sheet, it seems that the collection from Warner in H2 has been a bit lower - as compared to H1. So any specific reason for that?

Kumar Taurani: No, it depends upon many things. Sometimes we have a few deals in advance or payments coming late. So this happens. You can't compare our business as a quarter-to-quarter basis.

Maybe Sushant, you can clarify further.

Sushant Dalmia: So Harsh, , there would be a few deals which we did in Q4, like SMP or TikTok, so there will be some advances coming in from that. And Warner deal, as you are aware, we booked the revenue basis the consumption report. And what Kumarji has said that it is in the range of around 20-25% of the overall revenue.

Harsh Shah: Got it. Okay. And secondly, if I had to kind of get a ballpark figure in terms of what would have been our growth in the YouTube revenue. Do correct me if I'm wrong. Our assumption says that the growth for the full year in YouTube would have been around 14% to 15%. Is that correct? If you could give some color on that front?

Kumar Taurani: Sushant?

Sushant Dalmia: So, Harsh, oYouTube revenue would be in line with what the company's growth rate is. And we don't provide any individual breakup customer-wise

Kumar Taurani: Also, please, we can't give you this information because it's a competitive world. So we can't give you a client-wise breakup. So please excuse us for that.

Harsh Shah: Yes. No worries. And last question from my side. So basis your opening commentary, yo

u shared

that the content cost for next year would be around 25% to 28% of our revenue. So is the

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assumption correct that the absolute amount could be in the range of around INR95 crores to INR120-odd crores in terms of content acquisition?

Kumar Taurani: Yes, we are targeting that.

Moderator: We have our next question from the line of Sagar Jethwani from PhillipCapital.

Sagar Jethwani: Can you help me with the amount of this doubtful debts included in the other expenses?

Sushant Dalmia: Sagar, it is around INR2.5 crores

Sagar Jethwani: And what was the reason for same?

Sushant Dalmia: So a couple of things in this. There were certain old content advances, which were more than 3 years. So we had done a provision on a conservative basis. And second, there was a loan given also to one of our erstwhile landlord, which was outstanding for more than 3 years. So we have

provided it also on a conservative basis.

Sagar Jethwani: Is there any need for the further provision going further?

Sushant Dalmia: No,

Sagar Jethwani: Okay. So other expenses would iron out, right, going ahead?

Sushant Dalmia: Yes,

Sagar Jethwani: Okay. And second question is, as per the last 4 years trend in Q4 quarter, your content cost is typically highest and therefore, the margins in Q4 is lower. So what's the logic for the content cost being highest in Q4?

Kumar Taurani: See, it is not in our control, as and when producers gives us the track and tells us the release date, we have to release the content.

Moderator: We have our next question from the line of Saket Mehrotra from Tusk Investments.

Saket Mehrotra: Great set of numbers. Just wanted to understand what's our guidance and what's our outlook for the next year? And how are we looking at it? Is it consistent across what we've been talking about for the last few years?

Kumar Taurani: As you all know, the industry is growing by 15%- 20%. And as our commitment, we will definitely expect we will achieve 30% as that we have achieved in last few years. And because we have a lot of new releases coming up and a lot of deals already signed, we still target we will achieve that 30%. Plus our 90s repertoire is really doing well, if you see this year as well. And plus this year, we have a stronger new releases. So we will hopefully achieve that number, 30%.

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Saket Mehrotra: So we are confident of our 30% growth guidance for the next year as well, right? That's what you're saying.

Kumar Taurani: Yes.

Saket Mehrotra: Great. Also, you've been mentioning about this flow of premium coming through very sharply. And maybe, Hari ji, you can comment on this. How are we seeing that landscape evolving? Are we getting the benefit of these increased paid subscriptions on Spotify, YouTube? How does that landscape look like?

Hari Nair: So every year-on-year basis, the paid subscriptions are increasing. If you see the platforms like Spotify, they are putting in more restrictions and they are pushing the consumers towards paid model. So overall, it's a very promising and a positive thing for the entire industry. That's all I can say right now.

Saket Mehrotra: Looking at these collection societies, is that still a growth engine for us? Has that space consolidated further? Or is it going to be similar to what we've seen in the last few years?

Hari Nair: No. what we have done is, our publishing deal with SMP is looking very promising. And we expect a lot of growth coming in from that. And yes, IPRS and other societies are continuously growing in India, thanks to the consumption that happens in India.

Kumar Taurani: Saket, hello?

Moderator: Yes, sir, he is connected.

Kumar Taurani: Yes. Saket, the worldwide total streams happened is around 7 billion. USA alone did 1.45 trillion streams. And we in India, in 2020 did 0.5 billion. And last year, we did 1 billion -- sorry, 1

trillion. So still there were lot of scope there to increase our billions streams in trillions and plus revenue also. So I think there is a -- that's a very, very big thing for Indian industry for our music business, which we expect we will have a very good business for the next 4 to 5 years.

*Error - Worldwide total streaming volume reached approximately 7.1 trillion in 2023.

During that time, the USA alone accounted for 1.45 trillion streams. In 2022, India recorded 0.6 trillion streams, and in 2023, India's contribution to the global total music streaming volume was 1 trillion.

Saket Mehrotra: Okay. Yes. I mean that's what we are betting on, and thanks for that insight. I don't have any other question.

Moderator: We have our next question from the line of Ravi Naredi from Naredi Investments.

Ravi Naredi: Thank you Taurani Ji as well your fantastic result. Our profit margin for whole year is 53.6%, while in quarter 4, it is 39%. So can you guide margin projection for financial year '26 onwards?

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Kumar Taurani: See, as I told you earlier also, please don't look us at a quarter-to-quarter basis. Please see us on a yearly basis. We have achieved our 31% growth and we are targeting ourselves for 30% top line, 30% bottom line, we will grow. So that is our target. And we are working hard towards

that, acquiring new releases, new content, our 90s repertoire doing really well. All the platforms, we are touchwood doing well. So that's our target for this coming year also.

Ravi Naredi: Two of your songs Taaron Ko Mohabbat Amber Se and Badal Gayi Hai Yeh Duniya, these songs are again famous. So what is the reason for that and has such a thing happened in past also?

Kumar Taurani: See Ravi Ji, this happens, that somebody likes the song and he just made a reel or something and then suddenly, it catches on. So these things happen in our business. There are many Tips songs as I told you our repertoire -- 90s repertoire from '88 till 2020, whatever we have acquired is really doing so well. You can count as best-selling catalog today. So that's the reason and can pick up any time.

Ravi Naredi: Sir, you have shown global music label revenue only 2%. So what is music label at global level? Can you describe this?

Kumar Taurani: Sushant can you take that?

Sushant Dalmia: Ravi Ji, we are saying India share in the global buy is around 2%. And globally the music label is around \$29 billion.

Ravi Naredi: Right. So what is this music label?

Sushant Dalmia: Music label in the music companies globally the bigger ones and the smaller ones all put together.

Ravi Naredi: So you mean to say India will grow definitely in comparison to \$29 billion, right?

Sushant Dalmia: In terms of overall volume-wise, India has a much larger share, but -- its only 2%. That will grow substantially given that subscription is now picking up in India. So that's the underlying message

Ravi Naredi: Okay. And one more thing. We bought less song in this year from 730 songs to 443 songs, we paid INR71 crores. In last year, we bought 733 song and paid INR56 crores. So can we treat this now the song cost is costly or what is this?

Kumar Taurani: See, we are acquiring films, and we are focusing on a quality content. As I said earlier in earlier call also, we will be releasing less and less quantity. These are the old songs we have acquired, which we are releasing. But going forward, we are targeting to release 100 -125 songs but we'll invest 25% to 28% of our top line. That is our updated thinking -- we should do that for quality over quantity.

Ravi Naredi: Right, right, right. And one last, what about the Bollywood's scene currently going on?

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Kumar Taurani: Yes, it's happening. We are looking for a good music. And whenever we have an opportunity, we acquire, good music, we are doing that.

Ravi Naredi: Okay Taurani

sir, thank you very much.

Moderator: Thank you. We have our next question from the line of Kavish Parekh from B&K Securities. Please go ahead.

Kavish Parekh: Thanks for the opportunity. I have a few questions. So firstly, on growth, while you have managed to end the year with 29% Y-o-Y growth, this also included benefits to the tune of about INR12 crores in the first half on account of Wynk Music. Excluding the same growth was about 24%. So I understand that you've mentioned that you still stick to your 30% growth guidance. What exactly will be driving this growth?

So is it solely in terms of deals, your numbers from the Warner deal are already in the base. Short format platforms moving to consumption-linked models is at least a couple of years away. Catalog music, which is about 85% of our top line is growing at 15%, 17-odd percent. So is it solely the new deals that we source that will contribute to this growth? What really gives you the confidence on this aspiration?

Kumar Taurani: See, my content is really doing well and short content are also giving us good money. Streaming is happening. So overall, same drivers, but not a major change. And content plus this year though, we have a lot of good new releases. So I feel we will achieve whatever we are saying. And as far as Wynk is concerned, see, earlier years, we don't have any -- on the contrary, if you see Wynk, we have suffered big time for 6 - 7 years, we are fighting with them. And ultimately, we got settled with INR12 crores, what we have declared earlier.

And earlier, we have not recognized that. So somewhere we have to also take that into an account. But if you deduct that, then even I think 24% is also good. I don't feel it's bad. So what -- as you want, you can calculate.

Kavish Parekh: No, no. I mean I understand that, that 24% is also a fairly healthy number. My only question was this ramp up from this 24% to 30% with your Warner numbers already being in the base. But understood, I think it will largely be driven by new content that we acquire, quality -- more quality content coming out and us acquiring that.

Kumar Taurani: Yes.

Kavish Parekh: Understood. And secondly, could you explain the working capital movements in this fiscal? So does it pertain to timing differences in receipt of advances from Warner and that the amounts were received in maybe April this time, which is why they are not reflecting in FY '25, something different from last year, anything that you would like to highlight?

Kumar Taurani: We have received one instalment in March, I feel. And another one we are going to receive in October. So we are receiving whatever -- commitment was there that's happening.

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Kavish Parekh: Okay. So this dip in CFO, the reported CFO, that is on account of this very Warner deal?

Sushant Dalmia: Kavish, on this Warner deal, what Kumar ji said is one tranche is expected in October. So that's why you see that when you compare it with last year, you will see that dip. Otherwise, there are no other dips on the cash flows.

Kavish Parekh: So in FY '24, the amounts were received, the advances were received in March '24 or April '24?

Sushant Dalmia: So, the first tranche we received at the end of March '24.

Kavish Parekh: Understood. So that is a part of your FY '24 numbers

Sushant Dalmia: FY '24 numbers, that's right.

Kavish Parekh: That's right. And the second tranche, it came in April '25?

Sushant Dalmia: The second tranche was divided into two parts. So, one came in, , April '25, right And the second tranche will come in October 2025

Kavish Parekh: Understood. So April, it was not March. Had it been in March, I think numbers would have reflected in our FY '25 reported numbers itself.

Sushant Dalmia: Yes.

Kavish Parekh: Understood. Thanks a lot.

Moderator: Thank you. The next question is from the line of Jyoti Singh from Arihant Capital Markets. Please go a

head.

Jyoti Singh: Thank you sir for the opportunity. Sir, my question is on the vertical side, like we are doing a lot of things. But are we open for the podcasting also going forward? Any visibility on that side?

Kumar Taurani: Actually, we don't have any immediate plans. We are focusing on music. Music is a big business. But if there is any opportunity or we feel we have to necessarily go for that, so maybe we can do that. I feel music businesses are better than this podcast.

Podcast is a onetime listening. If you've seen that podcast, it's a long, long podcast, you even don't listen entire podcast. So we feel music business is better. So our major focus is on that.

Jyoti Singh: Okay. And sir, like in the opening comment, we mentioned on the 2bn reels and all on the song side. So are there any efforts to improve monetization on the Meta side? And what kind of revenue we are seeing? I know because of the competition, we are not able to discuss on the number part. But at least if you can give us a little visibility on the Meta monetization, how it is happening? And what kind of visibility we are seeing going forward?

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Kumar Taurani: Yes, I have always mentioned 3, 4 things, which can really give us a boost or we depend on them. One is absolutely streaming and subscription business. We are very, very hopeful it's going to increase. Number two, reels and if TikTok settles in US, so it will be coming to India also.

This short content will also get us a huge revenues and we are seeing the difference.

You must be knowing I think 1 year back, we were not giving our content Instagram. But last year, we added Instagram also in the Warner deal, and we are really getting good revenues from that service. And we are very hopeful it will be very huge for us.

And number three is public performance, that events happening and our big business in India, we are getting royalty from their licensing. Plus we have given the Sony publishing deal has happened for us. So publishing also giving us good revenues. So I'm quite hopeful this will give us good revenues and we will achieve our targets.

Jyoti Singh: Thank you so much.

Moderator: Thank you. We have our next question from the line of Garvit Goyal from Nvest Analytics Advisory. Please go ahead.

Garvit Goyal: Congrats for good numbers. My questions are already answered. Just one question left. In this quarter, content per quote has increased significantly if we are comparing it with its last 3 quarters. I agree we are focusing on quality of the song. But considering that our growth for next year is particularly driven by the new releases.

So don't you think it is going to impact our margins and thus, our PAT growth is somewhere like underperforming our top line growth?

Kumar Taurani: How come that happen -- I don't think. Sushant, please clarify this.

Sushant Dalmia: Garvit, what we have said earlier also, we are targeting that content budget of 25% to 28%. And , we will be targeting that growth. But depending on the releases, how it comes up in which quarter and everything, so there could be minor variations.

Garvit Goyal: what I mean to say is are we going to sustain our PAT margins in the upcoming year as compared to this year despite releasing these higher quote of quality song? That's what I'm trying to understand.

Sushant Dalmia: So Garvit, , this year, our operating margins were around 66.5%. So next year also, , it could be in that range of, , 64% to 67% depending on how the content gets released.,.

Garvit Goyal: Understood. And sir, secondly, on our CFO EBITDA ratio, this year I think it fell down to 58%, mainly because of some decrease in financial liabilities and current non-current liabilities and further there is some increase in the other current assets. So, can you highlight like what are these items and why these are reducing our cash flow?

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Sushant Dalmia: So if you compare it with last year, the last year, let's say, the ratio was higher because we had received certain tranches in advance, , at the end of March. This year that tranche has come in April. So that's why you see that cash flow from operations, the percentage which you are comparing with EBITDA on the lower side.

But in our business, we get the money in advance or in some cases the credit cycle is for 30 days only. So, whatever on a longer-term basis, whatever we are earning on EBITDA or a PAT basis, that directly reflects in our cash flow. You have to see it on a 2 to 3-year average basis rather than a single year.

Garvit Goyal: Understood. And sir, can you please share any stats on how subscription or revenues are going on at industry levels? How these things are shaping up, whether the people are very much open to it or how the industry data is looking like, which is giving us the confidence that we are going to be the beneficiary in the upcoming years of this trend?

Hari Nair: No, the industry data is very positive. If you see the year-on-year consumption that happens in India for our Indian content, it's growing very rapidly, thanks to Spotify, YouTube and the short-format video apps like you heard how the older content is suddenly picking up. So, content consumption is exploding for us.

the revenue equally must explode, but the explosion may be in a slower manner, but I feel that overall, the paid ecosystem everything is growing. So, I think India is a great market to be in for music.

Garvit Goyal: Okay. Thank you very much, sir. All the best for the future.

Moderator: Thank you. We have our next question from the line of Abhishek Sengupta from AB Capital. Please go ahead.

Abhishek Sengupta: Hello, I'm audible.

Moderator: Yes, sir. Please go ahead.

Abhishek Sengupta: First of all, congratulations on a great set of numbers. Now we have been growing at around 30% as you had guided. I just wanted to know at the broad level, how long do you think our -- this 30% growth journey can continue like do you think we are gradually reaching a saturation point and growth will gradually slowdown in next 3- 4 years or you think we can continue at a broad level?

Kumar Taurani: I think if you see the overall industry, our total industry is around INR3,500 crores, INR4,000 crores in that range. And we have a potential to grow around INR10,000 crores in the next 4 to 5 years. So, I feel we can really grow, maybe after 2 years, maybe there is some dip or some minor thing will happen. But again, it will compensate for next 1 or 2 years, it will compensate.

So I feel we are in a very, very right time, right content. Really, we are in the best place I feel. I strongly believe this business we are the lowest if you see compared to U.S., U.K. and all those

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markets. Let me tell you, subscription, people doubt if subscription will grow or what will happen to subscription, what we again and again mentioning. In 2007-08, there was a business called CRBT, Caller Ring Back Tone.

On that, when I call you, you have some tone and I'm listening to that music. Actually, you are keeping that music for me and that is also only 30 seconds. And that time, you were paying INR30 as a subscription and INR15 you are paying for a download of any new song. If you download three, four songs in a month, so you are paying another INR15 per transaction. So if

you download three songs, you are paying INR45 plus INR30, INR75.

And that time that mobile companies used to recover INR5,000 crores from subscription and INR3,000 crores from downloading. So that is a business. And music companies used to get only INR700 crores, INR800 crores. So, I think that time is coming back. People will subscribe and it will be a big business and Indian consumer at that time also everybody was feeling where is the money coming

ng from.

It was from small towns, Lucknow, Kanpur, Pune, Sangli, Kolhapur, Solapur, all those small town people were paying. If you remember I think our business has a huge capability. INR10,000 crores is becoming a I feel, and it will happen actually.

Abhishek Sengupta: Okay, sir. Thank you.

Moderator: Thank you. We have our next question from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: Yes, sir. Thank you for taking my question. Just wanted to understand like this TikTok deal for international and even the Sony publishing for the international side. So how much percentage of revenue can it be in 3 to 5 years for you, the international side?

Kumar Taurani: You understand what is the deal plus Sushant then you give the new numbers for guidance.

Hari Nair: So first with Sony Music earlier,. What we did in the Q4 was adding YouTube. Sony Music Publishing is the number one publishing house in the world with more than 31% market share control. So, they are integrated with most of the societies and collection agents. So, with us adding the YouTube into their kitty, we feel that our publishing revenues will drastically increase because we were not able to reach to a certain society, they will reach out.

Also, Sony Music Publishing has a better, , rates or negotiated rates with the global societies than what we could do ourselves. So I feel overall, we'll have a good increase in the publishing revenues.

Sushant Dalmia: And Pallavi, , the first deal we did with SMP was two years back and, we had recovered the advances. Now in Q4, we have renewed this deal, given them YouTube and the deal size is 4x bigger now for us. So, there is a lot of potential in terms of the revenue growth from this deal?

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Pallavi Deshpande: Right. Got that. And my second question would be on regard to the movie side. You mentioned about some more big movies coming up. So, which one would that be for next year the in house?

Kumar Taurani: Talking about in house movies, we are only dealing with them for music. So, now there is a movie called Malik that is coming in the music release in the last week of May or June and then there is a Punjabi movie called Sarbala ji that will also release same time and then we gave a movie with David Dhawan and Varun Dhawan and there's another movie Siddhant Chaturvedi and Wamiqa Gabbi, Jaya Bachchan all those actors are there in the movie.

So then there is a No entry Mein Entry and also we are negotiating with two, three other banners.

Also, there's one big Punjabi movie releasing on 30 May, Saunkan Saunkney 2. Any time we will be releasing music. So, we have quite big films this year. Also, we are talking to two, three other people. In totality, we will release around 12 films this year.

Pallavi Deshpande: Okay. Right. And what was this number in FY '25...

Moderator: Sorry to interrupt ma'am. Can we please request you to rejoin the queue? There are several participants waiting for their turn.

Pallavi Deshpande: Okay. Thank you.

Moderator: Thank you so much. We have our next question from the line of Ben Smith from Cusana Capital. Please go ahead.

Ben Smith: I was just wondering, could you please explain why you have decided that 25% to 28% of revenue is an appropriate level of reinvestment into content? So, for example, why not say 35%, 40% plus if this is a growing industry, you've got cash on the balance sheet, etcetera. Why not a higher level of reinvestment? Thank you.

Kumar Taurani: See, it's a very competitive market. In India, we need 2 or , 3 companies in the content business, particularly I'm talking about Hindi Music. And we are already now 5 people fighting for the content. All the producers, are also really charging more than what they deserve.

So, we are very cautious in our approach, and if you see the success ratio is only 10%, 15%. So, we are INR1,000 cror

es industry, maybe success ratio is around INR150 crores, INR200 crores.

So, we want to just focus on that amount as we want to have a maximum good titles from that category.

If we succeeded for 60%, 70% in acquiring those content, it will be enough for us. So if we be greedy and we go more than 30% or 25%, 28%, than there will be higher chance of getting a bad products and higher chance of doing many flops. So we are very, very cautious and very

careful. And we feel the number is absolutely correct. INR100 crores is a big money. We can get a really good content.

Moderator: We have our next question from the line of Aditi Nawal from RSPN Ventures. Please go ahead.

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Aditi Nawal: We've just recently started tracking the company. So I had a few questions regarding the company and the industry in general. So first, I wanted to understand that you said that around 75% of your revenue is from digital sources. I just wanted to know is what is the proportion of revenue that you're getting from the music OTT players? And if you could provide like excluding YouTube music kind of a figure?

Kumar Taurani: Sushant, can you please answer this?

Sushant Dalmia: Yes, Aditi. Let's say, what you said is 75% is from digital, 25% non-digital. Within digital, YouTube is a bigger for us. And then the OTT platform comes, that is Spotify, Amazon, Saavn and Meta. We generally don't give a detail breakup, but, YouTube would be the bigger and then, , Spotify and Meta would be there.

Aditi Nawal: Okay. And so how many are the total subscribers in India for music, excluding YouTube Music? And I'm guessing around 4% to 5%. I mean, what is the percentage of paid subscribers in that, if you could quantify that as well?

Sushant Dalmia: So I, total music listeners in India, excluding YouTube would be around 180 million to 200 million. And paid subscribers, the actual count would be roughly around, let's say, 5%. But in terms of revenue, that could be roughly around 10%.

Aditi Nawal: Got it. And any back of the envelope calculation if you have done, let's say, the 2 bigger players going behind the paywall completely, then what could be the conversion in the free subscribers becoming paid subscribers? Like what proportion of freemium subscribers could become paid subscribers?

Hari Nair: This data point this will change from a platform-to-platform. So YouTube might be having a different conversion ratio than Spotify. So the platform can only reveal, as labels we won't have detailed data points for this.

Aditi Nawal: Yes. But I mean, majorly, everybody in the industry is talking about the 2 bigger players like the Saavn and the Spotify going behind the paywall. So any calculation done on that

Hari Nair: No, we don't have it. But if you see the worldwide numbers, it's more on the paid side. If you see Spotify globally, I think they have more than 60% of paid subscribers or probably near to 70% and the rest is free users. So I think it should follow the same format. And they know their business, right? They know how to push the consumers to the paid wall.

Aditi Nawal: And is it a fair assumption that...

Moderator: I'm sorry to interrupt, Aditi...

Aditi Nawal: Just one last question, if that's okay. Just a -- what is the proportion of Spotify and JioSaavn in India, like market share?

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Kumar Taurani: We don't know that exact numbers, but Spotify claim to have about 99 million users and Saavn, I don't know the numbers today. They have never publicly disclosed any numbers like this.

Aditi Nawal: Got it. That will be it from my end. Thank you so much.

Moderator: Thank you. We have our next question from the line of Karan from Keynote Capital. Please go ahead.

Karan: Can you share what technological initiatives Tips has undertaken to, let's say, enhance analytics and optimize the monetization of music library ap

art from the passive revenue stream from

YouTube and OTTs, like what proactive steps are being taken to push music discovery and engagement?

Hari Nair: So to answer your question in 2 parts, music discovery and engagement is a platform's job. But for us to engage with the consumer and make them discover our songs, we are doing a lot of marketing activities with the platforms. That is one.

On the technology side, we are upgrading and developing our own systems. It's called Pulse. So we used to use a system called FUGA. Very soon, we will be displacing that and using our own system to distribute our content metadata with highly or newly tagged data about the song, which will enable us to get better into the algorithms, so that's going on right now as a project.

On the analytics side, we are far ahead in terms of the data that we get. We have data lakes up of our own. We have tons of servers in cloud, and we do a lot of data processing more than, I think, 10 to 15 GB data daily processing happens.

And that gives us a lot of data points, insights, whatever the platform gives us. So we are getting there. I think in the next 6 months to 8 months, we will be far more better than what we are right now.

Karan: Understood. And can you share a bit more color on like what specific metrics or performance indicators you guys track internally for, like a growth in platform or specific streams? If you can share some specific methods?

Hari Nair: I can't share the specific methods, but every platform has its metric. Like on a video platform, there will be something which is how much is the duration, consumer watch or in the audio platform, it must be similar metric. So every platform has their own metric of measurement, and we will see it in a different way and the platform will see it in a different way. I cannot disclose further because that would be our trade secret.

Karan: Okay. Thank you so much.

Moderator: Thank you. We have our next question from the line of Siddharth Purohit from InvesQ Investments. Please go ahead.

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Siddharth Purohit: Sir, just one clarification. Sir, let's say, when we invest in any content and we spend, let's say, INR100, normally monetization will be front loaded, and we must be getting the revenue in the first year itself majority. So what percentage normally we see coming in the first year and how that number normally has been flowing in, in your case in the subsequent years?

Kumar Taurani: We can't give you that exactly. But as we mentioned earlier, Our target should recover over the revenue in 4 to 5 years' time.

Siddharth Purohit: So is it fair to assume that at least half of the potential revenue will be monetized in the first year?

Kumar Taurani: It's depending upon title-to-title basis. Sometimes it happens, sometimes it won't happen. We calculate as a whole, whatever we invest in this year, we must overall recover in 4 years to 5 years' time.

Siddharth Purohit: Okay. And sir, one more just a clarification. The cost per song when I calculate based on the number of songs released has gone up substantially compared to last year and particularly this quarter. So will it be the new trend that probably the content cost will be per unit will be higher and the absolute number of releases will not be the benchmark to purchase the kind of potential revenue?

Kumar Taurani: As mentioned earlier, we are going for a quality and Film Music. So it will be more expensive. Focusing on quality over quantity.

Siddharth Purohit: Okay, sir. Thank you. That's from my side.

Moderator: Thank you. We have a next question from the line of Lokesh Aggarwal, our Shareholder. Please go ahead.

Lokesh Aggarwal: Congratulations for the wonderful results of 2025, sir. I'm really a big fan of your business. And my first question is, see, I read an article last month in Economic Times that live shows industry in India is expected to

grow by over 18% in the next couple of years.

And so my question is, how much percentage of revenue of ours is coming from live shows?

And are we planning to increase that in the next couple of years? And are we also planning to

enter directly organizing the live shows where our own music can be used?

Kumar Taurani: No, we don't do that business. But immediately, we don't have any plans, but maybe in future, we consider. So at present, we don't have any plan.

Lokesh Aggarwal: Okay. And how much percentage of revenue is coming from live shows? And are we trying to increase it?

Kumar Taurani: For music revenues, yes, we collect a lot of public performance wherever it happens. So we're getting money, yes.

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Lokesh Aggarwal: Okay. Not a specific number you can mention?

Kumar Taurani: We can't mention that, please.

Lokesh Aggarwal: Thank you .

Moderator: Thank you. We have our next question from the line of Jayesh Shah from Ohm Portfolio Equity Research. Please go ahead.

Jayesh Shah: I just have one clarification. In terms of content cost per unit, while you are saying it's going up, is it true that the content cost for non-Bollywood music is also going up? Because what I noticed is that the mix for non-Bollywood music is actually increasing in the overall pie?

Kumar Taurani: I feel ultimately, Bollywood will be biggest. Our focus is on that. This year also, we are doing a few good artists and if we have a bigger artist, so we have to pay more and the cost will increase and which we don't mind, if we are getting quality, we don't mind paying more. That's our plan this year.

Jayesh Shah: I see. So in your case, it will be Bollywood music will go up and with all the senior artists?

Kumar Taurani: Yes.

Jayesh Shah: Okay. And secondly, when you talk about acquiring or releasing, say, 100 songs to 125 songs in a year, what is the industry number? I'm just trying to get some idea on the incremental market share?

Kumar Taurani: They say around 1,000 films release every year in all the individual languages, calculate around 5 songs per film making up to 5,000 plus songs. – Year after year songs will be releasing from 5,000 to 7,000 to 10,000 to 12,000.

Jayesh Shah: Thanks a lot and best of luck.

Moderator: Thank you. We have our next question from the line of Vaibhav Muley from YES Securities.

Please go ahead.

Vaibhav Muley: Good afternoon, sir. Congratulations on a very good set of numbers. Just a couple of questions on the Warner deal, first of all. So what is the tranche amount received in April and what will be received in October 2025?

Kumar Taurani: Can't give you the exact number, but its 2 tranches, whatever deal is its online happening properly. Can't reveal the number, please.

Vaibhav Muley: Okay. And for the last year, then compared to the advance that you had received, what was the actual revenue book? Have we recovered all the advances and revenue has exceeded?

Kumar Taurani: No, we have not recovered. But Sushant. Can you please clarify this?

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Sushant Dalmia: So Vaibhav, we have booked the revenue basis the actual consumption. And the recovery of advance would be happening on a gradual basis.

Vaibhav Muley: All right. So recovery will happen over the coming year -- but advance was higher than the revenue recovery? Sorry?

Sushant Dalmia: Yes, recovery would happen over the period of the contract.

Vaibhav Muley: All right. And can you just elaborate more on the current monetization of short format? What was the contribution of revenue and where do we expect over the next 2 years?

Kumar Taurani: I can't give you exact number. World is very competitive. So please bear with us. But we hope it will be a very huge number.

Vaibhav Muley: All right. And coming to the non-digital part, sir, about your licensing and Sync Deals segment. So how has been the performance

of licensing segment, especially I wanted to know about the current penetration at the industry level? And where is the penetration can go to over the next 2 years, 3 years period? And on the Sync Deal side, what are the new deals that have been done or what kind of pipeline is there for Sync Deals as well?

Kumar Taurani: So many questions in one question you have integrated. But overall, for last few years, we have seen we are gradually increasing our revenue from both our businesses, non-digital and digital, 75%, 25%. That is happening, and we are very happy with that. I think even going further -- future, it will happen similarly.

Vaibhav Muley: Thank you so much.

Moderator: Thank you. We have our next question from the line of Yash Poddar. Please go ahead.

Yash Poddar: I just had a couple of questions related to the strategy behind the increased per content cost. Now I'm trying to make a sort of strategic sense on this. So given that the total, say, volume of content has reduced and per content cost has gone up, and you've already mentioned that the focus is more on the quality side.

I'm trying to understand that does this directly correlate to the content having a higher probability of being hit or having a higher level of virality? And does a higher per content cost ensure that the specific acquisition will play out much better than the current, say, library that we have. Is that the thought process behind it?

Kumar Taurani: Absolutely. Yes.

Yash Poddar: Right. So if you can just maybe help explain like what are the elements here that will ensure for us that the higher cost of acquisition will create a bigger virality? Is it only a factor of channel? Or is it a factor of certain metrics that you are trying to achieve through this? If you can just help us understand better?

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Kumar Taurani: Yes, I can't do that because please understand it's a competition world. How can we open our strategy in the open forum can't do that, please.

Yash Poddar: Sure. So on the other side, my question was that from the sense of going forward as a product portfolio, for us is this going to be a continued trend that we are going to be focusing more and more on the quality side and we want to reduce the failure rate of content. Is that the thought process? Or the thought process is to say, as a company further on strategy-wise, integrate more libraries and focus on the volume element. If you can just give us a sense of understanding?

Kumar Taurani: Absolutely. Our focus is on getting more hits from when the music business was down from year 2003 to 2015-16. We have focused on a less number of songs, and we had 85%, 90% of success ratio. We are somewhere going that zone where we reduce number of songs, but we want the quality, maybe 50% of our success ratio should be there. That is our target, you can say.

Yash Poddar: Right. And just a corollary question to that is the content that does not become necessarily a hit as per our standard. What is the kind of monetization or, let's say a onetime monetization or a continued amount that we are able to salvage from it? Just to understand how the business works?

Kumar Taurani: I think I mentioned earlier, our target is to recover whatever we invest in the next 4 years to 5 years' time. So that will continue. And you know, we are the only company which rise of the content cost in the same quarter. And this fact is we are doing it since the inception of the company.

Moderator: Ladies and gentlemen, that would be the last question for today. And I now hand over to Ms. Ayushi Gupta for closing comments. Over to you, ma'am.

Ayushi Gupta: I would like to thank the management for taking the time out for this conference call today. And also thanks to all the participants. If you have any queries, please feel free to contact us. We are MUFG Intime India Private Limited, Investor Relations Advisors to Ti

ps Music Limited. Thank you so much.

Kumar Taurani: Thank you.

Moderator: Thank you. On behalf of Tips Music Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

August 6, 2025

To,
Listing Department
BSE Limited
P.J Towers, Dalal Street,
Fort, Mumbai – 400 001

Scrip Code: 532375 To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E), Mumbai – 400 050

Symbol: TIPSMUSIC

Dear Sir/ Ma'am,

Sub: Transcript of Earnings Conference Call

In terms of the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of earnings conference call on Unaudited Financial Results for the quarter ended June 30, 2025 held on Wednesday, July 30, 2025.

You are requested to take this information on your record.

Thanking You,

For TIPS MUSIC LIMITED
(Formerly known as Tips Industries Limited)

Bijal R. Patel
Company Secretary

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"Tips Music Limited
Q1 FY'26 Earnings Conference Call"
July 30, 2025

MANAGEMENT : MR. KUMAR TAURANI – CHAIRMAN AND MANAGING
DIRECTOR – TIPS MUSIC LIMITED
M R. GIRISH TAURANI – EXECUTIVE DIRECTOR – TIPS
MUSIC LIMITED
M R. HARI NAIR – CHIEF EXECUTIVE OFFICER – TIPS
MUSIC LIMITED
M R. SUSHANT DALMIA – CHIEF FINANCIAL OFFICER –
TIPS MUSIC LIMITED

MODERATOR : MS. AYUSHI GUPTA -- MUFG INTIME INDIA PVT LTD

Tips Music Limited
July 30, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to Tips Music Limited Q1 FY '26 Earnings

Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Ayushi Gupta from MUFG Intime. Thank you, and over to you, ma'am.

Ayushi Gupta: Thank you. Good evening, ladies and gentlemen. I welcome you to the Q1 and FY '26 Earnings Conference Call for Tips Music Limited. To discuss this quarter's performance, we have from the management, Mr. Kumar Taurani, Chairman and Managing Director; Mr. Girish Taurani, Executive Director; Mr. Hari Nair, Chief Executive Officer and Mr. Sushant Dalmia, Chief Financial Officer.

Before we proceed with the call, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. For more details, kindly refer to the investor presentation and other filings that can be found on the company's website.

Without further ado, I would like to hand over the call to the management for their opening remarks, and then we will open the floor for Q&A. Thank you, and over to you, sir.

Kumar Taurani: Thank you, Ayushi. Good evening, everyone, and welcome to the Q1 FY '26 earnings call of Tips Music Limited. Despite the challenges faced in the music industry, our catalogue and new releases continue to demonstrate resilience with our revenue recording double-digit growth. The Board has declared a first interim dividend of INR4 per share for FY 2026.

With that, I now invite our CEO, Mr. Hari Nair to share his thoughts. Over to you, Hari.

Hari Nair: Thank you, sir. Good evening, everyone. The strong growth in our revenue has been across digital and non-digital segments. However, we observed a slower growth on the YouTube platform in Q1, probably due to the reduced ad spends and change in YouTube policies. The policies now restrict UGC content usage and monetization. This is good for us as music industry in the longer run, as third-party pirates use our music to monetize from the platform.

On the Meta platform, i.e. Instagram and Facebook, we see a consistent growth for our content consumption. With respect to Spotify, if we compare the paid subscribers last year Q1 FY '25 and this year, we see a healthy growth in premium paid subs. Same is the growth for YouTube paid subscribers also. Overall, we are moving slowly and steadily into a paid ecosystem model. On the operations side, we did a little automation. Our teams have built an in-house content management system called Pulse, which now delivers our content to TikTok and other DSPs via our own DDEX feeds. I will now request Girish to share his insights on the content business across platforms. Thank you, everyone.

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Girish Taurani: Thank you, Hari. Good evening, everyone. In Q1, we saw strong traction across platforms, both from new releases and our catalogue. We released 92 songs in FY '25, including 48 film songs and 42 non-film songs. The song Main Nachdi from the film Saunkan Saunkanay 2 has crossed 75 million views and has charted for 12 weeks on YouTube top 100.

The song from the film Maalik and Sarbala Ji have performed well and have crossed 102 million views and 51 million views, respectively, on YouTube. Additionally, we now have 125.8 million subscribers on YouTube with a compound aggregate growth rate of 20% over the last 2 years. Our catalogue performance on Meta is very heartening.

The song Hona Tha Pyar and Dil Hai Tumhaara get 500 million and 700 million views, respectively. The s

ong Chunnari Chunnari, the classic Salman Khan song, earned 2 billion views on the platform. Now I would like to hand over the call to Sushant, who will take you through company's financial performance. Thank you.

Sushant Dalmia: Thanks, Girish. Welcome to Q1 FY '26 earnings call. I'm pleased to share the financial highlights of this quarter. Our revenue for the quarter amounted to INR88 crores, resulting in Y-o-Y growth of 19%. The content cost increased 85% on a Y-o-Y basis as we had new releases, which were expense off during the quarter. Factoring the above, the operating margins came in at 64%, while PAT was at INR45.7 crores, resulting in a Y-o-Y growth of 5%.

With this, I conclude my opening remarks and open the floor for the Q&A.

Moderator: The first question is from the line of Harsh Shah from Dalal & Broacha.

Harsh Shah: Thanks for the opportunity a few questions from my side. So firstly, how Q1 has kind of panned out, right? So do you still hold on to the 30% kind of revenue aspiration for FY '26 so why I ask this question is because if the answer is yes, then for the remaining quarters, the growth that the company needs to deliver would be at least 30%. That was my first question.

Kumar Taurani: Harsh, actually, because of so many changes in the industry, the OTT platforms, like Resso or Gaana and many other people have actually shut down their business or converted their services

into a paid one. So we also felt its effect this year.

But still, I feel we will happily achieve 20% but the focus I had said earlier, that our new growth will be coming from new titles which will support us. So we have a major releases this year. So we're still trying we should achieve 30% this year as well. So let's be hopeful. But I can see even now, we can achieve 20%.

Harsh Shah: Got it. Secondly, on the contribution from Warners in our Q1 revenue, if you could give a ballpark percentage, that would be also fine.

Kumar Taurani: As said earlier also, between 25% and 30% will be money coming from Warners.

Harsh Shah: Okay. So why I ask this because in Q4, you had mentioned that for the full year, it was around 20% to 25-odd percent. So this time around, it has gone up, right?

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Kumar Taurani: Yes, it will go up this year.

Harsh Shah: Okay. So then Got it. And lastly, on an industry level question, right? So you did mention in the annual report as well as in the press release as well as in our opening commentary that there are challenges within the industry.

So my question is, is it just because there are music OTT platforms, which have kind of closed down or there could be some other reason maybe like the ad revenue for YouTube going down, not in terms of, say, the number of streams, which is going up, but the rate that is being charged on YouTube is kind of on a declining trend. If you could give some color on it?

Kumar Taurani: No, no. YouTube is doing good for us. And because of our 90s repertoire, is really doing well. And day by day, I think it's getting more popularity. Girish just said, Chunnari Chunnari has 2 billion views on the Instagram, our old songs like Dil Hai Tumhaara, Hona Tha Pyarhad 500 million to 700 million.

So you can see our catalogue still has a lot of strength. And I definitely feel it's impact will be for coming many years, at least 20, 25 years. So I feel catalogue is a new retro. We will do well, and we will see growth also. And I'm again mentioning we are still focusing to achieve 30% even this year.

Harsh Shah: Got it. Sir, my question was more from an industry level perspective

Kumar Taurani: Industry, I can't comment much, but everybody has their own challenges. And the way I am seeing with the other players actually, everybody is facing difficulty. But as mentioned earlier also 65% -70% of 90's catalogue belongs to us from 1989 till 2020. So I think our songs are really doing well.

So we have

edge with the other companies, I feel, it is my opinion. I don't know what they are doing, what their strategies are, what is their numbers. Maybe I hope they will also do good. Actually, entire industry should do good. So it's a good sign for everyone. But I think if we talk only about Tips, we are safe and we are performing well.

Harsh Shah: Got it. That's it from my side.

Moderator: The next question is from the line of Kavish Parekh from B&K Securities.

Kavish Parekh: Hi team, thanks for the opportunity. My first question is on the revenue growth side. So I think when we last spoke, which was around after the results for the fourth quarter, our aspiration for revenue growth was 30%. And today, while you have mentioned that you still aspire and stand by the same number, minimum guidance has or rather minimum growth that we will aim to achieve will be around 20-odd percent.

What is it you think that is needed for you to bridge this gap between 20% and 30%? And just wanted to follow-up on the comments that you made on YouTube in your opening remarks with respect to some policy changes. Could you explain that a bit more?

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Kumar Taurani: Policy change -- YouTube policy changes, you're saying?

Kavish Parekh: Yes.

Hari Nair: So on YouTube, right, there are certain policies that they have implemented where they are trying to reduce the music uploaded by the pirates. So what happens is many people who use our catalogue, they will make the song without having the same kind of composition and they upload it on the platform, which then takes away our money. So it is trying curb those activities. So that is a little change that we see over there. But again, that should be not the long-term one. It should be a short-term impact only. And we are seeing slightly growth again rebounding in the month of July. So hopefully, it should grow. Does that answer your question on the policy side?

Kavish Parekh: On the policy side, yes, but on the overall revenue growth aspirations for FY '26, maybe some comments around what is needed to bridge this gap between 20% and 30%?

Kumar Taurani: We really see growth in our catalogue. As mentioned earlier also, our catalogue is really doing well and the numbers they are showing. And also now, I think Instagram, whatever is happening on Instagram is helping us on YouTube and Spotify. So I think overall numbers can be. And plus whatever acquisition we have done and our plan is for new releases this year, so we can achieve that number from 20% to 30%.

Kavish Parekh: All right. Plus see the 19% that we reported this time, I think part of that was also impacted by the base quarter, which had one-off revenues from Wynk. I think INR5-odd crores in the first quarter.

Kumar Taurani: Yes, yes, last year, yes. Last year, yes.

Kavish Parekh: INR12 crores, I think INR5 crores in the first quarter, INR7 crores in the second quarter.

Kumar Taurani: Yes.

Kavish Parekh: Got it. And for the full year, what is the number that we're thinking in terms of content cost as a percent of revenues, somewhere around 26% to 28%.

Kumar Taurani: Yes, 25% to 28%, yes, that is the number, yes.

Kavish Parekh: All right. Thank you so much.

Moderator: The next question is from the line of Vinay from IGE.

Vinay: So as the last participant asked for, the percentage of expense to be expensed into content acquisition. So over the medium term, how it is expected to behave?

Kumar Taurani: Expense on content.

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Vinay: Yes.

Kumar Taurani: Our target is to spend around 25% to 28%. And if we feel there's opportunity we can have maybe increase our investment by 2%, 3%, 4%, we do that if we have a quality content, which will help us in future. We do that, and we'll explain to you why our content price has gone up. But as far as this year, what I'm seeing, I think we will be in the range of 25

%, 26%.

Vinay: And what is the accounting policy for us to write off our content expense?

Kumar Taurani: That is same. That is the same as last quarter. If you see this quarter last year, it was around INR9 crores, INR9.5 crores. This quarter, we have written off INR20.5 crores. So we have 3 big films came in. So we have written off everything.

*Note – Same quarter last year the content cost was approximately INR9.5 crores and this quarter it costed approximately INR20.5 crores excluding advertisement cost.

Vinay: Got it. I'll fall back in queue for further questions.

Moderator: The next question is from the line of Garvit Goyal from Nvest Analytics Advisory LLP.

Garvit Goyal: Sir my question is around the challenges. I want to understand more about them. Like last quarter, we were very much confident about 30% guidance. Now we are looking a bit cautious about the guidance. So can you put some color on that, like what are those challenges? What has happened suddenly in last 2, 3 months, the tailwinds in the sector has converted into the headwind. So can you put some color on that?

Kumar Taurani: See, we will try to achieve 30%. We are very keen to achieve that number. But for safety and the way I see that, day by day the apps are becoming more strict-- like Spotify, they are not allowing people to new releases again and again, they tell you to come on a paid wall. So that paid wall simultaneously is increasing.

But we don't know how much that growth will be. If there is an excellent growth, 30% will be very easy to achieve. So we are being cautious here, and we are telling you upfront 20%, what we can see, but we are still hoping and trying fully, we should achieve 30%. That is the only challenge we have.

Garvit Goyal: And you also mentioned about some closing down of the OTT platform. So what is that?

Kumar Taurani: Yes. Last year, money came in from Resso, then there were other apps, such as Wynk which was doing good business. And then there was Gaana, Hungama, so many apps, they had shut down or they had gone behind the paid war.

But even this year, we are listening Amazon is coming, they are launching full paid service like Spotify. Earlier, they used to go for subscription, what they used to charge was through bundling. So I think many developments like this is happening and which is good for industry and give a new increment revenue for us and industry.

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Garvit Goyal: We say 20% to 30% guidance our content is rising, and we are having a target of 25% to 28% of revenue this year also. So, do you think like PAT growth will be 20% in case we are doing the 20% top line or 30% in case we are doing a 30% top line?

Kumar Taurani: Sushant will explain this.

Sushant Dalmia: Its 20% growth and with a 25% content cost, so we'll see a healthy PAT growth

Garvit Goyal: No, I agree healthy PAT growth. But the thing is like this quarter also 19% Y-o-Y revenue growth is there, but PAT is muted mainly because of this content cost. So that's why I'm asking like is the guidance equally applicable for the bottom line as well?

Sushant Dalmia: Please look at on an annual basis not on quarterly basis.

Garvit Goyal: So annualized basis, minimum 20% PAT growth will be there this year, right?

Sushant Dalmia: Yes, yes absolutely right.

Garvit Goyal: Thank you very much sir, that's it from my side. All the best for future.

Moderator: The next question is from the line of Vaibhav Mule from YES Securities.

Vaibhav Mule: Congratulations on a strong set of numbers. My first question was around Meta revenue recognition. So you mentioned a couple of songs doing very well on Meta platform. So is the revenue recognized from the streaming that we generated on Meta? And what is the incremental revenue that we are generating from addition of Meta specifically?

Kumar Taurani: We can't tell you specifically how much we are doing with Meta or any other app

. But in totality,

what we give you like 20% or 30%, whatever we do. So please keep that in mind because it's a competitive world. We can't reveal the numbers, but we are doing well. I can tell you this.

Vaibhav Mule: Understood, sir. Sir, just on the YouTube views, our YouTube views were sequentially flat and 9% down year-on-year. I understand there was some impact on overall revenue because of shutdown and shift to premium model by different streaming platforms. But for YouTube, why is there a 9% year-on-year decline?

Kumar Taurani: No, we are not decreasing. But again, even in YouTube, we are seeing the growth. So we are positive, very positive about that. Our new releases and our catalog, our is doing well on YouTube.

Vaibhav Mule: Okay, sir. Got it. And just last question on the short format videos or reels. So what is the status of monetization of that particular format on YouTube as well as other platforms?

Kumar Taurani: Other platforms, we are doing well. YouTube, we have a fixed deal. But even on YouTube, I think this fixed deal is for one more year. And after that, we'll see what will happen.

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Moderator: The next question is from the line of Jyoti Singh from Arihant Capital Markets Limited.

Jyoti Singh: So sir, just wanted to understand on the video side and like you mentioned a lot of copyright and people are changing some words and all that thing. And because of that, we are impacting. So just wanted to understand, is exploring on the AI-driven music recommendation side and also how to track down the music, which is of Tips and using by other composer or musician.

Hari Nair: Yes. So madam, YouTube has a great fingerprinting system called Content ID that actually automatically scans whenever you upload any piece of content, it scans with this library and tells us or the respective copyright owner that there has been an upload done or it matches and it gives us a claim.

So that part is taken care very well by YouTube. But there are certain people who try to change the composition a little bit, try to tweak the lyrics a little bit and then also upload the song in a different way. So they are trying to kind of restrict that kind of monetization, which is kind of piracy. So that is being restricted, nothing else. Did I answer your question?

Jyoti Singh: Okay. On the subscription versus ad revenue, like global data on the basis of the presentation that shows the subscription generate 3x revenue versus ad supported. So what's our current mix and strategy to grow subscriptions?

Hari Nair: That is a question for the platform, madam. We are not probably in the right space to answer that. It's a platform-related question. So Spotify and YouTube can answer that.

Jyoti Singh: Okay. And sir, on the digital ad spend side, if you can explain how is the tips aligning its monetization strategy with this trend?

Hari Nair: So again, again, this is a platform-driven one. So YouTube, if you see every month, there are fluctuations on the ad monies that are spent on the platform. It can be sometimes higher on YouTube, sometimes higher on Insta. So it just fluctuates. But overall, the Indian market is growing on the ad spend side.

Moderator: The next question is from the line of Swapnil Potdukhe from JM Financial.

Swapnil Potdukhe: I have just one question. It's with respect to your digital revenues. I think there has been a dip from 75% we used to earlier. Now that number has come down to 72%. So any particular reason for that?

Kumar Taurani: We are doing well on other side, nondigital. But ultimately, it will be between 72% to 75%, and

that other business will be in the range of 25%, 30%. Here and there, it will keep on happening.

Swapnil Potdukhe: But by any sense, there has been any dip in the Warner revenue or any pressures on that side also?

Kumar Taurani: No, no, no, nothing, nothing.

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Swapnil Potdukhe: And this cautious approach when it comes to your guidance of -

Kumar Taurani: Excuse me. Maybe the difference because of Sony Music Publishing, we have a big deal with them, and they are really showing a very good revenue. So maybe because of that, this has happened.

Swapnil Potdukhe: Got it. Got it. And when it comes to your cautious approach when it comes to FY '26 guidance on the revenue side, especially, that is entirely linked to this disruption which is happening on the premium streaming side, especially on the OTTs? Or that also has some part of YouTube views not growing the same way that they were growing earlier?

Kumar Taurani: You can say 75% to 80% to the OTT because OTT has taken a different kind of view on the entire business and maybe 15%, 20% on YouTube as well.

Swapnil Potdukhe: Do you think that Youtube growth is kind of a structural challenge...

Kumar Taurani: Earlier, we used to estimate YouTube will grow by 25%, 30%. But now we YouTube will grow by at least 15%, 18%.

Swapnil Potdukhe: So does that mean that your growth assumptions for beyond FY '26 also will factor in lower YouTube growth.

Kumar Taurani: No, I don't think so because as I mentioned earlier, our catalogue is doing well, plus we have a very quality new songs coming in this year and as well as next year. So I feel we will achieve our targets.

Moderator: The next question is from the line of Deepak Ajmera from IGE India.

Deepak Ajmera: You mentioned YouTube contract will be renewed next year. So what we should expect from that renewal? It is like some sort of increase or we are moving to different methodology? How should we look at it?

Kumar Taurani: Next year, YouTube Shorts service contract is getting over. But it's very early to say anything about that. We have not started talking to them. We will finalize in the next 6, 8 months by talking to them, and we'll come to some conclusion. But I feel it will be a raise. But our main target will be on per view or per stream basis.

We should get money like that. But at present, they are giving us lump sum kind of a deal. So let's see what industry, other players are doing, what is our requirement. We'll talk to them. We'll negotiate more assertively. You know Tips negotiation approach.

Deepak Ajmera: Got it. And one more point on the YouTube viewers. I mean other OTT players are charging fees and therefore get impacted. But why the viewership is going down in YouTube? Any specific reason which you can highlight?

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Hari Nair: Yes, that's mainly due to Shorts. So it keeps on fluctuating. So YouTube Short views keep going up and down. That's very cyclical..

Moderator: The next question is from the line of Karan from Keynote Capital.

Karan: I have one question, which is what proportion of your content consumption is currently coming from the short format platforms like Reels or shorts? And because they are not fully monetized like other audio OTT platforms, is that impacting revenue growth? Like is the shorts format growing faster than the traditional audio OTT formats for tips?

Kumar Taurani: Yes, it's growing very, very well. And we can't actually tell you the total number, but it's really way ahead than normal other songs or views. But this doesn't impact our business.

Girish Taurani: It's not impacting the traditional consumption. That's also growing in parallel because somewhere the shorts content is also promoting our long-form content. So that's growing in parallel. So it's not eating away anything, it is helping to reach out to a better number overall.

Karan: Okay. But since you are not getting paid on a per view basis, it's not impacting our revenue growth despite it growing really fast.

Girish Taurani: So yes, Shorts are done in a lump sum basis. So that remains unaffected regardless of how many views it does. But because the views on Short content is growing, tha

t's helping our long-term

content. And from there, we are then generating more revenue.

So in some ways, it's helping us. And once the model is set out to have this short views in per reel, per creation or per consumption basis, then that will also amplify further. So it's just a matter of that one switchover to happen.

Karan: Alright. Understood. Thank you.

Moderator: The next question is from the line of Dinesh Kulkarni from Finsight.

Dinesh Kulkarni: Yes. Sir, my question is more on capital allocation. See, like our content cost has almost doubled. That's a good sign. But at the same time, we are saying that we will give out a good portion in terms of dividends as well. So how do we see the capital allocation strategy or policy for this year and in the medium term?

Kumar Taurani: Yes. Our CFO, Mr. Sushant will tell you. Yes, Susant.

Sushant Dalmia: Dinesh, we write off our content cost in the P&L immediately at the time of release. And then whatever the PAT remains, we distribute it in form of dividend. So our allocation towards content is in that range what we have guided between that 25% to 28% of revenue. And post that, we pay the dividends.

Kumar Taurani: Last year's revenue.

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Sushant Dalmia: And I as a policy, what we have formed is whatever is the last year's PAT, we will distribute as dividend in this fiscal year. So, last year, we earned around INR166 crores in PAT. So that will get distributed this year in form of dividends.

Dinesh Kulkarni: Okay. So this is not from the current quarter earnings, right? It is predominantly from the last year earnings.

Sushant Dalmia: Yes.

Dinesh Kulkarni: Okay. That sounds great, sir. But I know it may not be the right metric to ask, but say, like if we are adding almost 100 songs per quarter. And again, at the same time, our content cost is almost increasing.

How do we see this trend per song? Is there any metric which you follow like, okay, this is my target per song and okay, this much max we can offer per cost? And is there any metric which you look at, any KPI sort of a thing?

Sushant Dalmia: So Dinesh, in terms of per song won't be the right metric because film songs and non-film songs costs vary on a high degree. Primarily, we have a fixed budget. Let's say, for this year, we are targeting 25% to 28% of our revenue to be spent on new content. So we go by that budget.

Dinesh Kulkarni: And we just try to fit in x number of songs in that, right?

Sushant Dalmia: It's more of the quality content we are targeting, not in terms of the number of songs.

Dinesh Kulkarni: Thank you and all the best.

Moderator: The next question is from the line of Vineet Lambu from HSBC Asset Management.

Vineeth Lambu: Sir. I wanted to ask like the slowdown majorly is due to the increased nature of the payment wall on the content by all the platforms? Or is it because of the takedown of imitating accounts which are trying to imitate your content.

Kumar Taurani: We can't hear you, Vineet. Sorry,

Girish Taurani: Can you please repeat your question?

Sushant Dalmia: Moderator, we can move to the next question in the meantime, Vineet will rejoin.

Moderator: The next question is from the line of Yashowardhan Agarwal from IIFL Capital Services AMC.

Please go ahead.

Yashowardhan Agarwal: Congratulations on a good set of numbers. Sir, my question is that currently, we are witnessing that many of the platforms are going behind the paywall today. But since they are going behind the paywall and if a content that gets consumed on that platform, so the realization of that content would significantly be higher as it was earlier. So isn't it true that the gains that we are looking

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over there is probably more than compensated than what the volume that we have lost over there?

Hari Nair: I think over a period of time, it will happen, what you're say

ing it is so right now, the paid

subscribers are there, but the volume is not so high that it will negate the consumption streams that happened on the free side. So as it's steady, I think what you're seeing will happen over a period of time.

Yashowardhan Agarwal: Got it, sir. But sir, at the same time, if I look at the consumer behavior and if I want to consume the content of music and I'm unable to hear it on the platform, which has gone behind the

paywall, then I will probably go to some other streaming or the music OTT that I can consume

it for the free probably on the YouTube.

So the consumption should happen over there, which would result in significant increase in volume of that particular streaming. So at the end of the day, our content is getting consumed.

So growth should come over there. So isn't that happening?

Hari Nair: Yes, that is happening already. So if you see Spotify, they do give away free usage to the consumers. And if you suffer any tips content on Spotify, Gaana, anywhere, you will get the content. It's just that some platforms have opened up only paid ecosystem like Gaana moved to a completely paid ecosystem.

You can do a trial for 30 days, but after that, you have to pay. In Spotify, they have free usage for a limited period of time. They try to do new obstructions. But eventually, you are able to search the content, either Spotify or YouTube, Gaana and Amazon, Apple, all platforms, you are able to search the content.

Yashowardhan Agarwal: Got it, sir. And sir, do we track the growth in terms of volume that how much of the content is getting consumed in terms of streams of views? So views we disclosed on in the PPT. So in terms of stream, do we track that? And how is the growth over there?

Hari Nair: We track that, but we'll not be able to disclose the absolute numbers. But we are seeing a growth in our catalogue consumption across all the audio streaming and video streaming platforms.

Yashowardhan Agarwal: Got it. But the growth over there is meaningful. Is that right?

Hari Nair: Yes, it is growing and it is steadily growing. It is meaningful.

Yashowardhan Agarwal: Got it, sir. And my last question is that earlier, we had disclosed that payback period for the content that we acquire is 5 years. So does that still hold true or due to competition, it has increased?

Girish Taurani: Sorry, could you repeat that?

Yashowardhan Agarwal: Yes. So sir, my question is on the payback period of the content that we acquire. So is that 5 years or has that increased or decreased?

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Kumar Taurani: We always say internally, we want our payback should be within 3 years. But people like you, we say please keep it for 4 to 5 years. But there is a big catch here. We write off entire content in the same quarter. So we don't have any burden on our head that after 5 years we have a huge write-off to make. So we don't do that. This policy we are doing from beginning.

Yashowardhan Agarwal: Very true, sir. So the reason I was asking that question is that the payback period would be dependent upon the quality of the content that if the quality is good, more people are listening to it and the payback period would be less. So that is why I was asking the question that is there a change in there or not, but you have answered that. That's it from my side. It's the same thing.

Kumar Taurani: We want 3 years, but people like you, we are saying 5 years. Please keep that in mind.

Girish Taurani: I'd like to just add, yes, that's why we are a little careful about our expenses also because we want to invest in content, which will give us this result. There's no point in investing in content that we don't see a future in. So we are working with the correct makers, trying to work with the correct talents and trying to involve ourselves creatively to get the best and extract the best out of our content acquisition and reward all shareholders

basically.

Moderator: The next question is from the line of Shreya Garg from Yashwi Securities.

Shreya Garg: Thank you for taking my questions. I wanted you to elaborate on the in-house content management team that you had mentioned in your opening remarks. From the operational angle, how will basically the content acquisition process going to be different than what was being done earlier also? Can we expect a hike in the employee cost as a result of this additional team?

Hari Nair: Yes. So content acquisition is completely different. This is content operations. The way we used to work earlier. Now it is completely automated on a system called Pulse, which is in-house developed by our teams. And we have a capability increase that we can deliver content using our own DDEX suites to players like a TikTok or Spotify or YouTube in the future. So it's like going direct instead of going via others.

Shreya Garg: All right. So like this team is an addition to your current employee base. So will we see an addition in the employee cost?

Hari Nair: No. Actually, the team is in-house only. There's no addition in the employees. The existing teams are only helping to build this. We also have an analytics layer on top of this operations that helps us in our business management.

Shreya Garg: Thank you and all the best.

Moderator: Thank you. Thank you, ma'am. That was the last question for today. On behalf of Tips Music Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Kumar Taurani: Thank you.

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Girish Taurani: Thank you.

Moderator: Thank you sir.

Call: Oct 2025

October 21, 2025

To,
Listing Department
BSE Limited
P.J Towers, Dalal Street,
Fort, Mumbai – 400 001

Scrip Code: 532375 To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E), Mumbai – 400 050

Symbol: TIPSMUSIC

Dear Sir/ Ma'am,

Sub: Transcript of Earnings Conference Call

In terms of the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of earnings conference call on Unaudited Financial Results for the quarter and half year ended September 30, 2025 held on Wednesday, October 15, 2025.

You are requested to take this information on your record.

Thanking You,

For TIPS MUSIC LIMITED
(Formerly known as Tips Industries Limited)

Bijal R. Patel
Company Secretary

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"Tips Music Limited
Q2 and H1 FY '26 Earnings Conference Call"
October 15, 2025

MANAGEMENT : MR. KUMAR TAURANI – CHAIRMAN AND MANAGING
DIRECTOR – TIPS MUSIC LIMITED
M R. GIRISH TAURANI – EXECUTIVE DIRECTOR – TIPS
MUSIC LIMITED
M R. HARI NAIR – CHIEF EXECUTIVE OFFICER – TIPS
MUSIC LIMITED
M R. SUSHANT DALMIA – CHIEF FINANCIAL OFFICER –
TIPS MUSIC LIMITED

MODERATOR : MS. AYUSHI GUPTA – MUFG INTIME INDIA PRIVATE
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '26 Earnings Conference Call of Tips Music Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Ayushi Gupta from MUFG Intime Private Limited. Thank you, and over to you.

Ayushi Gupta: Thank you. Good evening, ladies and gentlemen. I welcome you to the Q2 and H1 FY '26 Earnings Conference Call for Tips Music Limited. To discuss this quarter's performance, we have from the management, Mr. Kumar Taurani, Chairman and Managing Director; Mr. Girish Taurani, Executive Director; Mr. Hari Nair, Chief Executive Officer; and Mr. Sushant Dalmia, Chief Financial Officer.

Before we proceed with the call, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. For more detail, kindly refer to the investor presentation and other filings that can be found on the company's website. Over to you, sir.

Kumar Taurani: Yes. Good evening, everyone, and welcome to the Q2 and H1 Financial Year 2026 Earnings Call of Tips Music Limited. Thank you all for taking the time to join us today. Before we begin, I would like to extend my warm wishes to everyone for a joyous and prosperous Diwali in advance.

Despite the challenging industry environment, the company's revenue grew by 15% in the first half year of financial year 2026. Over the longer term, we expect a strong business momentum supported by sustained paid subscriber growth, beginning of ad revenue sharing from short-form content platforms and robust expansion in the public performance segment.

We will pursue a disciplined and selective content acquisition strategy, ensuring each investment meets our payback and return threshold. I am also pleased to share that the Board of Directors has cleared a second interim dividend INR4 per share for the financial year 2026. With that, I would now like to hand over the call to our CEO, Mr. Hari Nair, who will provide more insights.

Hari Nair: Thank you, sir. Good evening, everyone, and Happy Diwali to all. This quarter has seen a revenue growth of 11%. We continue to see growth in content usage and monetization across platforms. We also expect a strong traction in second half of financial year 2026. I will request Girish to share insights on the content business across platforms. Thank you, everyone.

Girish Taurani: Thank you, Hari. Good evening, everyone. Talking about our content business, we released 133 songs in Q2 FY '26, including 76 film songs and 57 non-film songs. During the quarter, the song, "Vibe Undi", from the film, "Mirai", which is a Telugu film, crossed over 69 million views and is among the top 5 music videos on YouTube. Another release, "Raaj Karega Maalik", from the film "Maalik" crossed 25 million views on YouTube. Additionally, our YouTube subscriber base has continued to grow impressively and now stands at 134 million collectively.

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Our catalog performance on Meta is very heartening. The songs "Tere Aane Se" from the movie "Run", did 1.5 billion views, while songs "Saajan Saajan" from the film "Dil Ka Rishta" and song "Kahin Aag Lage Lag Jaaye" from the movie "Taal" did 850 million and 700 million views, respectively.

I will now hand over the call to Sushant who will present the financial highlights to everyone.

Thank you all. Wish you a very Happy Diwali.

Sushant Dalmia: Thank you, Girish, and welcome, everyone, to the Q2 and H1 FY '26 earnings call. Let me take you through the financial

financial highlights of the quarter gone by. Our revenue for Q2 FY '26 was INR89.22 crores, reflecting a year-on-year growth of 11%. Operating EBITDA for the quarter stood at INR67.9 crores that is year-on-year growth of 14%. Operating EBITDA margin throughout the quarter was 76%, and our PAT for Q2 reached around INR53 crores, representing a growth of 11%.

Now looking at the highlights of first half FY '26. Our revenue was INR177.3 crores, which represents a growth of 15% and our PAT for the first half was INR98 crores, showing a growth of 8%.

With that, I conclude my opening remarks. I did like to wish you all a very Happy Diwali in advance. I'll now open the call. Thank you.

Moderator: Thank you. The first question is from the line of Kavish Parekh from B&K Securities. Please go

ahead.

Kavish Parekh: Good evening, team. Thanks for the opportunity and wishing everyone a very happy Diwali in advance. Team, my first question pertains your growth plan. So earlier, you aspire to deliver 30% top line growth. However, that was brought down to around 20%. I assume largely due to one-offs from Wynk in the first half of FY '25 plus consolidation in the industry. Where do things stand now? What is your growth guidance? And what levers will drive the same? And how does the risk calendar look like for the second half of the year?

Kumar Taurani: We are sticking to that 20% growth, what we have projected and told all of you. So we are sticking to that, we will grow by 20% this year, 20% top line, 20% bottom line. And we have signed many non-film artists, and we are releasing many songs. You will see every 15 to 20 days, you will see a song coming from Tips. So that we have planned.

Also, we have 2, 3 films, but for films we don't know whether it's depending upon the release of the films. Any film is releasing before March, so music will come this year. Otherwise, it may go into next year. So films, we are not sure about the timing of release but for non-film music, we have a proper line-up for our songs.

Kavish Parekh: Could you name these films?

Kumar Taurani: Films, we have one, "No Entry". But I think that will come next year. And we have signed one film directed by Imtiaz Ali, Music by A.R. Rahman and Diljit Dosanjh and many other actors
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are there in the films, so we have signed that. And then there is another there is a Tips film, we are making "Hai Jawani Toh Ishq Hona Hai", Varun Dhawan is acting in it, and David Dhawan is the Director of the film. Also, there is another film, Vikas Bahl is directing and actress is Wamiqa Gabbi, that film is also there. So we have 4, 5 films. Plus we have a few films in regional language, Telegu. So we have quite a few films.

Kavish Parekh: Understood. Sir, with respect to the industry dynamics, post consolidation on the OTT side, how do the yields look like? So are they still stable at around INR0.10 for free OTT users and INR0.20, INR0.25 for paid OTT or have you seen some pressure there?

Kumar Taurani: There is overall pressure because we've seen in last 1, 1.5 years, many people have shut down their businesses or they have gone behind the paid 100%. That pressure is there. We all see that and that pressure is not only on us, it's on all the music players. But I feel this is a temporary phase. Subscription is growing, so I feel the subscription will give us a big boost. We will make more money in coming months. So I feel it is a temporary phase, maybe 6 months to another 1 year, it will take, so let's see.

Kavish Parekh: Understood. And last question from my side. So where do discussions stand with respect with short format content platforms with respect to sharing of ad revenues? Today, what kind of revenue contribution does it account for? And with pickup in ad revenues going in, where do you expect this number to reach, short-format content?

Kumar Taurani: I think short format is st

ill not sharing the revenue . It's lump-sum kind of a deal. But what we see, quite a bigger jump in the revenues of that because our content is really doing very well on that short ad. But if you see overall catalog of Tips, the catalog is doing really well. So last 4, 5 years, whatever growth we are seeing, it is because of that also. And even this year, our catalog is doing really well.

– And actually even these ads on the platforms like Spotify or JioSaavn, they are not allowing free stream. Basically, they are pushing for a promotion or if you are a subscriber and you don't want to subscribe, you want to just listen music free, so they will push you first for the ads and also, they will trouble you. They will not allow you to listen your favorite songs again and again, they are pushing all of the people to go for a paid wall. So that's really hurting business.

Maybe we will have a difficulty for a few quarters. But long term, it is beneficial for the business. In the 2006-'07, there was a service called CRBT. That time, the telecom companies was making money from subscription and downloading of content. That's only 30-second content. And that also you're keeping on your phone for others to hear. And those mobile companies used to make INR8,000 crores.

So we have many people who can subscribe, who can pay money. So it's a temporary trouble we have. But I think in the entire industry, all music labels, are facing the issue and we feel we will overcome soon. It will take 3 quarters or 7 quarters, but will come through from this.

Kavish Parekh: Sir, if I can squeeze in one more question, one last question. On the content acquisition side, content cost as a percent of top line was slightly on the higher side in the first quarter. I think

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into the release of Maalik, this quarter, again down to 15%. So what is the plan for the second half in FY '27?

Kumar Taurani: So overall, we feel this year 23% or 25%, we will invest in content.

Moderator: The next question is from the line of Ravi Naredi from Naredi Investments.

Ravi Naredi: Thank you very much to give me opportunity. Sir, our net profit margin for 6 months are low by 350 basis points. This is worrisome?

Sushant Dalmia: Raviji, it's primarily on account of content only. So nothing to worry about the margins.

Ravi Naredi: And second, we do not get in 30% growth as we promised last year also. So this time, we presume lower side?

Kumar Taurani: For this year, we have said we will grow by 20%, instead of 30%. There's a lot of changes happened recently, as I earlier mentioned, many, many OTT has closed down, shut down their businesses and many has gone behind the paid walls. There was an app called Resso, they got shut down 1.5 years back, and they in the last year, when they were there, they paid us USD 2 million.

So we expected next year they will give us at least \$3 million. But because of this India-China issues, they had shut down their business and gone back to China. But I feel if USA settles, India will again, see the come back of TikTok and they will again enter into business, and we expect big money again will be given to us.

Ravi Naredi: Sir, film industry, this song industry, are you getting new songs which is costlier than last year or anything is going like this?

KumarTaurani: I think it is stable now, because there have not been many successes in the industry. So buyers are there, but it's stable. And we are, as mentioned earlier, many times, we are not into that rat race or a competition or a bidding process where we don't enter into that. I can tell you 1 film recently, there is a producer, he called me, that this is my film and this is my composer. So what should be the price? So he asked me, so I said, I can give you INR3 crores to INR5 crores, you sit on the table like this. He said, I already have an offer of INR14.5 crores and INR2.5 crores

promotion, INR17 crores I'm getting, what should I do? I said, immediately run and give it to them. It is good that if we finish our competition early, then we will get an opportunity to buy the material. So we also do that.

Ravi Naredi: And any website we are having where our Tips Music's, total songs are available?

Kumar Taurani: Our songs are available on Spotify, JioSaavn, YouTube, everywhere. But not official website from Tips Music, right?

Ravi Naredi: But not official website from Tips Music, right?

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Kumar Taurani: Yes, everything is available on Tips.in.

Ravi Naredi: On which?

Kumar Taurani: On Tips.in. You will see songs. As soon as you punch, it will take you to Spotify.

Moderator: The next question is from the line of CA Garvit from Nvest Advisory LLP.

Garvit: My first question is on the consumer preferences. The average cycle for which song is typically in trend, it seems like itself is getting reduced. I agree that at the same time, biggest hit now has longer on traditional charge. But the point is formality is also a fact. So I just want to understand what exactly are we doing to identify the trends, number one. Which are extremely dynamic and changing in the modern world. And what exactly are we doing to give the short-term goal sir? So that's my first question.

Hari Nair: Let me answer that. So on the trending part, right, so our teams daily monitor on the particular platform like Instagram or YouTube. And also, we get daily reports, so where we also have analytics teams sitting in here who try to get what song is picking up on Instagram or TikTok. So we do that on a daily basis, morning, we have set up alerts for ourselves and basis that, we start working and pushing the sound more.

So that's the reason you see a lot of catalog songs, getting picked up on Instagram, I think 2, 3 examples like "Saajan Saajan" and "Kahin Aag Lage Lag Jaaye", even Madhuri Dixit was dancing on to that. It is a great song. So I mean, it picks up any time. There is no specific, what do you say, time line to it. It is just a trend that the platform shows and we latch on to that trend. Did I answer your question?

Garvit: Yes. That makes sense. And sir, you mentioned like our songs are getting good traction, right? But at the same time, we are saying like platform, specifically these short-format content, they are not ready to share on a variable basis. So can you let us know like what is the reason, if our product is good, right? And why they are not paying us on a variable basis because ultimately, the negotiation power should be with us, right?

Hari Nair: Yes. I think you're very right on that. But overall, if you see the short format video apps, they're all new to the market. Though they have been there, they are still yet to establish themselves. And all these deals, right, basically are done by the global majors first with the platforms, and it's all on a lump-sum basis right now, the revenue share model will also be kicked in once the platforms and the labels, both agree on sharing that. And some of the guys have already done that, but it's just that the revenues on the ad side is not so great and the new value for them, the ad side.

Garvit: Yes, I think last part I missed that, maybe because of poor voice, I think maybe, network.

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Hari Nair: So I was just saying that the deals are right now all fixed deals not based on advertisement, and it will change over a period of time, like how it did with YouTube, right? Initially, YouTube was fixed deals, then it moved on to ad revenues or fixed fee, whichever is higher. So it will move. So I think the short format video apps also will move in that direction. It will take some time for that.

Garvit: Understood. And sir, in PPT, we mentioned like our YouTube views are going down. And the reason we are giving is the YouTu

be Shorts. So what is our exact plans or strategy to monetize our IP on the YouTube Shorts because if that is going to be the case, maybe like the target we are setting, 20% growth, I think it will be difficult to achieve, right?

Hari Nair: So YouTube Shorts again, is a fixed fee deal, but the larger YouTube is an ad sharing deal, and it is stable and it is growing. So what we see in the first week of October, it has just picked up.

So I'm very positive about the growth from YouTube also.

Kumar Taurani: And it is not having any revenue impact or a profit impact. It's a lump sum deal.

Garvit: Understood. Sir, like in order to grow 20% on a full year basis, second half, we have to grow significantly well. So what is giving you that confidence like we will be able to do? Because last con call also our target was like minimum, we will be growing by 20% and we target of 30% was still intact. But now we are speaking about like 20% target only.

So like what has changed over this period of time? And what is giving you the confidence that we will be able to grow on a full year basis by 20% because first half the growth is not that good, specifically on the bottom line side?

KumarTaurani: We are working very hard on our content, whatever content we are making, we have confidence in, we will make such a good content that will give us good numbers and good revenue.

Garvit: Okay. And lastly, what is our content growth going to be for second half in absolute term?

Kumar Taurani : As I told you, we are not sure if there is any film to be released in the music side. But we are sure we have made some non-film music. We have signed many, many individual artists. We have 2 songs, 4 songs, 3 songs deals.

And by March, I feel around 15, 20 some of all the big artists, good songs will be released. So that can really give us a bigger review. I think I mentioned in my earlier calls, we are now focusing on the quality rather than the quantity. So that is we are working on.

Garvit: Thank you very much, and wishing you happy Diwali.

Moderator: Thank you. The next question is from the line of Deepak Ajmera from IGE India. Please go ahead.

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Deepak Ajmera: So we have done an acquisition of Studio Radha's culture music legacy of Gujarati and Kutchi songs. So what is the rationale behind our acquisitions? And what are our expectancy as we are trying to move into new, new geographies?

Sushant Dalmia : We have acquired and we've got that 4,000 songs, Gujarati songs and that is at a very reasonable price. Currently, we are digitalizing that asset, and it will take around six to 12 months to post it on various platforms. Going ahead in terms of strategy, we are looking at inorganic growth and wherever we see value, we'll go and acquire it.

Hari Nair : And also to add in, if you see the devotional content also has a lot of monetization, a longer monetization and a better monetization than the normal one. So it is very sticky, and it just keeps on giving revenues on YouTube or Spotify, any platform you take.

Deepak Ajmera: Okay. And my next question is on, do we have any new collaborations with any artist or exclusivity with any artist upcoming maybe?

KumarTaurani : Yes. We have many, many songs coming up with many artists. You must have seen that Aparshakti Khurana, we have released a song, then our next releases of Aditya Rikhari, again, big artist, then there's Lucky Ali, then there is Paradox. So we have many songs, it's coming.

Deepak Ajmera: Okay, got it. And last one is what is our growth in the subscriber base via comparison to other competitors? If you can compare it to industry growth wise?

Hari Nair : Industry growth-wise, see, we will not be able to tell you exact numbers because we may not know the numbers of competition. We just spoke about the YouTube subscriber base. I think that's growing healthy for us, across our channels.

Deepak Ajmera: Ok

ay got it. It's done from my side. Thank you.

Moderator: Thank you. The next question is from the line of Saket Mehrotra from Tusk Investments. Please go ahead.

Saket Mehrotra: I was going through your deck, you've mentioned about royalties coming in from AI where WMG and UMG, there's some agreement in the works. Like can you tell us something more about this? What exactly is happening here? And is this something that you guys are excited about?

Hari Nair : I think that's a very positive news if UMG and Warner, both are getting into an agreement with the AI companies, it's a very positive sign. In India, we are also having similar conversations with the AI companies. There is already seen OpenAI. I think we have some case also going on. So I think it's overall positive if the global majors end up with a deal with Suno AI. I think it will have a positive impact on us also in India.

Kumar Taurani : Saket, it will take a little time, but that's the opportunity what we have mentioned, that in the world it is happening. In India as well it will happen and we are talking about it as well.

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Saket Mehrotra: And sir, like circling back on growth, in case we want to achieve that 20% growth number, in H2, we have to grow by 27%, 28% over last year. So is that something that we are confident on? And if yes, what will drive that for us? Is it like new launches? Yes, are we expecting some sort of pricing flow through, what exactly gives us that confidence and how confident are we doing this full year number?

Kumar Taurani : See definitely confidence is there and good songs are being made. Number one. Number two, I think even YouTube will perform better in, because if good songs are being made and December is a seasoned month, I feel the performance will be good. And on YouTube there was something about UGC, we are sorting that also. So around 2-3 small things that are there and plus we have increased the price of Spotify, so we will get that benefit as well. I feel this 20% should be achieved. I do not see any difficulty there.

Saket Mehrotra: And sir in this one last question is that like in terms of we have our contract with Warner, where does that stand like is it up for renewal this year or is it up for renewal next year?

Hari Nair: No, that is locked till 28, till 28 we have done the deal whatever will happen will happen in 28.

Saket Mehrotra: Thank you, sir and wish you all the very best.

Moderator: Thank you. The next question is from the line of Akshay Kolekar from Dalal & Broacha. Please go ahead.

Akshay Kolekar: Good evening, everyone. Two questions from my side. So first is about the dividend amount declared as, we see last 2 years the dividend amount has declared exceed the company's expenditure on content acquisition. Does this reflect the lack of growth or investment opportunity in the market, like management's priority in distribution of dividend rather than investing in a new content cost. Could you please elaborate on this?

Kumar Taurani: Akshay you see we have a lot of spare money. It's not that we're not buying content and giving dividend. After giving such a huge dividend, we have a lot of money lying still. We are not getting content at the right price. If we take this content with INR10 crores and only INR1 crores, INR1.5 crores first year it has to come and if in 3 years, 4 year there is a recovery of INR3 crores, INR4 crores.

Money will not come out and for the money to come out it takes around 15 years. So there is no benefit of that content and sometimes it will not work. Initial it has not worked, so how does it work in future it is doubtful. And success ratio for new releases was hardly 10% to 12%. So according to that we are very cautious that we shouldn't take such content that we have a trouble in recovery.

Our target is that in next 4 years, 5 years our money should come back and you know that we w

rite off in same year. So we have sufficient cash. The content what we are investing today 25% and we can do 50% there is no issue. We have lot of cash, but we are very selective and we are doing a good content and we are saying this from last three, four quarters that we are focussed on the quality.

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So dividend has nothing to do with this. So what should we do keeping with the company that we will take content and by doing this I am sitting at INR250 crores and after that we will reach INR400 crores then will reach to INR500 what will be use in that. So it's better that if we are rewarding the shareholders then shareholders can invest, they can plan that money better and they can make more money from that also, that's the idea.

Akshay Kolekar: Got it. My last question is on like classification based on that. When we calculate the content, we include the advertisement cost, so my concern is the advertisement cost is generally expensed out, that impact the top line immediately, like without building future economic benefit. So the same way as we acquired the content, so can you please explain on this scenario?

Kumar Taurani: Akshay, we write off promotion costs as well as content cost, same quarter. So we don't have any of that burden that we have to do. If we release one song then we write off the entire content and one song if we release then the promotion has been done in that quarter we write off that and in next quarter the spare songs promotion cost which arises and promotion bills we do in next quarters. So as and when it gets written off immediately.

Akshay Kolekar: Okay. Got it. That's it from my side.

Moderator: Thank you. The next question is from the line of Bhargav from Ambit Asset Management. Please go ahead.

Bhargav: Yes, good afternoon team and thank you for the opportunity. Sir, my first question is that we have seen Spotify increase their subscription prices for the first time. So do you see this a yearly phenomenon and obviously we are reading, what benefit can we get out of it?

Kumar Taurani: Yearly phenomenon is there or not it's very difficult to say, that Spotify people will tell, but we will see how the market is there. If they think that the growth is very good. So their total industry next target is 10 crores to bring in paid wall, but if they reach the target they will give more and once subscriber is done they never exit.

And if we do the subscription then we get the habit of using that app so we do. As far as our revenue is concerned, it's a percentage. They give us 55% and if it gets 20% then that also is 55% all levels will get and level in pool the money will come. So then whatever music has been consumed then that money they will get. So absolutely safe and sorted.

Bhargav: Does Spotify increase the price of subscription globally?

Kumar Taurani: Yes, it increases a lot. If you go to London, there are GBP10, \$10 in the US, AUS\$10 in Australia, SGD10 in Singapore. So, it's very expensive. And how many people do I meet? 90% of the people are in subscription.

Bhargav: And he must have increased the price after a long time. So it must have increased by thinking that maybe it is getting confidence that people are now coming to pay. Maybe that's why it increased.

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Kumar Taurani: So, Bhargav, you understand that Spotify has an experience of 150-250 countries. So, he has been doing business for the last 10-15 years. So, he is a big player. And they know how to lower the market, how to raise it, how to give it free, how to get the customer to paid.

Last year, there was an event of Spotify. So they said that in the first year, in the first 5 years, we got the customer used to Spotify. Today we are in that situation that in the next 5 years, our emphasis will be on taking money out of the customer's pocket. So they are on it. It's like a m

ission. Otherwise, they will not last.

They have come here to do business for 50-100 years. So, they have a long, long phase. And you won't believe that they have 15 billion streams per month. If they let everyone listen to it, then they can do a market of 25 billion today. And if they distribute money to the industry according to 25 billion, then the growth will be 40% immediately. Because they are controlling the free consumption of music.

They have to pay the label. So, they are controlling. And we can't take an objection there. They are trying to improve their margin and they are trying to improve our margin. So, we all invest in the music business or content business, so we have to really see. You will have to see the perspective of 2-4-5 years, what is this?

And if you look at our industry, we have also put it in our presentation in international comparison. Consumption wise, we are equal to the US. But money wise, we are only 2%. So, what is 2%? If we are 10%, then think what will happen. So, I will advise my shareholders, please treat us as a long-term partner or long-term company. Think about it and keep a vision on it. So, I think it will be very beneficial to everyone.

Bhargav: Sir, can you tell about our revenue?

Moderator: Sorry to interrupt, Bhargav. Sorry to interrupt. May I request you to please limit your questions to two only. If you have a follow-up question, please rejoin the queue again.

Bhargav: This is the last question. I have no further questions. Can I go ahead with the last question?

Kumar Taurani: Yes, yes. Okay, go ahead. Go ahead.

Moderator: Sure.

Bhargav: Sir, is it possible to share what is our revenue from Spotify or we will not be able to share?

Kumar Taurani: No, Bhargav, we can't do that because see, it's a competition world. We can't give you details. So, please bear with us.

Bhargav: No problem, sir, and have a happy Diwali to your team as well. Thank you.

KumarTaurani: Thank you. Thank you.

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Moderator: Thank you. The next question is from the line of Vaibhav Muley from YES Securities. Please go ahead.

Vaibhav Muley: Hello, team. Congratulations on strong set of numbers. My first question was on our balance sheet. There has been a significant reduction in current and non-current other liabilities. Is this pertaining to the advance received from Warner?

Sushant Dalmia: Hi, Vaibhav. It is pertaining, , to advance received from Warner, SMP and other customers. And as we said earlier, , for the second year, we have received the first tranche from Warner.

And the second tranche is due in October end, so we will receive that also.

Vaibhav Muley: Understood. And in terms of number of teams for apps operated by Warner, how has been the overall revenue collection over there? So are we surpassing the overall advance that we are receiving? And when do we expect the overflows to start flowing in?

KumarTaurani: Overflows, we have a total term of 4 years. And we have sufficient monies of Warner with us as an MG. So, the overflow will be in the last quarter or before that one or two quarters, then we will know where we stand.

Vaibhav Muley: So, it will be in FY '28, sir?

KumarTaurani: Yes, it will be in FY '28.

Vaibhav Muley: Okay. And just from the guidance, 20% revenue growth guidance we are still maintaining. So if we do the calculation, what we understand is around 25% on an average revenue growth is what we will require for Q3 and Q4 just to achieve 20% revenue growth.

Kumar Taurani: Yes, yes.

Vaibhav Muley: So, are we confident to see a sharp pickup in Q3 and Q4? And what would be driving this immediate pickup in the numbers?

Kumar Taurani: As I said earlier, we are very confident. We are going to get very good songs. Spotify has increased the price, we will get the incentive for that. Plus our short content is also doing well.

Even on YouTube, we feel that we will have a lot

of growth. So, I feel that yes, it will be achievable and we will achieve it.

Vaibhav Muley: Okay. And regarding this live performance and public performance rights, in the presentation you have said industry is growing at 40%-50% CAGR. So, is it fair to assume that Tips should be benefiting at the similar growth rate for these two segments?

Kumar Taurani: We are not in event business, but whatever our music consumption happening in those events, we are making money and we are making good money from there. But we have a lumpsum deal with the party who takes our license. But we are having a very good deals with them. We have a sufficient growth every year-on-year basis.

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Vaibhav Muley: Okay. And regarding this YouTube Shorts, sir, when is it current fixed deal going to expire? And do we expect the renegotiations to happen towards revenue-sharing model?

Kumar Taurani: Yes. It will come to an end in June. We will definitely try and our vision is that we should have a sharing basis.

Vaibhav Muley: Understood. Okay, sir. That's it from my side. Thank you so much once again and all the best.

Kumar Taurani: Thank you.

Moderator: Thank you. The next question is from the line of Naitik from NV Alpha Fund. Please go ahead.

Naitik: Hi, sir. Thanks for taking my questions. Sir, my first question is, you know, last year, in the second quarter, we had some one-offs income from Wynk. So if I exclude that, we have grown at approximately, say, 20% give or take, so is that understanding correct?

Hari Nair: Yes.

Sushnat Dalmia: Yes, Naitik.

Naitik: Right. And sir, the second question is, if you could just let us know in our current revenue, what percentage of our revenue will be from paid subscribers and what would be from advertisement?

Sushant Dalmia: Can you repeat your question?

Naitik: What percentage of our revenue in this quarter would be from paid subscription?

Sushant Dalmia: I can give you on an industry basis, , around 10%, would be paid subscription.

Naitik: 10%. Got it. And just one clarification. You mentioned the current YouTube Shorts deal is going to expire in April next year, right?

Sushant Dalmia: June next year.

Naitik: June next year. Got it. Got it. That's it from my side. Thank you.

Moderator: The next question is from the line of Akshay Jogani from Xponent Tribe.

Akshay Jogani: Sir, the digital revenues that you mentioned in the presentation, so last year, this quarter, our revenue from digital was 75% of INR81 crores. And this year, it is 71% of INR89 crores, right?

So, if I just match this with digital, then our growth is sitting at 4%, 5%. So, can you explain to us a little bit where this has hurt specifically on digital, firstly?

Secondly, every quarter, we give a guidance on the basis of, what I'm trying to understand is that this guidance, we don't have an order book. So, what is our general science for giving guidance?

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On what basis do we arrive at this 20% number? Can you give us a little colour? I know you have answered this two times, three times that our pipeline is good.

But our pipeline is good, our growth does not come alone, right? It is a function of what else is happening in the market in terms of other people's pipeline, ad spend, everything, right? So, it would be helpful if you could give us your thought process/mathematics behind arriving at a 30% number or a 20% number or a 15% number. So, yes, these are the two questions.

Sushant Dalmia: Akshay, on the first question, the digital, , last year in the September quarter, there was a one-off revenue of Wynk of around INR7 crores. So you need to factor in that to adjust your growth rate. And ...

Akshay Jogani: Okay.

Sushant Dalmia: What we said that we have seen a slower growth on the YouTube, so that would be the second reason.

Akshay Jogani: Sure. And on the growth rate general

Kumar Taurani: Yes. Growth rate, Akshay. Akshay, from when we have understood that our due diligence is, YouTube is, as many as our players are, we calculate that how is their behaviour or how their behaviour is functioning and accordingly that we estimate. And as we saw in the first quarter, we thought it would be 20% this year it will be 20%, so we have immediately reported that, no, this year 30%, please don't expect it will be 30%.

Plus if you see our record from five years, six years, what we have committed in investor calls, 30%, so we have achieved. Our science is working right till present and hopefully this year also we will achieve what we are saying. So from last five years, six years, if you check Tips record, so whatever we have said, earlier we use to give guideline, 30% top line and 15% bottom line PAT. But we always have gone up. But this is the first year which we are facing challenges because of various factors.

It's not one factor, it's a combination of three more factors. But still, we are hopeful that our industry has a lot of potential because today every customer has a music system. Your mobile is your music player. So, it will not happen that we will degrowth. So somewhere, who are our players, who sell our music, problem is from their side, it is not a problem from our side. So they will also...

Akshay Jogani: Correct.

Kumar Taurani: They also have billions of dollars of business. And they are – today our economy from INR4 trillion – we are estimating that INR4 trillion, INR10 trillion, so we will also have a benefit, if there is more money in customer pocket.

Plus one more thing I would tell you that, last month government less the GST, so the product business, it will going to increase. So, there will be business increase. So, advertisers, they will

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put more money in advertising. So, it's going to be a benefit for advertising. Music is the main segment where people do advertising. So, I think our next two quarters should be very good.

Akshay Jogani: Right. Right.

Kumar Taurani: We will have combined effect.

Moderator: The next question is from the line of Shrenik Mehta from IndoAlps Wealth.

Shrenik Mehta: Hi. Good evening. Sir, my question here is more about long-term. How do you see this company evolving over the next three years? Would you have similar drivers in the business? Would you have some more new lines of business or new channels that you would see in the next three years?

KumarTaurani: I think three years is a good time. But if I say three years to five years, then it will be better.

Shrenik Mehta: Yes.

KumarTaurani: We have a lot of plans. One major focus is absolutely on the creation of music, music and music. So we are not entering into event business or all those kind of businesses, but there is a business, artist management. So maybe we are looking at tying up with some company and maybe that company, we are partnering with them, they handle artist management. And the artist they signed, we will do music part of those artists.

So we have those plans. It's not a major investment or anything like that. But if we have our own artist, so we can really plan business more organized and more better way. We can get 10, 12 songs, 15 songs a year. So we have those plans. But absolutely focus only on music, music and music plus good quality music. That is our focus.

Shrenik Mehta: So you see this INR800 crores business, INR1,000 crores business, what will be the digital part of it, how do you see this company in next three years to five years? What kind of domination will it have?

KumarTaurani: I feel the industry can grow, industry can become in the next five years, around INR10,000 crores to INR12,000 crores industry can happen and should do because of this three major things are there. One is that subscription. Second is short content, Instagram Reels, TikTok. TikTok will co

me back and this YouTube Shorts, they will do some profit sharing, some revenue sharing with us, they will also start a model where advertisers can advertise.

So I think industry can be INR15,000 crores also. So if we have around 7%, 8% share, so you can estimate what can be our business, we can achieve easily INR7,000 crores, INR8,000 crores, not a big deal. Third thing, I mentioned three, but I forgot to mention that public performance, is now this business is around INR350 crores. It can easily become INR2,000 crores business.

Shrenik Mehta: Okay.

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Moderator: Ladies and gentlemen, due to time constraints, this will be the last question for today. I now hand the conference over to Ms. Ayushi Gupta for closing comments. Thank you and over to you.

Ayushi Gupta: I would like to thank the management for taking the time out for this conference call today and also thanks to all the participants. If you have any queries, please feel free to contact us, we are MUFG Intime Private Limited, Investor Relations Adviser for Tips Music Limited. Thank you so much.

Moderator: On behalf of Tips Music Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2026

January 23, 2026

To,
Listing Department
BSE Limited
P.J Towers, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 532375 To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E), Mumbai – 400 050
Symbol: TIPSMUSIC
Dear Sir/ Ma'am,
Sub: Transcript of Earnings Conference Call

In terms of the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of earnings conference call on Unaudited Financial Results for the quarter and nine months ended December 31, 2025 held on Monday, January 19, 2026.

You are requested to take this information on your record.

Thanking You, For TIPS MUSIC LIMITED (Formerly known as Tips Industries Limited)

Bijal R. Patel
Company Secretary
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"Tips Music Limited
Q3 FY'26 Earnings Conference Call "
January 19, 2026

MANAGEMENT : MR. KUMAR TAURANI – CHAIRMAN AND MANAGING
DIRECTOR – TIPS MUSIC LIMITED
MR. GIRISH TAURANI – EXECUTIVE DIRECTOR – TIPS
MUSIC LIMITED
MR. HARI NAIR – CHIEF EXECUTIVE OFFICER – TIPS
MUSIC LIMITED
MR. SUSHANT DALMIA – CHIEF FINANCIAL OFFICER –
TIPS MUSIC LIMITED

MODERATOR : MS. AYUSHI GUPTA – MUFG INTIME

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January 19, 2026

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY26 Earnings Conference Call of TIPS Music Limited . As a reminder, all participants' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then

zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Ms. Ayushi Gupta from MUFG In time Private Limited. Thank you and over to you, Ms. Gupta.

Ayushi Gupta: Thank you. Good evening, ladies and gentlemen. I welcome you to the Q3 and 9-month FY26 earnings conference call of TIPS Music Limited. To discuss this quarter's performance, we have from the management, Mr. Kumar Taurani, Chairman and Managing Director, Mr. Girish Taurani, Executive Director, Mr. Hari Nair, Chief Executive Officer, and Mr. Sushant Dalmia, Chief Financial Officer.

Before we proceed with the call, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. For more details, kindly refer to the investor presentation and other filings that can be found on the company's website.

Without further ado, I would like to hand over the call to the management for their opening remarks and then we can open the floor for Q&A. Thank you and over to you, sir.

Kumar Taurani: Happy New Year. Good evening, everyone, and thank you for joining us for the Q3 and 9-month FY26 earnings call of TIPS Music Limited. We truly appreciate your time and continued support.

We are experiencing strong momentum of our content usage across all platforms. These encouraging trends support our 20% revenue growth guidance and allow us to upwardly revise our PAT growth guidance to 25% for this year from 20% earlier.

With these results, the Board has approved a dividend of INR5 per share amounting to INR63.91 crores with a total payout of INR166.18 crores in this year. With this, the company has fulfilled its commitment to return 100% of last year's PAT to shareholders. With that, I would now like to invite our CEO, Mr. Hari Nair, who will provide more details on our business. Hari, over to you.

Hari Nair: Thank you, sir. I wish everyone a happy new year. Our cumulative YouTube channel subscriber base has grown significantly to 145.3 million. Due to virality of few catalogue tracks on Instagram, we saw 100X spike in content creation, views, and streams on respective platforms. We are happy to announce our partnership with B4U TV as our broadcast partner, enabling wider reach to our rich catalogue among television audiences globally. I will now request Girish to share insights on the content business across platforms. Thank you, everyone.

Girish Taurani: Thank you, Hari. Good evening, everyone. Wish you all a very happy New Year. I am excited to share some key highlights from the quarter. Our music content portfolio expanded by 108

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new releases this quarter, comprising of 70 film and 38 non-film tracks. On YouTube, the performance was headlined by a new track from the film Soulmates titled Sheher Ghumawa and also Halki Halki Nami by B Praak, amassing a total of 7.1 million and 6.2 million YouTube views respectively.

Our catalogue also maintained a significant momentum on Instagram. "Soldier, Soldier Mithi Baatein Bolkar" from the film Soldier, generated 2.7 billion views, while Tere Liye from the film Prince reached 2.1 billion views creations this quarter. "Meri Kahan i" which was from an album of Atif Aslam, became the personal anthem for many to express their young versions versus today.

It was used by our MD, Mr. Kumar Taurani, Virat Kohli, Ajay D

evgan and many more on

Instagram. Furthermore, as Instagram celebrated its 15th anniversary, we are extremely honored that song "Jeene Laga Hoon" from the film Ramaiya Vastavaiya was recognized as the only Indian song in the top 10 most-liked songs globally in the platform's history by an independent journalist. I will now be handing over the call to Sushant to take you through the financial performance in detail. Thank you everybody.

Sushant Dalmia: Thank you Girish. Good evening everyone and welcome to the Q3 FY26 earnings call. Let me walk you through the financial highlights for the quarter. Our revenue for the quarter stood at INR 94.29 crores compared to INR77.7 crores in Q3 FY25 reflecting a Y-o-Y growth of 21%. Operating EBITDA for the quarter was INR74.5 crores versus INR55.6 crores in Q3 FY '25 that is a growth of 34%.

Operating EBITDA margins came in at 79% versus 72%. Employee expenses reflect a one-time impact of INR 96.7 lakhs related to the implementation of the new labour code. Profit after tax for Q3 FY '26 stood at INR58.7 crores compared to INR44.2 crores in Q3 FY '25 showing a healthy growth of 33%. PAT margins for the quarter were 62%.

For the 9-month period of FY '26, revenue was INR271 crores compared to INR232 crores in the same period last year, that is a growth of 17%. PAT for 9 months stood at INR157.7 crores versus INR136 crores previously which is a growth of 16%. With this, I conclude my opening

remarks and open the floor for Q&A session.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Kavish Parekh from B &K Securities. Please go ahead.

Kavish Parekh: Hi Team , very good evening. Thanks for the opportunity. Sir, your growth aspirations for the full year spread about 20 -odd percent . Now that implies an ask rate of about 28 %-29% for the 4th quarter. Is it fair to assume that the full year will end at somewhere around 18 %-19%, because I think the 4th quarter and even the 3rd quarter did not really have any major Hindi releases. So, do we expect to end the year somewhere around 18 %-19% odd or you still are confident of driving this 20% growth for the full fiscal year?

Kumar Taurani: As of now, I am not changing this. I think we will achieve this 20% and we are very positive. Even this quarter responded well, YouTube, Spotify, we are doing well. So, I feel the 20% for
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yearly guidance is maintained. We can achieve this and we are really pushing hard and working very hard to achieve that.

Kavish Parekh: Sure. The content spends were fairly low this quarter, 9% this time and 9 -month FY '26 number stands at about 17% odd which is lower than what we were guiding maybe at the start of the year. So, is there any revision in the guidance for the full year considering 4Q also does not have any major movie release?

Kumar Taurani: No, content cost will be low this year. I think around 18% will be the content cost and actually we wanted to spend 25% but our one movie shifted to next year. So, that is why we are feeling that. Even if content is not there, then also we are maintaining these numbers. If that content would have come then maybe we would have surpassed 20% even. So, in our business that happens.

We presume this film will come in this quarter but sometimes it shifts to another quarter. So, these things happen. But we are okay with this and we are not in a hurry as explained many times earlier. We do not want that, in haste or in panic mode we end up buying a wrong content. We are extremely careful and are buying very cautiously

Kavish Parekh: Could you lay down the content release as planned for FY '27? This will help us get an idea of the growth trajectory for the fiscal year because only catalogue and regional music will be slightly difficult to drive 20

%-22% plus growth solely on the back of catalogue and regional.

So, could you name or list a few Hindi movies that you plan to release or acquire in the next fiscal year?

Kumar Taurani: We have Imtiaz Ali, Diljit Dosanjh, Vedang Raina , Sharvari and A. R. Rahman's music and then there is a David Dhawan, Varun Dhawan movie "Hai Jawani To h Ishq Hona Hai " Then there is a movie Siddhant Chaturvedi and Wamiqa Gabbi . Vikas Bahl is the director. And then there is a movie with Sunny Kaushal and many other actors , "Kahani Me h Twist Hai". And then Shania Kapoor, Abhay Verma movie called JC . And there is so many non -film music slated for FY27. I think in FY27 we will achieve our target of that 25 %-28% what we target every year. We will achieve that.

Kavish Parekh: So, about 4 -5 mid -size Hindi movies planned for the fiscal? Is that the right understanding?

Kumar Taurani : Hindi movies we have. I think 2 are pretty big. That David Dhawan, Varun Dhawan is a bigger movie. And that Diljit Dosanjh and Imtiaz Ali, A. R. Rahman is a big movie. 3 you can say relatively mid -size movies. These 2 are not very big but pretty big you can say. So, we have these plus apart from these we have some regional films also. So, we will be releasing those also plus non -film music.

Kavish Parekh: One last question from my side. Presentation mentions that there has been a negative growth in total views on YouTube which is on account of YouTube Shorts. Now, I do agree that from a revenue standpoint the contribution of YouTube Shorts will be fairly limited. But could you throw some light on why this impact?

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Is it on account of the high base in 1Q FY25 which I think had the positive impact of Crew and Ishq Vishk Rebound ? Is that the only reason why we have witnessed a decline in quarterly YouTube views or is there something more to it on YouTube Shorts?

Kumar Taurani : These things happen. One quarter you will see it come down. Next quarter you will see again there is a big jump. These things happen. So, we are not actually bothered and plus from this YouTube Shorts we are getting a lump sum money. We are not getting on a profit -sharing basis. So, we are okay with this.

Kavish Parekh: And when is the next step of negotiation due for YouTube Shorts? I believe that these happen on a 1-2 year basis ?

Kumar Taurani : Next year. Coming year is due.

Kavish Parekh: All right. All right. Thank you so much, sir. All the best.

Moderator: Thank you. The next question is from the line of Jyoti Singh from Arihant.

Jyoti Singh: Thank you so much for the opportunity. Sir, like earlier quarter, this quarter also we have reported good EBITDA margin. So, going forward, just wanted to understand as the competition intensified. So, any kind of compression on the margin side we are seeing from here and also what is the target content cost to revenue ratio over the medium term and what lever that helped to protect margin in this competitive market?

Kumar Taurani : Jyoti, if you check our last, I think, 13, 14, 15 quarters, we are maintaining our EBITDA impact. So, going forward also we will maintain that. I am assuring you that. Plus, as told many times earlier, we are very focused on our content. We do not mind paying more, but our focus is on the quality content. So, we are not in that mad rush. So, let us be assured that we are very careful and very focused on what we want to buy. And we are only targeting those and we are buying those movies or non-film music .

Jyoti Singh: And sir, also like globally, like music companies, they are expanding. So, any, like this is very hypothetically, but any chances that Warner can buy, stake in Tips going forward?

Kumar Taurani : See, I mean, you only said it is a hypothetical question. So, what I can say? Everything is open. Anybody can talk anything, but at present there is no

thing.

Jyoti Singh: Okay. Okay. And sir, given Shorts currently drive high volume, but low monetization. So, what structural changes are required for Shorts to become a meaningful profit contributor for us?

Kumar Taurani : They should give us a profit-sharing basis. They should start monetizing that service, maybe by way of subscription or by way of doing more advertisement , or maybe the way of that blue tick they are offering. So, we must take some money from there. But I think whatever is happening with happening in the entire world, but that should, we are doing better than many other companies.

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And our, majorly our content, whatever we have done from '88 till now, our entire content is selling very, very well. So, I think we are in a better zone, and we are very happy about it. And we'll maintain, there's nothing major going to change, but we are making, we are pretty well, I think, in that sense. So, we are happy.

Moderator: Thank you. The next question is from the line of Ravi Naredi from Naredi Investment Private Limited. Please go ahead.

Ravi Naredi: Thank you very much. Sir, yes, Spotify has increased subscription by 20 % to 25%. So, how much revenue will we get benefited from this? Can you give the number?

Kumar Taurani : I can't share an exact number with you, but let me tell you, we are doing very well on Spotify, YouTube, and Instagram. The expectation what we have , we are achieving that. And Spotify, I'll tell you one more thing, that Spotify, who were saying for a long time that they want to increase their subscription, their subscription is increasing very fast. I think, compared to last year, this year, they have more than 50% subscribers. So, if it continues in this pattern, then what used to happen earlier, same as before we will achieve the growth of 30%, very soon, I think in the next 4, 6 quarters, we will come back to the 30% target.

Ravi Naredi: Right, right. Fantastic. Sir, please give detailed comments over paid subscription when rises in next few years, how much revenue of Tips may rise?

Kumar Taurani : Our top line target is , I think 372 . I feel at present 20 % growth is targeted. . So, next year our target is 450 or 455 . Something like that. Which I think we will achieve.

And after that, I think in the next year, because the percentage , the number is increasing now. Now, it is not that if you did 30% at 200, then you have to do INR60 crores, and if you have to do 30% at 450, then I think you have to do 135. So, that number will increase a little.

Hari Nair : Base will increase.

Kumar Taurani : Yes, the base will increase. So, how much will it be? We will tell you when we talk to you next year.

Ravi Naredi: Sir, one more thing, how many design developers use our songs like Abhinav Mishra and Manish Malhotra for making their product popular?

Kumar Taurani : We do not allow anyone as a marketing tool, but we allow our fans to use it, use our content, make reels, create, on which we get money, so we do not allow any commercial person to promote their products, we knock them down.

Ravi Naredi: By using our songs, right?

Kumar Taurani : Yes, yes.

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Ravi Naredi: And sir, the industry revenue rises 40 % to 50% CAGR, you mentioned in the investor presentation, I'd write it. So, it is applicable for Tips to rise 40 % to 50% top line in our industry?
Kumar Taurani : 40%-50% to say anything can happen. Please understand, like the target of the industry is that in the next 4 to 5 years, this industry should be of INR10,000 crores, which is now at present of INR3,500 crores, INR4,000 crores . So, there would come a time when such a big thing will come in 1 -2 years in the middle, where we can reach directly from INR4000 crores to perhaps INR5,500 crores, INR 6,000, it is possible.

In this business there is such possibility.

Ravi Naredi: We wish this time comes soon. Thank you very much, sir. You are doing fantastic and we wish all the best to you and giving handsome dividend, it is really nice.

Kumar Taurani : Thank you.

Moderator: Thank you. The next question is from the line of Akshay Kolekar from Dalal & Broacha . Please go ahead.

Akshay Kolekar: Thank you for the opportunity. So, my first question is on industry side basically. So, we see recently the music company has acquired it seems like a big production house. So, do you see any structural changes happen in the industry I like what are your views on this and are you looking for any opportunity in your near future?

Kumar Taurani : You are Akshay, no?

Akshay Kolekar: Yes.

Kumar Taurani : What is your good name?

Akshay Kolekar: Akshay Kolekar .

Kumar Taurani : Yes. Akshay we are the first company which has its own film company. So, we do not have to acquire anything, any other company. And we are not tying up or we are paying big money and taking a partnership in that company. We are just acquiring at arm's length we are acquiring only music rights.

So, we in that zone, you can say we are the best. And we did this five years back. So, you can assume kind of a vision Tips has. In long term we have to have arrangement with some of our own company or some understanding with some other companies. So, touchwood we do not need anybody or any company whom we can tie up. There is no need.

Akshay Kolekar: Okay, I understand. So, and my second question is on like you gave a bifurcation of like how much revenue is contributed from legacy business for new music content. So, is there like any percentage kind of?

Kumar Taurani : As told you earlier, 85% of our business comes from a legacy Catalogue and our Catalogue is really, really extremely doing well for the last four, five years. Every year we are growing on

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the strength of our repertoire or catalogue . And I can assure you another next 15 years, 20 years we are very, very safe and are in best position. I feel there is a lot of potential where our Catalogue can really progress very well and give us a very big revenue. So, touchwood, 85% comes from there and 15% you can say from new releases.

Akshay Kolekar: Yes, okay, cool. Thanks.

Moderator: Thank you. The next question is from the line of Robert Marshall -Lee from Cusana Capitals . Please go ahead.

Robert Marshall -Lee: Hello, can you hear me okay?

Kumar Taurani : Yes, we can hear you.

Robert Marshall -Lee: So, just a couple of questions. So, firstly on the impact of the labor costs, is there a significant one-off impact there or is that expected to be a sustained level going forward?

Sushant Dalmia : So, Robert, this would be a one -off impact and recurring we do not see any substantial impact coming now.

Robert Marshall -Lee: Okay, thank you. And secondly, just in terms of when you are thinking about market share, is market share something you are kind of very mindful of either by particular outlets, for example, on YouTube, etc etc ., but more broadly across the streaming space and what are the trends that you are seeing in terms of market share?

Hari Nair : Yes, I think market share, we do not normally think too much about that because what we see is that our metrics, what are we doing in our views, in our subscribers, in our streams. So, we measure ourselves with ourselves. That is what we do. But having said that , on a revenue market share, we will be around 7% to 8% and on the growth side as you see our results, it is steadily growing every quarter.

Robert Marshall -Lee: Sorry your market share is growing every quarter?

Hari Nair : Yes.

Robert Marshall -Lee: Okay, that was all. Thank you.

Hari Nair : Thank you.

Moderator: Thank you. The next question we have is

from the line of Saket Mehrotra from Tus k

Investments. Please go ahead.

Saket Mehrotra: Thank you. Sir, congratulations on a fantastic set of numbers. Just wanted to understand for this quarter, if you were to break down three or four reasons on the growth, just trying to understand what the growth bridge is. Is it our Catalogue content? Is it any of the platforms? Is it PPL? I t

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would be great if we can underst and that our growth has turned, w hat would be the avenues of that?

Kumar Taurani : Saket, let me tell you, when music is sold, it is sold everywhere. And as told earlier, our repertoire of the 90s is really, really doing well. Our so many songs get trendy, and sometimes the songs which we all ha d even forget also gets in trend . And then we support those songs to have more revenue. So, I can give entire credit to my repertoire. Because of that, we are growing.

And as said earlier, we feel like we are not in our full potential , our catalogue still have the potential which you will be seeing in the next 15 -20 years.

In the next 3 -4 years, you will really see that we are on a different scale we are doing business.

So, I think the only reason is the catalogue. If the catalogue is trending on Instagram, then numbers come on Spotify. Let me give you a small example. 15 -20 days ago, we had an old song, "Sanu Nehruwali Pulte Bula Ke "

It's a very old song. Suddenly, on Instagram, someone made 2 -4 reels and the song started trending. On Spotify, there were 1,000 streams earlier. Then the next day, there were 6,000 streams. By doing this, within 5 -7 days, it reached 100,000 streams. And now it may even reach millions.

So, this is a trend. So, touchwood music is so good. The old hard work is coming in handy. And I feel no one has such a catalogue. And our target audience is ours. It's our catalogue. So, I feel that's a big reason. So, that's the major reason. Okay.

Saket Mehrotra: Sir, can you tell us about the song?

Kumar Taurani : Okay. Sorry?

Saket Mehrotra: No, sorry. Sir, you were saying something.

Kumar Taurani : One of our songs, "Meri Kahani " was popular, which was not popular before. And suddenly, people started making reels. Even Virat Kohli made a reel of it. You know what Virat Kohli's following is andnd Ajay Devgn. Virat Kohli, I think number one on Instagram. He also made it.

I made the story myself. So, that song was also very popular.

It also got a lot of revenue. So, by doing this, some or the other song of ours, in every quarter, 5-10-15 songs of ours, keep trending like this, keep happening on their own. So, that's the old hard work is coming in handy. You can say. Yes, you were saying something.

Saket Mehrotra: Yes, yes. Sir, two more questions on this. One, I think you just told a participant that 85% of our revenue is coming from catalogue content. Did I understand that correct?

Kumar Taurani : Yes, it will be 80 %-85%. Sushant, confirm it.

Sushant Dalmia: Its 85%

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Saket Mehrotra: And sir, next year's guidance, you mentioned 25 and 30. Is it on sales or on PAT?

Kumar Taurani : No, we are doing 20% of the top -line right now. Like this, the current year, we had already told that we will have guidance of 20 %-20%. Next year also, the guidance is of 20%-20%. But this year our PAT is coming 25%. I think it will go up more. It will go above 25 %.

But conservatively, we are maintaining that it will be 25 %. So, but I feel that maybe it will reach 28%-30%. But at present, you take 25 %. And next year also, you take 20 %-20%. Then what happens in the first quarter and what happens in the last quarter of this year, we will keep on guiding you on.

Saket Mehrotra: And sir, where is the content cost for next year? Should it be towards the higher side, 25 %-30%?

Kumar Taurani : No, 25 %-28%. T

hat is our maintenance. But I told you earlier that if we get a good opportunity

and if the content increases by 2 %-5%, then we can explain you. Because our policy is very rigid. We write -off the entire content cost in the same quarter. So, we will earn the profits for

the next 100 years. So, there should be no problem.

We should get content. We are very keen and eager to have good content. And if content comes, then there will be some revenue as well. In the first year, 20%, 30%, 40% will come. And in the first year, you know that the revenue of new content is very high in the first year. So, I think we are very keen to acquire content. But getting the correct content at the correct price is a struggle. But we are working hard .

Saket Mehrotra: Okay. And the final question, a housekeeping question. Sushant, if you could tell us what is the cash balance as on December? Like cash plus investment, your liquid balance, what would that amount be as on Q3?

Sushant Dalmia: As on December end, it is around INR303 crores .

Saket Mehrotra: Okay. Thank you and wish you all the best. Thank you.

Moderator: Thank you. The next question is from the line of Rohit Singh from Nvest Analytics Advisory LLP. Please go ahead.

Rohit Singh: Good evening and congrats for a good set of numbers. Sir, just one question. On next year outlook, you mentioned about 20% top line and 20% bottom line. At the same time, we are saying we will be acquiring more content next year because this year we are falling short of our guided number.

So, if we are acquiring the content in next year, how are we sure like on a 20% top line growth, we will be maintaining the bottom line growth of 20%? Technically , it should fall, right? And this should be like 15% kind of growth on account of higher acquisition, isn't it?

Sushant Dalmia: Rohit, there are two things. One, let us mention content gets acquired and get released. Am I audible?

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Rohit Singh: Yes. Yes. Now you are.

Sushant Dalmia: So, let us say all the content get released during next year. We will see more revenue from that and the revenue could be higher than 20% . And PAT , at least we will get that 20%. So, there would be let us say all the content getting released on time and everything, that factors would play in.

Rohit Singh: Understood. And sir, how the revenue growth shaping up particularly from the Warner partnership ? Is it in the trajectory that we anticipated at the time of entering this partnership or maybe it is on an underperforming side? How do you look at that?

Sushant Dalmia: It is going as per our expectation this year.

Rohit Singh: And in this quarter, what kind of revenue did we make from that deal, that partnership?

Sushant Dalmia: We do not give let us say platform wise or partner wise breakup, but it is in line with our expectation.

Rohit Singh: Okay. Okay. I think that is from my side and all the best for the future.

Moderator: Thank you. The next question is from the line of Yashowardhan Agarwal from IIFL Capital Asset Management Limited. Please go ahead.

Yashowardhan Agarwal: Hi, sir. Thank you for this opportunity. Congratulations. Good sets of numbers. A few questions from my side. Is it possible to share the revenue growth from the paid subscribers versus the revenue from advertisement?

Hari Nair: So, if you see the paid subscribers have grown more than 50% from last year, if you compare that. And advertisement revenues are on the similar trajectory. So, both are growing in the same one. But I think on the subscription side, it is growing faster. That is the only thing that we can say now.

Yashowardhan Agarwal: Okay. So, sir, overall subscriber base has grown by 50%, right? I am talking about the revenue that flows to us. At what rate it has grown?

Sushant Dalmia: So, it is definitely that revenue growing, for the paid subs

cription, around that 40 %-50%. And

let's say ads growing at the average rate.

Yashowardhan Agarwal: Okay. And out of the total revenue, how much would be coming from the paid subscribers?

Sushant Dalmia: So, paid subscription, let's say, on an overall basis would be roughly around 10% of revenue.

Yashowardhan Agarwal: 10%. Overall total revenue, 10% is coming from paid subscribers. And that is growing at more than 40%.

Sushant Dalmia: Yes, in that range .

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Yashowardhan Agarwal: Okay. Thank you. And the second question is again on the profit margins of the next year. You have clarified earlier, but I still need more clarity on it. So, assuming 20% revenue goes for FY

'27, right? And it includes the new content that we are going to acquire in next year?

And so, this year, our content acquisition cost is around 18%, which we have added earlier to be around 25% for next year. Sir, which leads to around mid-teen profit growth. So, how are we guided for 20% PAT growth? Could you please elaborate more on that?

Sushant Dalmia: Yes, I will reiterate. Let's say, if all the planned movies get released as per schedule, we could see a higher revenue growth. And similarly, the profit growth could be in that range of 20%. I understand your question in terms of, I, currently, let's say the margins are higher given the low content cost. But I, next year, if all the movies get released as per the schedule, we could see a higher revenue growth and a better profitability.

Yashowardhan Agarwal: Okay. So, in that scenario, the content acquisition cost will be lower, even though in absolute terms, it will grow. Is that the right way to think about it?

Sushant Dalmia: Somewhat, yes.

Yashowardhan Agarwal: Okay. So, my last question would be on the monetization from shorts. So, in our presentation, we have shared that monetization could grow since it will migrate to shares and advertising revenue. This is for YouTube. It is supposed to be renegotiated in second quarter of FY '27. So, sir, it is fair to assume that this statement is regarding our business and not a general statement on the industry side?

Sushant Dalmia: So, in case of shorts, we are saying over a medium to long term, that model would move from a fixed fee to a revenue share. It won't happen on an immediate basis, but on a medium to long term, it would happen.

Yashowardhan Agarwal: Okay. So, the next thing which is supposed to be renegotiated for what period of time would it be happening? The tenure of the contract.

Sushant Dalmia: Too early to say.

Yashowardhan Agarwal: Yes, sir. Please continue.

Sushant Dalmia: We will update, once it gets renewed.

Hari Nair: So, this depends on the platform and us both. The platform needs to decide when they will share the profits with us. And their revenues from the advertisement should also grow equally. Till then, the platforms may opt in for a fixed fee kind of model. And we may continue with that.

Yashowardhan Agarwal: And even if it remains to be a fixed fee, do we anticipate a substantial growth in this number?

Hari Nair: Yes, definitely a very good growth on that.

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Yashowardhan Agarwal: Sir, that's it for my side. Thank you, so much and good luck. Thank you.

Moderator: Thank you. The next question is from the line of Bhargav from Ambit Asset Management. Please go ahead.

Bhargav: Yeah, good afternoon team and congratulations on a good performance. Sir, my first question is that in this revenue growth guidance, are we building in any monetization on YouTube Shorts or that would be an additional kicker once we come to know?

Hari Nair: It is part of the growth plan. It is already captured.

Bhargav: Okay. Secondly, sir, when we see this presentation of Saregama, we are seeing a significant growth in terms of

YouTube views. But they have put in an asterisk saying that YouTube has changed methodology. So, in our presentation, when we see that there is a decline for nine months, is there any base effect or how should we read between you and Saregama in terms of presentation data?

Kumar Taurani: Bhargav, you are talking about us, we will tell you about ourselves. Let's not compare us with Saregama. We will reply to them. Now, Sushant is replying you. Yes, Sushant.

Sushant Dalmia: Bhargav, we are continuing with the old methodology in terms of YouTube reporting. The sense is, let's say when anyone views for 30 seconds, then only the view gets counted. So, we are continuing with that old methodology. I think now YouTube has started reporting both the views that is less than 3 seconds also get counted as views in YT shorts. But we continue to do with the old methodology because we think that's fair.

Bhargav: So, is it fair to say that if we also use the new methodology, then our growth will also look very good?

Sushant Dalmia: In terms of views, yes.

Kumar Taurani: Then the game will change. It will become very big.

Bhargav: Yes, because people compare both. So, it is not apple to apple. It will be right to say that, right?

Kumar Taurani: So, touch wood, apple is ours. What do you think about the rest?

Bhargav: No, I understand. Basically, if we also use the new methodology, then our growth will also look good. That's what I wanted to basically understand. And lastly, sir, is it fair to say that when we go towards monetization of YouTube Shorts, to start with, it will be a fixed fee and then maybe revenue share will happen next time. How should we think about it?

Hari Nair: Yes, it will be the same. You are right on that. First, it will be a fixed fee model for one to two

years and then it will move to a revenue share model.
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Bhargav: And is it fair to say that once the monetization cycle starts, we will put in more efforts to increase our views on YouTube Shorts because then we obviously get paid in the subsequent revenue share cycle?

Hari Nair: Yes, you are absolutely right. We will definitely do that.

Bhargav: Okay, because right now it doesn't make sense to put in effort because we will not get anything. So, there is no point in...

Hari Nair: Correct.

Bhargav: Okay. Great, sir. Thank you very much and all the very best.

Moderator: Ladies and gentlemen, due to time constraints, this was the last question. I would now like to hand the conference over to Ms. Ayushi Gupta for closing comments.

Ayushi Gupta: I would like to thank the management for taking the time for their conference call today and also thank all the participants. If you have any queries, please feel free to contact us. We are MUFG Intime Private Limited, Investor Relations Advisors for Tips Music Limited. Thank you so much.

Moderator: On behalf of Tips Music Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Apr 2026

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